United Nations Development Programme

Project Document

<table>
<tr><td colspan="3">Project title: Scaling up investment in energy efficiency in buildings through enhanced energy management information system (EMIS) and green social housing</td></tr>
<tr><td>Country(ies): Azerbaijan</td><td>Implementing Partner (GEF Executing Entity): Ministry of Ecology and Natural Resources</td><td>Execution Modality: NIM</td></tr>
<tr><td colspan="3">Contributing Outcome (UNDAF/CPD, RPD, GPD):
United Nations Azerbaijan Partnership Framework (UNAPF) 2021-2025
Strategic Priority Area 3: Protecting the Environment & Addressing Climate Change
Outcome 3: People including those left behind benefit from climate strategies and environment protection policies that ensure natural resources are sustainably managed, livelihoods are protected, and resilience strengthened
Related Strategic Plan Outcome: Outcome 3 – Strengthen resilience to shocks and crises</td></tr>
<tr><td colspan="2">UNDP Social and Environmental Screening Category:
Moderate</td><td>UNDP Gender Marker: GEN 1</td></tr>
<tr><td colspan="2">Atlas Award ID: 00128673</td><td>Atlas Project/Output ID: 00122606</td></tr>
<tr><td colspan="2">UNDP-GEF PIMS ID number: 6479</td><td>GEF Project ID number: 10402</td></tr>
<tr><td colspan="3">LPAC meeting date: July 04, 2022</td></tr>
<tr><td colspan="3">Last possible date to submit to GEF: October 19, 2021</td></tr>
<tr><td colspan="3">Latest possible CEO endorsement date: June 19, 2022</td></tr>
<tr><td colspan="3">CEO Endorsement Approval date: June 9, 2022</td></tr>
<tr><td colspan="3">Project duration in months: 60</td></tr>
<tr><td colspan="2">Planned start date: September 15, 2022</td><td>Planned end date: September 15, 2027</td></tr>
<tr><td colspan="2">Expected date of Mid-Term Review: September 15, 2025</td><td>Expected date of Terminal evaluation: June 15, 2027</td></tr>
<tr><td colspan="3">Brief project description: Up-scaling investments in energy efficiency in buildings by an enabling policy and legislative framework, advancing energy management and energy management information systems (EMIS) in public and municipal buildings, piloting and close to net-zero emission buildings and strengthening institutional and individual capacities to facilitate effective follow-up and continuation of the supported activities also after the project. The specific project targets will include further development and adoption of supporting primary and secondary legislation, including a new Law on Building Energy Efficiency, efficiency, taking into use EMIS and related energy management in public buildings with the total floor area of at least 1 million m^2, implementing</td></tr>
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energy efficiency retrofits in at least 30 public buildings and piloting new low-carbon EE design in MIDA constructed social buildings. By a combination of these measures, the direct GHG reduction impact of the project has been estimated at over 200 ktons of CO_{2eq} over the 25 years lifetime of the investment.	
FINANCING PLAN	
GEF Trust Fund grant	USD 4,521,005
UNDP TRAC resources	USD 120,000
Confirmed cash co-financing to be administered by UNDP	USD 0
Confirmed in-kind co-financing to be administered by UNDP	USD 400,000
(1) Total Budget administered by UNDP	**USD 5,041,005**
(2) Total confirmed co-financing to this project not administered by UNDP	**USD 33,380,000**
(3) Grand-Total Project Financing (1)+(2)	**USD 38,421,005**

SIGNATURES:		
Signature: print name below	**Agreed by Government Development Coordination Authority**	**Date/Month/Year:**
Signature: print name below	**Agreed by Implementing Partner**	**Date/Month/Year:**
Signature: print name below	**Agreed by UNDP**	**Date/Month/Year:**

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LIST OF ACRONYMS

BEA	Baku Executive Authority
BPPS NCE-VF	Bureau for Policy and Programme Support, Nature, Climate and Energy, Vertical Fund team
CO	UNDP Country Office
CO_2	Carbon dioxide
CSO	Civil Society Organisation
DH	District Heating
EE	Energy Efficiency
EMIS	Energy Management Information System
EMS	Energy Management System
ESMF	Environmental Social Management Framework
EU	European Union
FSP	Full Size Project
GAP	Gender Action Plan
GDP	Gross Domestic Product
GEF	Global Environmental Facility
GEF CEO	GEF Chief Executive Officer
GEF OFP	GEF Operational Focal Point
GEFSEC	Global Environment Facility Secretariat
GHG	Greenhouse gas
GoA	Government of Azerbaijan
GWh	Giga-watthour
HACT	Harmonized Approach to Cash Transfers
HQ	UNDP Headquarters
ICT	Information and Communication Technology
IGO	Intergovernmental Organisation
IP	Project Implementing Partner
ISO	International Organization for Standardization
KM	Knowledge Management
kWh	Kilowatthour
M&E	Monitoring and Evaluation
MIDA	Azerbaijan State Housing Construction Agency
MoEn	Ministry of Energy
MoEd	Ministry of Education
MoENR	Ministry of Ecology and Natural Resources
MRV	Monitoring, Reporting and Verification
MTR	Mid-term review
NA	Not applicable
NAMA	Nationally Appropriate Mitigation Action
NDC	National Determined Contribution of the UNFCC Paris Agreement
NEEAP	First National Energy Efficiency Action Plan for 2021-2025
NGO	Non-governmental organisation
NIM	National Implementation Modality
O&M	Operation and Maintenance
OAI	UNDP Office of Audit and Investigations
PB	Project Board

PIF	Project Identification Form
PIR	GEF Project Implementation Report
PM	Project manager
PMU	Project Management Unit
POPP	UNDP Programme and Operations Policies and Procedures
PPG	Project Preparation Grant
PSC	Project Steering Committee
PV	Photovoltaic
SBAA	Standard Basic Assistance Agreement
SCUPA	State Committee on Urban Planning and Architecture
SEA	Sexual exploitation and sexual abuse
SESP	Social and Environmental Screening Procedure
SH	Sexual harassment
SME	Small and medium size enterprises
STAP	GEF Scientific Technical Advisory Panel
SWH	Solar water heating
TE	Terminal Evaluation
ToC	Theory of Change
UNDP	United Nations Development Programme
UNDP ERC	UNDP Evaluation Resource Center
UNFCCC	United Nations Framework Convention on Climate Change
UNSMS	United Nations Security Management System

II. DEVELOPMENT CHALLENGE

The "In-Depth Review of the Energy Efficiency Policy of the Republic of Azerbaijan"[1] completed by the Energy Charter Secretariat in cooperation with the Ministry of Energy of the Republic of Azerbaijan in 2020 concluded that there is still a significant untapped energy saving potential both in the residential and service sector (including public sector) buildings, which could cut the energy consumption and related CO_2 emissions from this sector by 50%. While there is no official statistics available on the energy performance of buildings in Azerbaijan, this can be estimated on the basis of the available general data for gas, heat and electricity consumption of residential and service sectors. The results published by the mentioned review show (see table 1) that over the past 10 years the average energy consumption of residential buildings has varied between 204 and 276 kWh/m²/year, but no clear or consistent downward trend can be observed. The main primary energy source for heating and hot water preparation as well as for electricity generation is natural gas.

Table 1 Household building stock in Azerbaijan, 2008–2017 (Source: Energy Charter Secretariat based on the data from State Statistical Committee, 2019)

	2008	2009	2010	2011	2012	2013	2014	2015	2016	2017
Population, thousand people	8,780	2,039	2,065	2,092	9,235	9,357	9,477	9,593	9,706	9,810
Total area, M m³	157	160	160	162	164	166	169	171	174	176
Total consumption by households, GWh	43,297	38,051	39,101	39,649	34,679	33,997	37,522	39,969	44,387	39,473
Average energy consumption, kWh/m²/year	276	238	245	244	211	204	222	233	256	225

As it concerns the public buildings, many of them were built 40 or 50 years ago. Information on their energy consumption and energy savings potential is not readily available, but in most cases their thermal properties are poor and heat generation and delivery systems outdated with only limited possibilities, for instance, for indoor temperature control.

By building on an updated review and analysis conducted during the PPG phase, the main barriers to the improvement of buildings' energy efficiency in Azerbaijan can be summarized as follows:

- There are no mandatory minimum energy performance standards for new buildings or those to be renovated. Although the new Law on Efficient Use of Energy Resources is including some related provisions, they still need to be put into practice by required secondary legislation and their effective enforcement. The Law on Efficient Use of Energy Resources should also be complemented by a new law with a particular focus on building energy efficiency;
- Lack of adequate data on buildings' energy performance. While the new law is including provisions for Energy Performance Certification scheme and compulsory energy audit and designating energy managers for buildings (except residential) with a total construction area of more than 10,000 square meters, these provisions also still need to be put into practice;
- Inadequate enforcement and compliance even with existing building codes;
- Lack of awareness and capacity of municipal authorities, builders, engineers and architects to integrate energy efficiency considerations into their work;
- No financial incentives for building owners and operators to invest in energy efficiency due to different financial and institutional barriers. The energy pricing and tariff setting policies and related social considerations have led to tariffs that are among the lowest in the region[2], while also the financing responsibilities related to energy performance of the buildings are detached and incoherent. For instance, one public entity may be responsible for investments, while another one covers the

[1] https://www.energycharter.org/what-we-do/energy-efficiency/energy-efficiency-country-reviews/in-depth-review-of-energy-efficiency-policies-and-programmes/in-depth-review-of-the-energy-efficiency-policy-of-the-republic-of-azerbaijan/

[2] Just recently in 2021, the Government has, however, significantly increased the tariffs by about 2.3-2.4 times thereby making also energy efficiency investments more attractive.

operational cost. Any costs savings by reduced energy consumption may not benefit the actual user of the building, but just leads to a reduced budget allocation for the next year instead of releasing funds for meeting other pending needs of the building under consideration such as a school, hospital etc.

- Lack of specific financing mechanisms, including incentives for private sector engagement to support building sector energy efficiency improvements; and
- Inadequate co-operation and co-ordination between the key stakeholders responsible for energy, environment and the building sector related activities. While the state policy in the areas of urban planning, architecture design and building requirements in Azerbaijan is implemented by the State Committee for Urban Planning and Architecture (SCUPA), the energy efficiency related activities are assigned to the Ministry of Energy (MoEn). The climate change related activities, on the other hand, are assigned to the Ministry of Ecology and Natural Resources (MoENR). Other key stakeholders include those state and municipal authorities, which are responsible for buildings in their particular area such as health care, education, social housing etc.

A problem tree summarizing the key barriers is presented in figure 1 below.

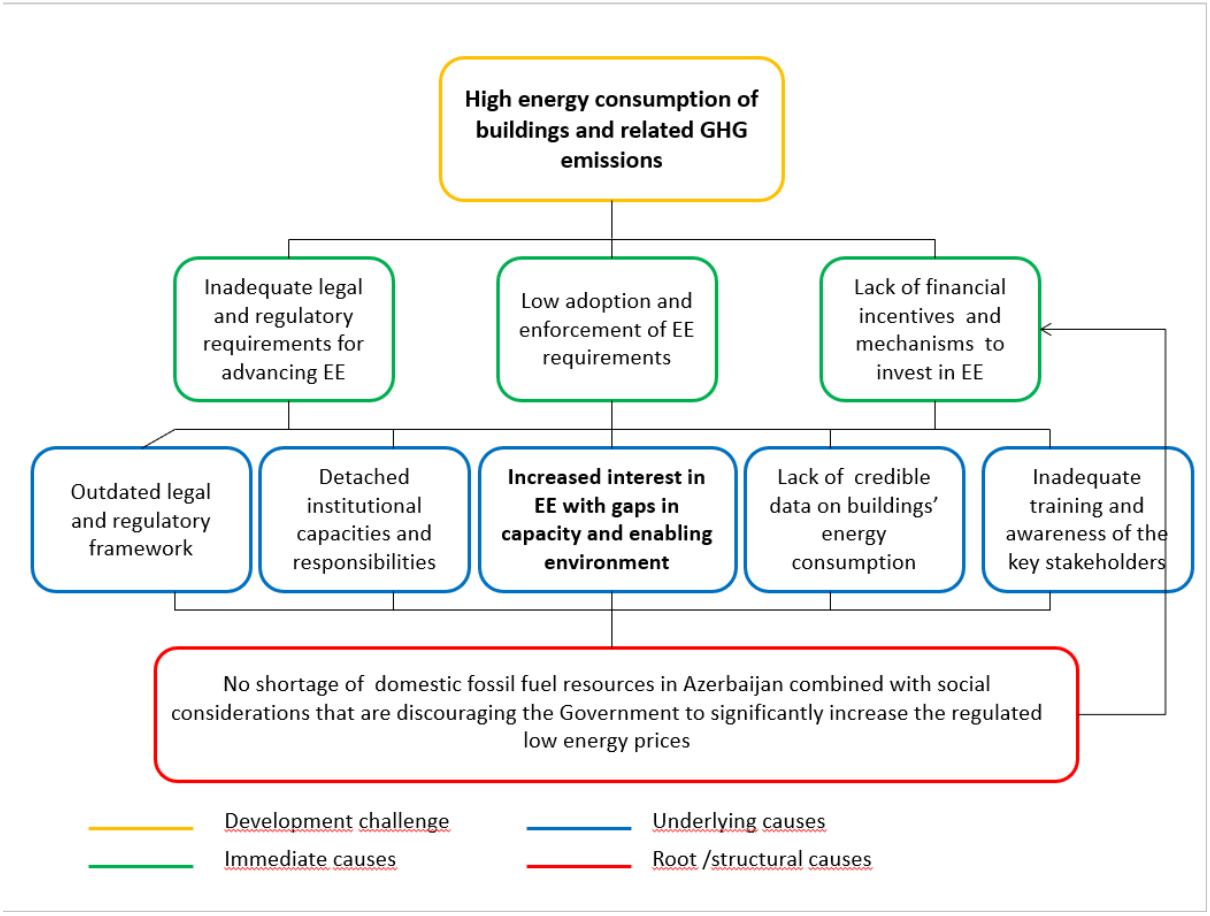


Figure 1 Problem tree

The Government of Azerbaijan has ratified the Paris Agreement on Oct 28th, 2016 and by its Nationally Determined Contribution (NDC) has taken a voluntary obligation to reduce its GHG emissions by 35% by 2030 and adjusting energy policy framework. In the Third National Communication of Azerbaijan to the UNFCCC it was estimated that by improved EE legislation intended to improve the thermal characteristics of buildings, the resulting cumulative GHG emissions reduction could reach 70.36 million metric tons of CO_{2eq} by 2050. The draft National Energy Efficiency Action Plan for 2021-2025 (NEEAP) was completed in June 2020, but its final approval is still pending . The content of the NEEAP in relation to the proposed project outputs and activities is discussed in further detail in chapter IV.

III. STRATEGY

Energy consumed in buildings contributes to about 50% of Azerbaijan's total primary energy consumption (State Statistical Committee of the Republic of Azerbaijan, 2020) . Given the commitment of the Government of Azerbaijan to reduce its GHG emissions by 35% by 2030, the need to reduce the GHG emissions also from the building sector is obvious. By being able to reduce the domestic energy use with natural gas currently sold at subsidized prices to consumers, Azerbaijan would also gain economic benefits by being able to preserve its natural gas reserves for export at international market prices.

The challenges faced by the efforts to improve building energy efficiency are typically due to multiple interrelated reasons, which is a why a multidimensional response strategy addressing the identified key areas is also required. Advancing an enabling policy and regulatory framework needs to be accompanied by i) required organizational changes, as it may concern the defined roles and responsibilities of different public entities; ii) awareness raising, training and other capacity building of key stakeholders; iii) access to credible data on buildings' energy consumption; iv) eventual changes on the financial management of buildings' energy use (as it concerns, for instance, the division of investment, operation and maintenance costs); and v) concrete pilot and demonstration projects combined with their on-line monitoring in order to test and collect information on the proposed technologies and approaches in practice.

Access to financing should not really be the main problem as long as the economic and financial benefits of energy efficiency improvements can be clearly demonstrated and verified based on credible data, there are trained local professionals to prepare and implement projects based on state of art knowledge and practices, the policy makers recognize and acknowledge the benefits of improved energy efficiency on country's overall economic and environmental wellbeing and, consequently, advance enabling policies. As such, the Theory of Change also heavily builds on creating an enabling environment for further advancing the energy efficiency agenda in Azerbaijan rather than just financing a few technical demonstration projects.

The objective of the project is to reduce fossil fuel-based energy use of both new and existing building stock in Azerbaijan, including both residential and public/service sector buildings by building on the piloting, scaling up and replication of the energy management information system as one of the main tools. Partly this will result from reduced energy consumption, partly from increasing the use of renewable energy sources such as solar energy. To address the identified development challenge and the immediate, underlying and root causes and the related causal chains discussed in the previous section, the theory of change (ToC) can be presented by an iterative process including three main elements, as illustrated in figure 2 below.

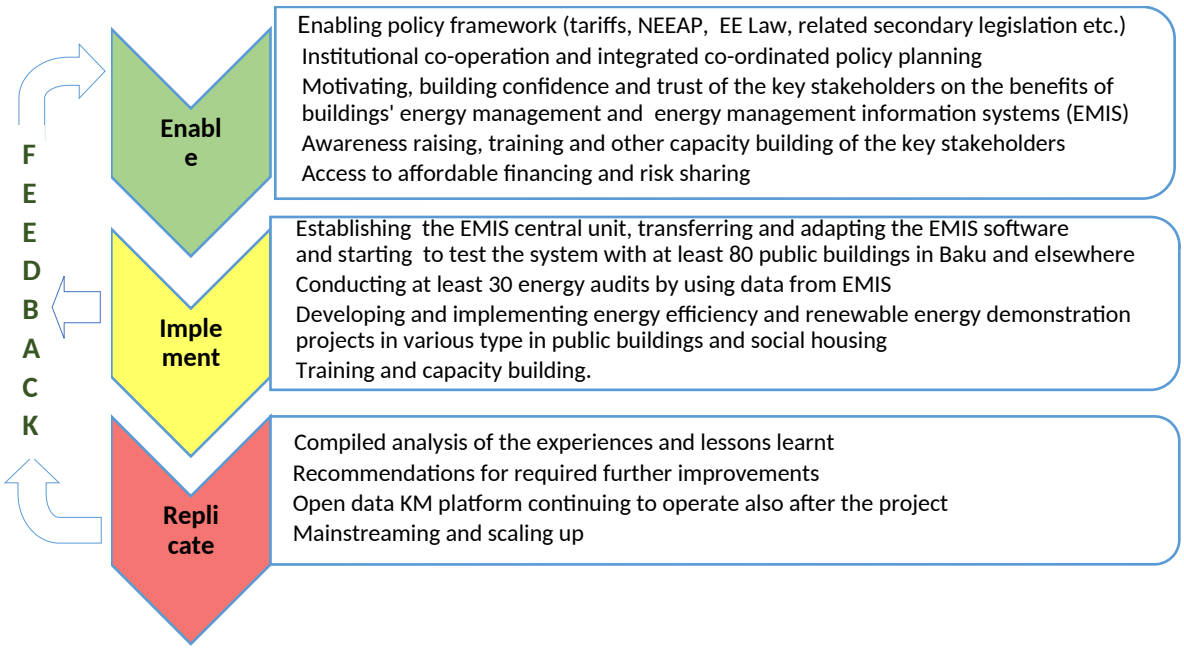


Figure 2: Simplified illustration of the ToC and the areas to be addressed and supported by the project

The causal chains between the identified barriers/underlying problems and the project outputs, outcomes and objective as suggested by the STAP's primer on the issue of Theory of Change (TOC) - https://www.stapgef.org/theory-change-primer are illustrated by figure 3 below.

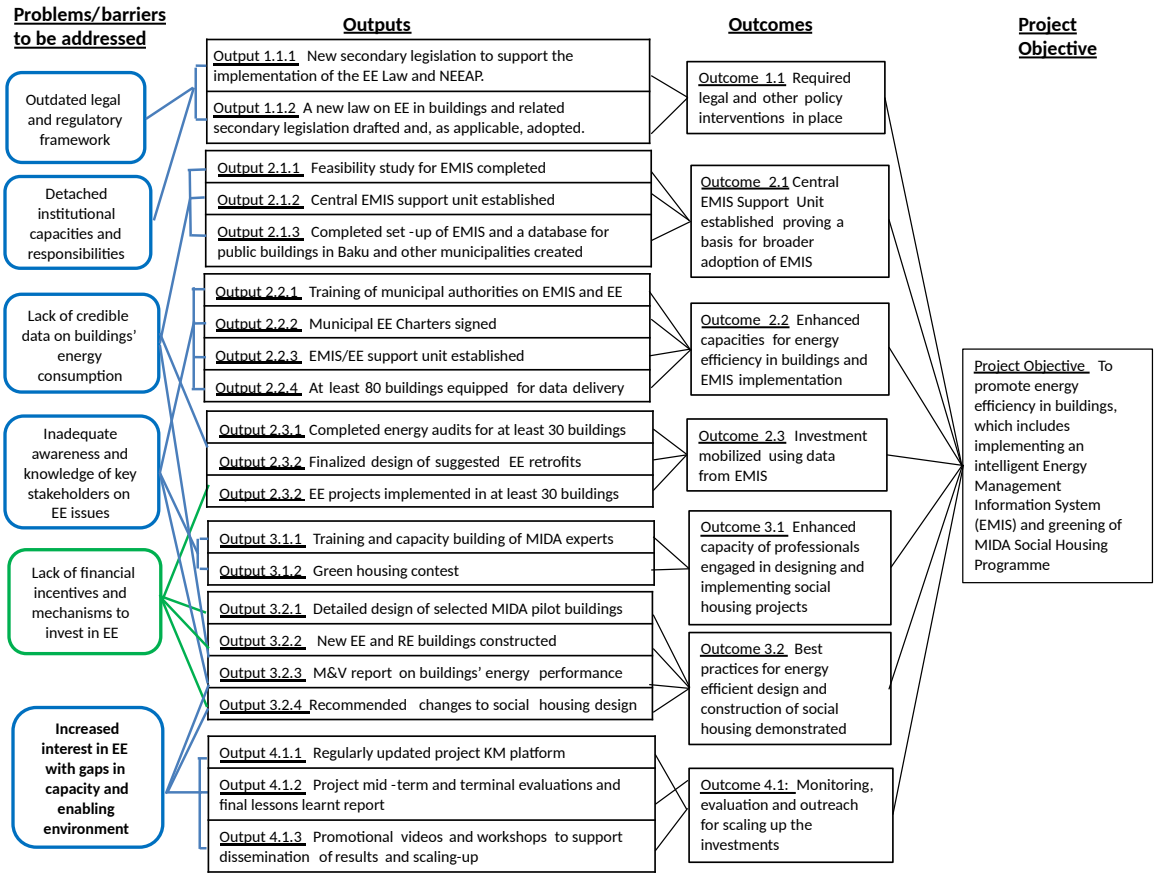


Figure 3: A complementary illustration of the ToC showing the causal chains

By a combination of different measures discussed in further detail in chapter IV "Results and Partnerships" and chapter V "Project Results Framework", the project seeks to contribute to a transformational change towards enhancing energy efficiency and use of renewable energy such as solar energy for meeting buildings' energy needs, while simultaneously reducing buildings' energy costs, improving their thermal comfort and, as applicable, also indoor air quality. The core elements and the process of supporting such change can also be illustrated by the General Framework for the GEF Theory of Change presented to the GEF Council in 2018 (figure 4).

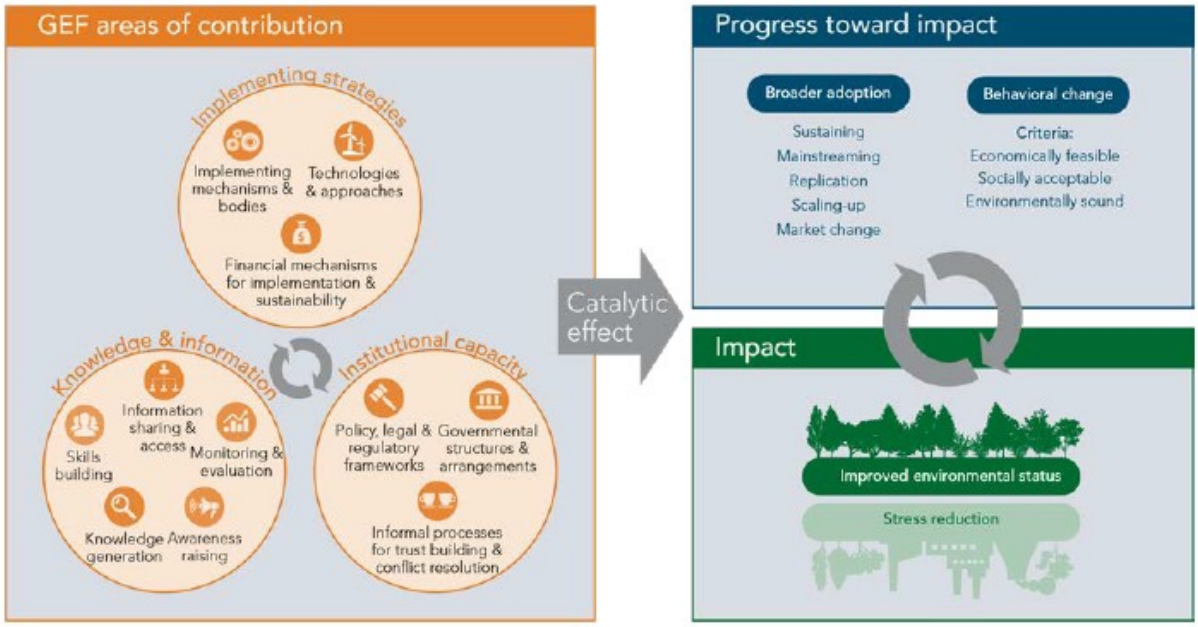


Figure 4 General Framework for the GEF Theory of Change[3]

The main assumptions and risks to the proposed project strategy were discussed already in the PIF. Therefore, it is just to be emphasized here that the most essential requirement for the desired transformational change is a genuine interest of the Government of Azerbaijan to improve the energy efficiency of the country's building stock as well as a clear mandate and assigned responsibilities for the key entities involved in the project implementation to be in charge for this, including access to adequate financial resources. This key assumption and related risks were also reflected in the project risk analysis calling for a reassessment of the following issues during the PPG phase:

- The level of political will to adopt and/or effectively enforce the required policies, and stringent energy efficiency standards, regulations and norms to enact the new Law on Efficient Use of Resources and implement EMIS at the municipal level. As risk mitigation measures, continuing technical assistance for developing enabling policies as well as awareness raising of the key stakeholders on technical as well as broader economic benefits of energy saving have been incorporated into the project strategy.

- The availability of financial resources for municipalities and other key stakeholders to invest in energy efficiency. In the PIF it was concluded that "During the PPG stage, an assessment of the feasibility of introducing policy amendments and financial incentives for the promotion of energy efficiency in buildings will be explored and specific activities will be designed in order to further mitigate this risk". The activities were envisaged to include, among others, "access to EMIS energy consumption data, awareness raising activities of the project to highlight direct cost of benefits of EMIS as well selected demonstration projects to illustrate these benefits in practice will mitigate the risk." All the activities are also included in the current project strategy. The financial and other commitments of the MoENR have also been reassessed in this context as a part of the project document finalisation.

- All the measures supported by the project also need to be socially and environmentally acceptable. This has been addressed by a comprehensive Social and Environmental Screening Process (SESP) as well as a Gender Analysis and Gender Action Plan presented as an Annex to this project document.

The project is aligned with the GEF-7 Climate Change Mitigation Strategic Objective 1.3 "Promote innovation and technology transfer for sustainable energy breakthroughs - accelerating energy efficiency adoption"

[3] https://www.thegef.org/council-meeting-documents/evaluative-approach-assessing-gef-s-additionality

IV. RESULTS AND PARTNERSHIPS

Expected Results

By building on the Theory of Change discussed in the previous section, the project implementation strategy and expected results are structured under four interrelated components, which are briefly discussed below. For further details, a reference is made to chapter V. "Project Results Framework". By contributing to and complementing the provisions of the NEEAP, the focus will be on: i) creating an enabling policy framework, ii) adoption of EMIS and energy management for monitoring and improving the energy performance of public buildings with related training, institutional strengthening and other capacity building, iii) "greening" social housing construction and piloting net-zero carbon buildings with MIDA and iv) monitoring, evaluation and knowledge sharing for scaling up, replicating and mainstreaming the project results.

For improving the energy efficiency of the buildings, the Government of Azerbaijan (GoA) has requested technical assistance by drawing, among others, from the examples and experiences from the EU and other EU Eastern Partnership (EaP) countries. There is also a need to develop and adopt an adequate monitoring scheme for verifying to what extent the project targets and the NEEAP in general are achieved as well as to establish cross-sectoral working groups under the State Commission of Climate Change and its Working Group on CC Mitigation to further develop and implement energy efficiency policies in the country.

<u>Component 1</u> of the project with a policy focus is at the core of triggering a transformational change for reducing the carbon footprint of the buildings in Azerbaijan.

A comparative analysis of the draft Energy Efficiency (EE) Law and the draft NEEAP vis a vis the current legal and regulatory framework in the EU for improving the energy efficiency of the building sector was conducted during the PPG phase with a conclusion that while the general provisions of the new draft EE Law are aligned with the corresponding EU legislation, the required secondary legislation and institutional mechanisms to effectively implement the law are still largely missing. These further development needs are further elaborated in the draft NEEAP, including, among others, the following:

- Development and adoption of a law on energy efficiency in buildings
- Development and adoption of minimum energy performance standards for buildings;
- Development of an energy efficiency monitoring and reporting system and scaling up advance metering such as smart meters of electricity and natural gas consumption;
- Development of guidelines for the accreditation of energy auditors and conducting energy audits;
- Application of ISO 50001 system for Energy Management System Standard and developing guidelines and requirements for energy managers;
- Development of guidelines for distribution of heat and hot water supply costs in those multi-apartment buildings that are served by collective district heating systems with heat and hot water meters installed at the heat exchange point or at the entrance of the building;
- Approving and implementing new tariff methodologies in order to provide incentives for the implementation of energy efficiency measures by energy utilities and industrial consumers;
- Development of guidelines and promoting the use of EE criteria in public procurement procedure; and
- Removing barriers and facilitating energy performance contracting and ESCO market for public buildings and street lighting, including development of a model contract for Energy Performance Contracting and guidelines for providing energy services.

Furthermore, the NEEAP is addressing the institutional development needs calling for the:

- definition of clear responsibilities, mandate and resources for key authority(-ies) to develop, implement, monitor and evaluate energy efficiency policies;
- establishment of an inter-ministerial coordination and communication mechanism for the development and implementation of energy efficiency policies; and
- establishment of an external advisory council on energy efficiency to provide guidance and technical advice.

By building on the above, the specific areas, for which UNDP and GEF support is needed within component 1 can be structured under one outcome and two outputs:

Outcome 1.1: Required legal and other policy interventions in place for effective implementation of energy efficiency in buildings

Output 1.1.1: Development and adoption of new secondary legislation, including technical standards and guidelines, to support the implementation of the Law on Efficient Use of Energy Resources and the NEEAP and buildings' energy performance monitoring by a methodology aligned with international best practices. The project will use the opportunity to assess the consistency of the new secondary legislation as per SES principals, in order to promote compliance with the SES in the technical standards and guidelines of new secondary legislation to support implementation of the Law on Efficient Use of Energy Resources. An Environmental and Social Impact Assessment (ESIA) will be carried out before the commencement of the project to assess policies and standards for construction and retrofit work to identify any areas where they may give rise to potential adverse social and environmental effects. In developing the energy performance monitoring methodologies and, as applicable, related certification schemes, interfacing with business certification efforts such as LEAD (Green Building Council) as well as UN-Habitat and importantly the GEF Sustainable Cities Impact Program will also be explored. In addition, the new norms shall include provisions for recommended adoption of EMIS with uniform standards for public buildings.

The areas to be addressed by these normative acts include those listed in the description of component 1 and include, among others: i) requirements and guidance for the development and adoption of mandatory energy performance certificates for both new and existing buildings and related energy management information systems (EMIS); ii) guidelines and requirements for energy audits and energy auditors, including a developed and agreed methodology for calculating buildings´ energy performance and carbon footprint in a comparable and transparent way; iii) new tariff calculation methodologies and models for distributing the costs of energy consumption and revenues from energy efficiency investments between different stakeholders; iv) incorporation of energy efficiency and other "green building" criteria and requirements into public procurement procedures; and v) new financial and fiscal incentives to advance energy efficiency and clear the path towards net-zero or close to net-zero carbon buildings. For the last point, the project also seeks to co-operate with other similar GEF funded initiatives such as Building Efficiency Accelerator and Zero Carbon Buildings for All.

Furthermore, a requirement to regularly assess the institutional capacities to effectively enforce the energy performance regulations and undertake corrective action, as needed, to strengthen the institutions in charge should be included among the normative acts to be developed and adopted.

Output 1.1.2: A new Law on Energy Efficiency in Buildings and related secondary legislation drafted and, as applicable, adopted.

The need for the development of a specific law also on Energy Service Companies (ESCOs) will be further investigated during project implementation by taking into account the need to stimulate private sector investments into green energy and energy efficiency.

As regards the suggestion of the NEEAP to establish an inter-ministerial coordination and communication mechanism for the development and implementation of energy efficiency policies, it was concluded during the PPG phase that the State Commission on Climate Change and its Working Group on CC Mitigation can serve in such a role without a need to create a new entity. For further details about composition of the State Commission on Climate Change and its envisaged functions, a reference is made to Annex 9 – Stakeholder Engagement Plan.

Component 2 is introducing Energy Management Information Systems (EMIS) for the first time in Azerbaijan by drawing experiences from the successful GEF funded EMIS projects in Croatia and Serbia and facilitating the implementation of a number of EE retrofit projects in public buildings by using data from EMIS for their development and later monitoring.

EMIS is a web-based application for monitoring and analyzing energy and water consumption in buildings, thereby providing a transparent overview and control of buildings' energy performance. By this, it will also facilitate the identification of measures, by which buildings' energy and water consumption can be reduced. The system also supports the development of local energy efficiency plans and monitoring the related targets set by the NEEAP.

The Central EMIS Support Unit (CESU) will be established under the auspices of the Ministry of Energy (MoEn) and hosted by the MoEn. While the project will initially support the unit in procuring the required hardware,

transferring and customizing the EMIS software for Azerbaijan and organizing a series of trainings for both the CESU staff and EMIS users, CESU and the MoEn is expected to continue to manage the EMIS and buildings' broader energy management and facilitate their further adoption by related awareness raising, training and other activities also after the project on a self-sustaining basis. This training will also consist of sharing the experiences and lessons learnt from implementing EMIS in Serbia, Croatia and Russia, among others, by inviting experts from those countries to Azerbaijan and vice versa. The terminal evaluations and lessons learnt reports prepared at the end of those earlier UNDP supported EMIS projects will also contribute to this.

After establishing the CESU, EMIS is envisaged to be first taken into use in Baku in selected central Government buildings, including schools and kindergartens managed by the Ministry of Education (MoEd), accompanied by related awareness raising and training of buildings' energy managers and other people taking responsibility of EMIS implementation. After that other municipalities such as Ganja, Sumgayit, Mingechevir, Sheki, Guba, Ismayilli, Gabala can follow.

As the end of the project target it has been set that at least 200 buildings with the total floor area of at least 1 million square meters should be included into EMIS to facilitate better monitoring of buildings' energy performance and thus, by trained energy managers, their energy management with a target to reach at least 5% reduction of buildings' current energy consumption by simple operational and behavioral changes, by reducing leakages and introducing other no or low costs measures for improving buildings' energy performance.

By the end of the project at least 30 municipalities should have also signed a Municipal Energy Efficiency Charter, to adopt the EMIS and to establish an EE Support Unit for reducing the energy consumption of public facilities managed by them. The help desk to be established in CESU will support the municipalities in this endeavor.

Recommendations of the Mid Term Review of the GEF funded project in Serbia "Removing Barriers to Promote and Support Energy Management Systems in Municipalities throughout Serbia (GEF ID10443, PIMS ID 6388)" emphasized the importance of ensuring adequate capacities of EMIS units and energy managers to gradually move from just monitoring energy consumption to actual energy management to improve buildings' energy performance. The capacity building activities of component 2 are aligned with this observation by seeking to train at least 400 municipal officials, architects, engineers, energy auditors, energy managers as well as the management and other workers of construction companies in several key areas of energy efficiency, including EMIS, energy audits, minimum EE standards, integrated building design and energy efficient construction practices as well as opportunities to increase the use of building integrated renewable energy sources.

For practical training and demonstration of energy efficiency and related cost savings, 30 buildings will be selected for more detailed energy audits and identification of measures to improve their energy efficiency. These buildings may include municipal or stated owned administrative and office buildings, buildings of cultural heritage as well as service buildings such as schools, kindergartens hospitals and health care centers. Furthermore, buildings managed by non-governmental organizations providing complementary social support and protection for families, women and children will be prioritized to strengthen the project' social benefits, including gender aspects. This will be facilitated by enhancing the thermal comfort of the buildings hosting such services, lowering their annual energy costs and thereby also improving their financial situation, on the basis of which these centers operate.

The Hydromet building of the Ministry of Ecology and Natural Resources has also been suggested as a good candidate for demonstrating the benefits of EMIS, advanced energy management and related EE retrofits in a state-owned building, the performance of which could also be monitored on-line through EMIS by a broader audience for project awareness raising, outreach and training purposes.

In total, the target is to facilitate the EE refurbishment of at least 30 buildings belonging to the categories listed above with the total floor area of approximately 60 000 m^2 and the average improvement of their energy performance by at least 35% from their estimated average baseline energy consumption of 250 kWh per m^2. In addition, grid-connected roof-top PV systems and/or solar thermal applications will be tested in at least one big public building. Subject to more detailed feasibility studies, such building integrated decentralized renewable energy systems could be installed and taken into use also in other buildings.

Co-financing for the implementation of the suggested EE retrofits is expected both from the municipal and state authorities, including the Ministry of Education, Ministry of Energy, Ministry of Environment and Natural Resources and others. The measures to be implemented will be further specified based on the results of the energy audits and related technical feasibility and financial analysis, but can include improving the thermal insulation and air tightness of the building envelope, heat recovery from ventilation air and/or drainage water

with or without heat pumps as well as the use of solar panels for electricity generation, heating or sanitary hot water preparation. Furthermore, more efficient lighting equipment, automatic monitoring and control of buildings' heating, cooling and lighting needs by applying modern ICT technology and the use of natural or other shadowing and ventilation elements to reduce the summer time heat load and the related use of cooling devices can be investigated.

The observed benefits of the first demonstration projects in Baku are expected to stimulate the participation of also other major cities in Azerbaijan such as Ganja, Sumgayit, Mingechevir, Sheki, Guba, Ismayilli and Gabala. Collaboration with global programs such as the UN led Building Efficiency Accelerator in terms of knowledge management and sharing is also envisaged.

By taking into account the above, Component 2 is structured under three interrelated outcomes and eleven outputs.

Outcome 2.1 is about getting the Central EMIS Support Unit established and securing funding for its continuing operation also after the project, thereby providing a basis for broader sustainable adoption of EMIS.

Output 2.1.1: A completed feasibility study for the introduction of EMIS in Azerbaijan by also considering and, as applicable. An analysis will be undertaken before the commencement of the project to assess policies and standards for construction and retrofit work to identify any areas where they might not meet SES requirements. The analysis will cover national and any relevant local regulations. As precise activities and exact locations are proposed, they will in addition be subject to site- and activity-specific screening with the SESP for additional risks. The analysis will include regulations on Occupational Health and Safety, Community Health and Safety, Labor Standards, Waste Management and Air and Water Pollution and Permitting and Hazardous Materials Management. This will be done before retrofitting or construction work commences during the project implementation. In addition to this, an Environmental and Social Impact Assessment (ESIA) will be carried out simultaneously with the mentioned analysis development for all construction and retrofit activities in order to identify and assess the potential social and environmental impacts of each construction and retrofit activities in its area of influence, evaluates alternatives, and designs appropriate avoidance, mitigation, management, and monitoring measures. Where shortfalls are found, additional requirements will be included in construction/retrofit contracts accordingly. Followingly, Environmental and Social Management Plan (ESMP) will be prepared before commencement of the project, and will include mitigation measures to ensure that construction activities are conducted in full compliance with national and local regulations, and in consistency of the UNDP Social and Environmental Standards. Where these are not consistent, the more stringent standard will apply. It will include contractor selection, labor standards, occupational health and safety, community health and safety, waste management, hazardous materials management, water and air pollution management.

Output 2.1.2: The Central EMIS Support Unit (CESU) with required ICT facilities and staff established, including a help desk to support the EMIS users with any technical or other problems they may experience with EMIS as well as providing further advise on how to effectively use the information obtained from EMIS to advance the actual energy savings, and securing funding for the continuing operation of CESU also after the project.

Output 2.1.3: Completed set-up of EMIS, including the translation of EMIS software and its supporting documents into Azeri language, installation of EMIS and other required software into selected computers to facilitate the data transfer between the different points of collecting and storing the data, and having related database, institutional arrangements and agreements completed for monitoring the energy performance of all applicable public buildings in Baku City created with an initial focus on Government owned buildings, including the schools and kindergartens administered by the Ministry of Education, but with a possibility expand and replicate the set-up also in other buildings and cities.

Outcome 2.2 will focus on enhancing the essential capacities for the management and implementation of EMIS, and for expanding its use not only in Baku, but also in other municipalities in Azerbaijan. The specific outputs under Outcome 2.2 include:

Output 2.2.1: Training delivered and skills on EMIS and building energy efficiency strengthened for at least 400 people of different professional groups (incl. municipal authorities, energy auditors, architects, builders, engineers and project financiers) by also adopting the assessment results as per ESIA and the management actions as it is planned in ESMP;;

Output 2.2.2: Municipal Energy Efficiency Charter signed by at least 30 municipalities, including municipalities in Baku rayons;

Output 2.2.3: EMIS and Energy Efficiency Support Units established in at least 30 municipalities, including municipalities in Baku rayons.

Output 2.2.4: Public buildings of participating municipalities equipped for delivering data to EMIS, including at least 200 buildings with a total floor area of at least 1 million m^2.

Outcome 2.3: Investments mobilized using data from EMIS

Output 2.3.1: Completed energy audits by using agreed methodology (see output 1.1.1) with related recommendations for EE measures for at least 30 public buildings by using data from EMIS

Output 2.3.2: Finalized technical design of EE retrofit measures to be implemented in at least 30 buildings with a target to reduce their energy consumption and/or related GHG emissions by at least 35% while ensuring the implementation and monitoring the compliance of the retrofit measures as per the SES principles..

Output 2.3.3: Energy saving projects implemented with monitored and reported results in at least 30 buildings with the total floor area of at least 60 000 m^2 with a target to reduce their energy consumption and/or related GHG emissions by at least 35% by ensuring the implementation of the retrofit measures as per SES principles and monitoring the compliance with them.

The PMU, consulting with key stakeholders, will develop early-on a detailed Project Investment Plan (the 'Plan') for advancing the activities under this output 2.3.3. Once prepared, the project's plan will be reviewed for clearance by UNDP (CO and BPPS NCE), and then shared with the Board.

The Plan will determine, among other aspects, the following:

- Clear demonstration objective for the energy saving investments
- Technical specifications of the energy saving investments
- Ensuring value for money and pricing of any construction materials and labor
- If there are private sector direct beneficiaries of the financial support:
    - The project's approach to ensure minimal concessionality for the level of GEF INV support to the pilot(s)
    - Competitive selection of private sector beneficiaries
- Review of the IP's modalities for transfer of GEF INV support to the pilot(s), ensuring they are aligned with UNDP's policies and financial rules.

Component 3 is about introducing new low carbon norms and standards into the National Social Housing Strategy of the State Housing Construction Agency MIDA to contribute to the national and international efforts to combat climate change.

MIDA has a construction program worth of approximately US$ 100 million per year spreading over the entire country with residential complexes of different size and including also buildings for public services such as schools, kindergartens and shopping centers. Beside projects in Baku (Hovsan and Yasamal), recent construction projects have also been implemented in Ganja and Sumgayit). The construction activities of MIDA are following the building codes in force at the time the construction permit is issued. Therefore, any amendments to the building codes facilitated by the project will be automatically adopted also by MIDA.

The project aims at increasing energy efficiency and the use of renewable energy sources such as solar energy in the new construction projects of MIDA, thereby paving the way for net zero carbon or close to net zero carbon buildings. For this, a new development project of MIDA in Baku Hovsan area has been selected to serve as a testing demonstration ground. By working in close co-operation with MIDA, an emphasis will be to introduce and test measures, which can reduce the carbon footprint of MIDA constructed buildings, while still maintaining the costs at an acceptable level, thereby maintaining a chance to later include such measures as standard requirements for all new projects of MIDA and also into new construction norms.

In this context, it is also essential that efficient use of energy and opportunities for building integrated renewable energy production can be defined as key targets already at the early design phase, thereby opening a way for integrated building design, where architects and engineers responsible for different areas of building design can communicate and work together from the very beginning for reaching these targets rather than working in

sequence. For both architects and building engineers it is important to understand, for instance, how the shape, orientation and selection of construction materials influence building energy efficiency and opportunities for building integrated renewable energy production, and what design solutions would need to be done at each project stage to maintain or maximize such opportunities. The gender aspects are another dimension to be taken into account by an integrated building design approach, ensuring opportunities for equal participation of both men and women and also recognizing eventual gender specific requirements, needs and ways of using the buildings and their facilities.

The project will organize a series of seminars and training events with professionals working at different levels of designing and implementing social housing development projects. The training will focus on how the carbon footprint of these projects can be reduced and what are the issues to be taken into account at different project stages starting from the initial concept design and extending to the correct and careful installation of the selected materials and equipment. After the initial training, a green housing design contest for net-zero carbon buildings will be organized in order to stimulate ideas for further design of the pilot projects and MIDA's construction activities in general, followed up by more detailed design of selected demonstration buildings and their actual construction. The results will be monitored for at least one full year and compared with energy performance and costs (including both construction and life time costs) of buildings with typical standard design.

By building on the above, the outcomes and outputs of component 3 can be presented as follows:

Outcome 3.1: Enhanced capacity of professionals engaged in designing and implementing MIDA social housing projects on integrated low carbon building design principles and on opportunities to reduce the carbon footprint of social housing, while still maintaining the costs at an acceptable level. The specific outputs contributing to outcome 3.1 include the following:

Output 3.1.1 Training delivered and skills strengthened of key professional groups engaged in MIDA construction activities on net-zero or close to net-zero carbon building design and on integrated building design principles in general taking also into account gender related aspects

Output 3.1.2 Green housing contests for a net-zero or close to net-zero carbon design of selected MIDA construction site or building(s) by applying integrated building design principles and into attention of the assessment results identified by ESIA and the management actions as per ESMP to mitigate the risks specifically on construction, occupational and community health and safety. Requirements.

Outcome 3.2. Demonstration of best practices for energy efficient design and construction of social housing with lessons learnt and related recommendations for further work embedded into National Housing Strategy and/or State Construction Code of Azerbaijan Republic, on which MIDA activities are based, including gender related aspects.

Output 3.2.1: Detailed design of at least two residential buildings and all service buildings of selected MIDA site to test and demonstrate new energy efficiency and renewable energy measures going beyond the standard construction norms in force and taking also into account the assessment results identified by ESIA and the management actions as per ESMP to mitigate the risks specifically on construction, occupational and community health and safety.

Output 3.2.2: Construction of buildings with complementary EE and RE measures completed, including required metering and monitoring equipment to be installed both to the new "low-carbon" residential and service buildings as well as to otherwise similar buildings constructed on the basis of the standard construction norms in force and by also taking also into account the assessment results identified by ESIA and the management actions as per ESMP..

The PMU, consulting with key stakeholders, will develop early-on a detailed Project Investment Plan (the 'Plan') for advancing the activities under this output 3.2.2. Once prepared, the project's plan will be reviewed for clearance by UNDP (CO and BPPS NCE), and then shared with the Board.

The Plan will determine, among other aspects, the following:

- Clear demonstration objective for the EE and RE investments
- Technical specifications of the EE and RE investments
- Ensuring value for money and pricing of any technology, construction materials and labor
- If there are private sector direct beneficiaries of the financial support:

    - The project's approach to ensure minimal concessionality for the level of GEF INV support to the pilot(s)
    - Competitive selection of private sector beneficiaries
- Review of the IP's modalities for transfer of GEF INV support to the pilot(s), ensuring they are aligned with UNDP's policies and financial rules.

Output 3.2.3 A report on the monitored and verified results of the demo projects comparing them to the monitored energy performance of otherwise similar "standard baseline buildings", while also including lessons learnt and recommendations for further work, including suggested changes, as applicable, to construction norms and regulations by also adopting the assessment results as per ESIA and the management actions as it is planned in ESMP.

Output 3.2.4 Review of the State Construction Code of Azerbaijan Republic, on which MIDA activities are based and applicable national social housing strategies with related recommendations for amendments, as needed taking into account the social and environmental safeguards principles and how the joint effort of combatting climate change can or should be taken into account in social housing construction.

***Component 4** is focusing on knowledge sharing to scale up, replicate and mainstream the project results.*

As a part of this, component 4 will include the establishment of a regularly updated comprehensive on-line knowledge sharing and networking platform supporting project's awareness raising, training and capacity building activities, including a professional video documenting project results and presenting the pilot zero carbon building(s). In addition, workshops and seminars will be organized, including two international public outreach and knowledge management workshops. Aligned with these initiatives, component 4 is structured under one outcome and three particular outputs:

Outcome 4.1: Enhanced awareness and knowledge about the project results and lessons learnt with compiled KM materials and recommendations for scaling up, while mainstreaming SES principles into strategies for enhancing awareness of the project results and recommendations for upscaling the project's approach.

Output 4.1.1: A comprehensive on-line website and regularly updated open data, knowledge management and networking platform set up and functional

Output 4.1.2: A professional video documenting project results and presenting project's pilot net-zero and close to net-zero carbon buildings.

Output 4.1.3: Two international public outreach, knowledge management workshops, including a final project workshop presenting the project results, lessons learnt and recommendations for upscaling by also adopting SES principles in the knowledge products..

While the four project components and their expected outcomes and outputs will guide the project implementation, the terminal evaluation of the NAMA project "Nationally Appropriate Mitigation Actions (NAMAs) for low-carbon end-use sectors in Azerbaijan" completed in December, 2020 also highlighted the importance of having adequate flexibility for adaptive management during project implementation with a statement that "the importance of an adaptive approach to these kinds of projects cannot be overestimated" The ability and capacity of the project management to adjust the project activities into a changing environment in a most optimal and productive way will be absolutely critical also for the success of this project, while still sticking to the main expected results and targets as presented in the Project Results Framework. The importance of annual PIRs as well as regular annual or bi-annual progress reviews by project advisers with related recommendations for eventually required adaptive management actions (in addition to project mid-term evaluation) in this context can also not be underestimated.

In the implementation of all project activities contributing to the outcomes, outputs and related targets discussed above and in the Project Results Framework (chapter V), the recommendations and the related indicators and targets of the gender analysis and action plan (Annex 10) shall also be taken fully into account. This will also be monitored and supported by the project's gender expert to be engaged under the project's Monitoring and Evaluation component.

***Component 5** is aligned with the project Monitoring and Evaluation Plan described in chapter VI with the following main outputs*:

Output 5.1.1: Inception workshop

Output 5.1.2: Annual project monitoring reports (SESP, Gender, PIR)

Output 5.1.3: Project mid-term evaluation

Output 5.1.4: An end of the project "lessons learnt" report, including monitored results of supported EE investments and recommendations for upscaling

Output 5.1.5: Project terminal evaluation

Partnerships

The partnerships discussed already in the previous chapters are absolutely essential for the realization of the expected project results and for ensuring their effective follow-up. The most critical partnerships are briefly described below with further details in the Annex 9 "*Stakeholder Engagement Plan*", including those to be engaged in co-financed activities.

The Ministry of Ecology and Natural Resources (MoENR) will act as the project Implementing Partner with a need to closely co-operate with other line ministries and municipal authorities, whose full participation and engagement is absolutely critical for project success. The Project Board will serve as a vehicle for this together with the State Commission on Climate Change and its Working Group on CC Mitigation and, as applicable, the Inter-ministerial Committee on Energy. The MoENR co-financing will contribute to:

- cost-sharing of the EE retrofits of buildings managed by the MoENR or its sub-entities (output 2.3.3)
- project's knowledge management and outreach activities (Outputs 4.1.1. and 4.1.3);
- project monitoring and evaluation (Outputs 5.1.1 and 5.1.2); and
- overall project management.

The Ministry of Energy (MoEn) shall be a key project partner as it concerns, in particular, the activities under components 1 and 2 to further develop an enabling policy framework for building energy efficiency and to establish, eventually in co-operation with the State Committee on Urban Planning and Architecture, the Central EMIS Support Unit and a database to record the energy performance of all public buildings as well as to facilitate related training and capacity building. The MoEn co-financing will contribute to components 1 and 2 bv:

- sharing the costs of the required legal and regulatory work (Outputs 1.1.1 and 1.1.2)
- hosting and further developing the EMIS (Outputs 2.1.2-2.1.3).

The Ministry of Education (MoEd) will be a key project partner to adopt EMIS into the buildings managed by it as well as to facilitate and support also financially the actual EE retrofits under outcome 2.3. By being the state agency in charge of over 4400 schools and 600 kindergartens in the Republic of Azerbaijan, the MoEd is well positioned to advance better energy performance monitoring of the buildings managed by it and to promote energy efficiency and increasing use of renewable energy sources in those buildings in general.

MIDA is the key project partner for Component 3 to make the social housing constructed in the country more climate friendly. With the GEF project support the aim is to encourage the adoption of new energy efficiency renewable energy requirements into the MIDA construction activities, while still maintaining the costs of construction at an acceptable level. The MIDA co-financing will primarily contribute to Outputs 3.2.1 and 3.2.2 together with smaller in-kind contributions to other outputs of component 3 (see table 2 below).

Table 2 Project co-financing partners

Co-financing source	Co-financing type	Co-financing amount (US$)	Included in project results?	If yes, list the relevant outputs
The Ministry of Ecology and Natural Resources (MoENR)	Public Investment	680,000	*Yes*	Outputs 2.3.3
	In-kind	500,000	Yes	Outputs 4.1.1, 4.1.3, 5.1.1, 5.1.2 and project management
Ministry of Energy (MoEn)	Public Investment	400,000	Yes	Outputs 1.1.1, 1.1.2, 2.1.2 and 2.1.3.
	In-kind	400,000	Yes	Outputs 1.1.1, 1.1.2 and 2.1.1-2.1.3.
Ministry of Education	Public	10,800,000	Yes	Output 2.3.3

(MoEd)	Investment			
	In-kind	500,000	Yes	Output 2.3.1 and 2.3.2
State Housing Development Agency of the Government of Azerbaijan (MIDA)	Public Investment	20,000,000	Yes	Outputs 3.2.1 and 3.2.2
	In-kind	100,000	Yes	Outputs 3.1.1, 3.1.2, 3.2.1, 3.2.3, and 3.2.4

The project co-financed activities are managed in co-operation by the project management unit, as it concerns any GEF supported inputs and the project co-financing partner, as it concerns their share.

All co-financed activities are included and will be monitored as a part of project's monitoring and evaluation plan described in chapter VI.

Table 3 Other key project partnerships

Name of the entity	**Role**
State Commission on Climate Change and its Working Group on CC Mitigation	The State Commission on Climate Change was established in 1997 for ensuring the implementation of the commitments made by the Republic of Azerbaijan in accordance with the United Nations Framework Convention on Climate Change. The new composition of the State Commission was approved by a President Decree dated March 11, 2020 with the Deputy Prime Minister serving as the Chairman of the Commission, the Minister of Ecology and Natural Resources as the Deputy Chairman and the other members consisting of the Minister of Finance, Minister of Economy, Minister of Agriculture, Minister of Health, Deputy Minister of Foreign Affairs, Deputy Minister of Transport, Communications and High Technologies, President of the Azerbaijan National Academy of Sciences, President of the State Oil Company of Azerbaijan, President of "Azerenergy" OJSC and the Chairman of the Azerbaijan Amelioration and Water Management OJSC. The Action Plan of the Commission includes 2 courses of action: 1. Developing Inventory and Monitoring, Reporting, and Verification (MRV) systems, 2. Evaluation of GHG emission reduction measures by sectors. As such, the State Commission will be logical forum to discuss and advocate for any high-level policy issues that the project is seeking to advance.
State Committee on Urban Planning and Architecture	The State Committee on Urban Planning and Architecture (SCUPA) is an executive body responsible for unified government policy and regulation in urban planning, zoning, architecture, and related design, including supervision of the compliance of construction activities with laws and regulations in force. In the NEEAP, the SCUPA has been assigned with a responsibility to work together with the Ministry of Energy, Ministry of Economy and other line ministries on the 1) Development and adoption of primary and additional legislative acts on energy efficiency, including technical regulations and normative documents on standardization; 2) Removal of barriers and facilitation of energy performance contracting and ESCO market for public buildings and street lighting; 3) National renovation programme for private (commercial, office and residential) and public buildings; 4) Energy performance certification of buildings 5) Construction of highly efficient new buildings; and 6) Exchange of information and best practices on energy efficiency measures in public sector. SCUPA together with other local stakeholders will also be a logical partner to co-operate with for all the training activities organized by the project.
Executive authorities of local cities and municipalities	Baku Executive Authority and the executive authorities of other cities will be critical for adopting EMIS, for establishing local EE centers and for gradually starting to improve the energy efficiency of the public buildings owned and managed by local municipalities. After starting with Government buildings, including schools and kindergartens managed by the Ministry of Education, the project seeks to increasingly expand its activities and the adoption of EMIS also in public buildings managed by local municipal authorities.
Azerbaijan Standardization Institute	Azerbaijan Standardization Institute (AZSTAND) is the national standardization body of Azerbaijan with a responsibility to publish state standards, specifications, field standards, national classifications and standards catalogues. In the NEEAP, AZSTAND has been assigned as a co-operating partner, among others, for activities dealing with energy performance certification of buildings and construction of highly efficient new buildings.
State Agency for Alternative and Renewable Energy Sources (SAARES)	The State Agency for Alternative and Renewable Energy Sources (SAARES) is the central executive body carrying out state policy in the alternative and renewable energy in Azerbaijan. While its activities have been largely focusing on advancing larger scale electricity generation by renewable energy sources in Azerbaijan, it has also been working on the development of proposals for expanding the use of building integrated alternative and renewable energy sources as well as on improving the buildings' energy

Name of the entity	Role
	efficiency in general (including "Regulations on the estimates of the heating requirements in old residential buildings", "Integrated intelligent system of low-rise buildings and cottages (suburban small houses)", "Recommendations for residential heating stations in high-rise residential buildings", "Methodology for calculating energy demand in buildings", "Regulations on energy demand in buildings", "Design standards for replacement of central heating points in buildings with automated individual heating points", "Standards on gas fuel consumed per unit of electric and thermal energy" and "Recommendations for assessing the economic efficiency of heating investment project". Given the above, SAARES currently being also in the process of becoming a subordinate to the Ministry of Energy would be a logical project partner to co-operate with any of the topics listed above.
Azerishig OJSC	Azerishig OJSC is responsible for the electricity distribution and supply functions in Azerbaijan except for the Nakhchivan Autonomous Republic. As a main entity responsible for electricity metering and billing, it is an obvious co-operating partner for further exploring ways to transfer building specific electricity consumption and billing data directly to EMIS and for increasing the use of smart meters both for allowing easy automatic data transfer and for facilitating effective load management as well as net metering in the case of building integrated decentralized power production, for instance, by solar energy.
Azerigaz PU	Until 2009, "Azerigaz" OJSC was a separate state-owned company, but in 2009 it was reorganized and put under the control of SOCAR. In that process, it was also renamed to Azerigaz Production Unit (PU). Azerigaz PU is currently responsible for the transmission, storage, distribution and supply of natural gas, whereas SOCAR is responsible for natural gas exports. Similar to Azerishig, Azerigaz is an obvious co-operating partner for further exploring ways to automatically transfer building specific natural gas consumption and billing data directly EMIS.
Azerbaijan Energy Regulatory Agency (AERA)	Azerbaijan Energy Regulatory Agency (AERA) was established in 2017 as a subordinate to the Ministry of Energy to become the responsible authority for the calculation and approval of energy tariffs after these functions of the former Tariff Council will be transferred to it. The draft Law on this matter has been prepared with support of the EBRD and was submitted to the Cabinet of Ministries for inter-ministerial consultations in July 2019, but the final decision on the matter and related transfer of responsibilities to AERA is still pending. Once/if completed, AERA will be a logical project partner for any tariff related issues and has also been mentioned in the NEEAP as the responsible party for developing new tariff methodologies. By the project "Support to the newly established Azerbaijan Energy Regulatory Agency", EBRD can continue to provide technical assistance to AERA.
Academic and research community	Bringing scientific and technical expertise in project implementation and contributing to the scaling of the project results up, out and deep.
NGOs	The project will include NGOs active in environment and energy fields, women associations, labor union, builders' association, energy service providers, energy auditors associations, sustainable development related organizations; architects union; academia and relevant media etc. in capacity building and awareness raising activities, in order to support the development of their professional capacities (e.g. of energy auditors and energy managers; capacities of builders working in construction sector) and to create awareness on energy efficiency and EMIS and different gender priorities in energy use, energy management services. Buildings managed by NGOs providing complementary social support and protection for families, women and children are also be sought to be included among the buildings to retrofitted with project support, thereby enhancing buildings' thermal comfort, reducing their annual energy costs and by that reducing also the related financial burdens of the NGOs operating in those buildings.
Private sector	The project will work with construction companies, private commercial banks and investment funds (with green energy and climate change portfolios), SMEs (women led SMEs support will be prioritized) and other development partners to increase awareness and knowledge on energy efficiency and increase capacities to develop and/or assess green energy efficiency investments in buildings.

As it concerns the co-operation with the private sector, the project will build on the experiences from the EU Eastern Partnership (EaP) Green Project "Scaling Up Green Investments and Finance in Azerbaijan" and the UNDP NAMA Project completed at the end of 2020. Co-operation is sought to be established with construction companies, private commercial banks and investment funds with green energy and climate change portfolios.

Different building sector professionals (architects, engineers, construction workers etc.) and SMEs (with specific attention to women led SMEs) will benefit from the project training activities together with new financial and fiscal incentives, thereby creating also new business and job opportunities.

Risks

The project risks are discussed in greater detail in Annex 5 to this project document. As per standard UNDP requirements, the Project Manager will monitor risks quarterly and report on the status of the risks to the UNDP Country Office. The UNDP Country Office will record progress in the UNDP ATLAS risk log. Risks will be reported as critical when the impact and probability are high (i.e. when impact is rated as 5, and when impact is rated as 4 and probability is rated at 3 or higher). Management responses to critical risks will also be reported to the GEF in the annual PIR.

As it concerns the social and environmental risks, UNDP's Social and Environmental Standards (SES) underpin UNDP's commitment to mainstream social and environmental sustainability in its programs and projects to support sustainable development, and are an integral component of UNDP's quality assurance and risk management approach to programming. Through the SES, UNDP meets the requirements of the GEF's Environmental and Social Safeguards Policy.

UNDP's Social and Environmental Standards

UNDP's Social and Environmental Standards (SES) underpin UNDP's commitment to mainstream social and environmental sustainability in its programs and projects to support sustainable development, and are an integral component of UNDP's quality assurance and risk management approach to programming. Through the SES, UNDP meets the requirements of the GEF's Environmental and Social Safeguards Policy.

The objectives of the SES are to:

- Strengthen the social and environmental outcomes of Programs and Projects
- Avoid adverse impacts to people and the environment
- Minimize, mitigate, and manage adverse impacts where avoidance is not possible
- Strengthen UNDP and partner capacities for managing social and environmental risks
- Ensure full and effective stakeholder engagement, including through a mechanism to respond to complaints from project-affected people

UNDP uses its Social and Environmental Screening Procedure (SESP) to identify potential social and environmental risks and opportunities associated with all proposed projects. Each project is scrutinized as to its type, location, scale, sensitivity and the magnitude of its potential social and environmental impacts. All project components are screened, including planning support, policy advice, and capacity-building, as well as site-specific, physical interventions. Activities that will be completed under project co-financing are also included in the scope of the assessment.

Potential Social and Environmental Impacts

During project development, the project was reviewed with UNDP's SESP. The analysis identified a range of potential social and environmental impacts associated with the project activities. The SESP template (Annex 4) details the specific environmental and social risks that apply. The significance of each risk, based on its probability of occurrence and extent of impact, has been estimated as being either low, moderate, substantial or high.

Screening using the SESP identified the following risks rated as "Moderate":

Risk 1: Project activities and approaches might not fully incorporate or reflect views of women, and ensure equitable opportunities for their involvement and benefit.

Risk 2: Existing policies and standards for construction and retrofit work do not meet or exceed SES Requirements.

Risk 3: Project activities may involve work within or adjacent to, sites of cultural heritage importance, thereby adversely affecting them.

Risk 4: Project-related grievances and concerns from members of the public or employed workers, may not be addressed in a free, fair and transparent and timely manner.

Risk 5: Construction/retrofit activities may cause temporary or permanent economic or physical displacement.

Risk 6: Activities funded by project (co-) financing partners may not be carried out in consistency with UNDP SES.

No risks were identified as either “Substantial” or “High”.

Under the SES, the overall risk category of a project is taken from the highest rating allocated to any individual risk. i.e. if a project has one or more “High” risks, it has a “High” overall risk categorization.

Based on the significance of these individual risks, the project has been allocated an overall SESP risk categorization rating of “Moderate**”**,

Further details on these risks are included in the full SESP, attached as Annex 4.

The SESP process and findings are based on the broad scope of envisaged project activities, outputs and outcomes currently identified. The management strategies are therefore designed to manage those impacts in their broadest sense, and the allocated significance rating is based on a precautionary approach. The risks identified by the SESP are assessed as being limited in number, well understood and relatively easily mitigated. As such, the risks can largely be addressed through straightforward application of environmental siting, permitting requirements, pollution standards, design criteria, construction standards and good international practice. Significant aspects of these risks are managed through the project's design and through the measures included, which integrate UNDP andGEF standards. For example:

- Under Component 1, a construction and labour standards expert will conduct an analysis to assess national policies and standards for construction and retrofit work to identify any areas where they might not be consistent with SES requirements. Where gaps are found, additional specific requirements as well as the national building codes, whichever is the more stringent will be included in construction/retrofit contracts as required. The analysis will include regulations on Occupational Health and Safety, Community Health and Safety, Labor Standards, Waste Management and Air and Water Pollution and Permitting. An Environmental and Social Impact Assessment (ESIA) will be carried out simultaneously with the mentioned analysis development for all construction and retrofit activities in order to identify and assess the potential social and environmental impacts of each construction and retrofit activities in its area of influence, evaluates alternatives, and designs appropriate avoidance, mitigation, management, and monitoring measures. An Environmental and Social Impact Assessment (ESIA) will be carried out simultaneously with the feasibility studies development for each station in order to identify and assess the potential social and environmental impacts of each station in its area of influence, evaluates alternatives, and designs appropriate avoidance, mitigation, management, and monitoring measures. If the scoped Environmental and Social Management Plans (ESMPs) would result from the scoped ESIAs of any of the construction and retrofit work, these ESMPS will be developed also in frames of this output as a part of the initial stage.
- Outputs 1.1.1 and 1.1.2: the project will use its influence to promote compliance with the SES in the technical standards and guidelines of new secondary legislation to support implementation of the Law on Efficient Use of Energy Resources
- Training, as well as terminal evaluations under Component 2 will be informed by experiences supporting EMIS in Serbia, Croatia and Russia. The results derived from the scoped ESIAs as well as the analysis will be input for the design of the construction, refurbishment and retrofit work.
- Under Output 2.1.1, the feasibility study for the introduction of EMIS in Azerbaijan will consider and address SES related aspects
- SES related aspects including technical standards and guidelines will be integrated into the training delivered to 400 or more professional groups involved in building design and construction
- Output 2.3.2 and 2.3.3: retrofit measures implemented will comply with SES requirements , duly monitored for compliance
- Outputs 3.1.2 and 3.1.3: reflection of SES criteria will be requirements the green housing contests, with residential buildings required to demonstrate energy efficiency and renewable energy measures going beyond the standard construction norms in force, and taking into account SES requirements on construction, occupational and community health and safety, and other relevant aspects of the SES
- Under Output 3.2.3 and 3.2.4, monitoring of demo projects, lessons learned and recommendations for further work, as well as suggested changes to construction regulations, will include the monitoring of compliance with the SES, any difficulties encountered, and recommendations as to the integration

of social and environmental considerations including gender, human rights, accountability and technical standards

- Component 4 seeks to mainstream SES aspects into strategies for enhancing awareness of the project results and recommendations for upscaling the project's approach.
- This risk related to the activities funded by project (co-) financing partners is for all project activities. For all co-financiers, UNDP will be accountable for ensuring the "consistency" with its SES and grievances policy, while the co-financier partners apply their own policies & procedures.

Further Screening, Assessment and Management

The relevance of risks may vary across sites, and the significance or likelihood of associated risks or impacts is not necessarily uniform across at all locations. Further screening is required to identify their site-specific magnitude and intensity, and to effectively target additional impact assessment or management. To ensure this occurs, the project will conduct targeted assessments and review to determine how potential adverse impacts identified in the screening will be managed on a site-specific basis.

Impact management will adhere to the "mitigation hierarchy" model, ie. where possible, adverse impacts will be "designed out" – i.e. the design of project activities will be amended or adjusted so as to avoid the identified impacts; where this is not possible, measures will be developed, in conjunction with stakeholders, to reduce, minimize, mitigate or manage those impacts.

During the course of the project, activities and exact locations, the details of which are not currently specified, will be proposed and developed under Components 2 and 3. These proposed activities will, as they arise and as sites are identified, require screening, assessment and management using the SESP methodology to ensure that any impacts are identified, their significance is established, and any required impact-specific management actions are developed and applied.

Screening will take place as additional sites and activities are proposed. Site-specific screening will use the SESP template, and rate foreseen impacts as "High", "Moderate" "Substantial" or "Low". At the current stage of project development, no Substantial or High impacts are envisaged. If the SESP, used on a site-specific basis, identifies such impacts, the project will be re-classified accordingly. If screening indicates that a project activity causes, either directly or indirectly, economic or physical displacement, as defined by SES Standard 5, the project will not support that activity. No GEF funds will be used to compensate economic or physical displacement.

An **Environmental and Social Management Plan** will be prepared before the commencement of the project, and will ensure that impact management and mitigation measures are prepared to ensure that construction activities are conducted in accordance with the SES and national regulations. It will include, but not be limited to the following:

Contractor Selection: UNDP will ensure the use of contractors that are reputable and legitimate enterprises licensed by the relevant government regulatory agencies. The local labour expert will assess the capacities of project partners and third parties to observe and implement decent working conditions aligned with UN standards and national legislation.

Labor Standards: The project will comply with all national labor standards with regards to minimum wages paid for building workers and respecting all national laws related to labor.

Occupational Health and Safety: The ESMP will include an Occupational Health and Safety Plan to ensure that workers are protected during construction. The plan will include conditions under which the use of PPE is mandatory. It will ensure that first aid kits are available on site. For major injuries, emergency, primary and preventative care workers will have access to health facilities. The contractor will be required to provide adequate systems for sanitary conditions such as toilet facilities and waste bins. UNDP will ensure the project complies with all relevant laws on occupational health and safety, and that workers are provided with a safe and healthy work environment, taking into account risks inherent to the sector, and will ensure steps are taken to prevent accidents, injury and disease occurring during the course of work, and will ensure the application of preventative measures consistent with international good practice as reflected in the World Bank "Environmental Health and Safety Guidelines", including the provision of PPE at no cost to the worker. Targeted assessments of retrofitting and construction work will be conducted to identify, minimize and manage risks. Health and safety training, including on the proper use and maintenance of PPE, will be provided at no cost to workers. All accidents and incidents will be recorded and notified, and emergency prevention and preparedness

and response arrangements will be put in place. Employment injury benefits and/or remedies for adverse impacts such as occupational injuries, disability, ill health or disease and death, will be provided.

Due diligence will be conducted to ascertain that third parties who engage project workers are legitimate and reliable entities and have in place appropriate policies, processes and systems that ensure they will operate in accordance with the requirements. UNDP will ensure that procedures are established for managing and monitoring the performance of such third parties in relation to the minimum requirements, including incorporation of the minimum requirements into contractual agreements, together with noncompliance remedies. Third parties will be required to include equivalent conditions in their contractual agreements with subcontractors.

Community Health and Safety: The project activities will all be carried out in full compliance with all national laws on health and safety as they relate to any community health risks. Site management plans will be developed, in accordance with standard good practice and SES requirements, and commensurate with the magnitude of identified impacts.

Waste: The project will only use building materials that do not impose undue risks and which are in full compliance with national building codes and the SES, including requirements relating to the disposal of waste materials. UNDP will ensure that pollution prevention and control technologies and practices, consistent with international good practice are applied. Where waste generation cannot be avoided, it will be recovered or reused, treated or disposed of in an environmentally-sound manner. Agreements with building contractors will include specific requirements for environmentally-safe waste disposal, aligned with the national legislation.

Management of identified risks will follow the "mitigation hierarchy" model, described above. Where required, additional stand-alone plans for the activity may be developed, or addendums made to existing stand-alone plans, such as a site-specific addition to the Gender Action Plan, Traffic Management Plan, or site-specific Waste Management Plan.

Reputational Risk: For co-financiers, UNDP will be accountable for ensuring the "consistency" with its SES and grievances policy, while the co-financier partners apply their own policies & procedures. The SES risks could be managed engaging and working with partners to agree on a "common approach" to social and environmental safeguards. The scoped ESMF should be shared as a guidance on how to manage the activities at the commencement of the project.

Safeguard measures developed by co-financing partners for activities that are directly coordinated with the project will be reviewed by the project team and UNDP for consistency with the UNDP SES prior to initiating work on the ground.

For activities funded by co-financing partners that are directly coordinated with the project's activities, any gaps with respect to UNDP SES will be discussed and reviewed regularly, during the oversight missions, the multi-stakeholder coordination platform meetings and Project Board meetings. If co-finance risks for the identified activities require further assessment and management during project implementation, these activities won't be proceeded until subsequent assessment and management plans are completed and shared with UNDP for assurance. Also, the project GRM will be available for stakeholders involved in collaborative activities implemented by co-financing partners.

As a general rule, an agreement will be aimed to be signed with co-financiers, outlining that in case of discrepancy/different policies of the relevant institutions/financiers, the most stringent Environmental and Social guidelines/safeguards will be applied.

Project Grievance Mechanism: The project will establish and implement a transparent, fair and free-to-access project-level Grievance Redress Mechanism (GRM), which will be put in place at the start of implementation. The Mechanism will be developed in accordance with the guidance at https://info.undp.org/sites/bpps/SES_Toolkit/SES%20Document%20Library/Uploaded%20October%202016/Stakeholder%20Response%20Mechanism%20-%20Overview%20and%20Guidance%20(Rev%209%20June).pdf

The full details of the GRM will be agreed with stakeholders during project inception.

Stakeholder engagement and south-south cooperation

The project Implementing Partner and the project management team will be responsible for actively engaging all critical stakeholder that can either contribute to the project or who will be affected by the project. Public

sector stakeholders will be engaged by their envisaged roles elaborated in further detail in Table 1 of the chapter *Partnerships*, while the State Commission on Climate Change and its Working Group on CC Mitigation will serve as an additional venue for engaging key Government stakeholders. As regards the civil society, different professional groups and the private sector, a series of different training and networking events will be organized throughout project implementation. The green housing design contests for net-zero or close to net-zero carbon buildings (output 3.1.2) will serve as a complementary vehicle for engaging architects and building engineers to join their forces for new more energy efficient building design. The planned energy audits and follow-up investments for EE renovations will open new business opportunities also for the private sector, accompanied by the training, networking and knowledge sharing activities organized by the project.

Co-operation between the project teams engaged in similar activities in other countries will be facilitated with examples such as Serbia, Croatia and Russia, which are currently developing their own legislation and regulatory framework dealing with building energy efficiency and have also taken EMIS into use already earlier.

In addition, to bring the voice of Azerbaijan to global and regional fora, the project will explore opportunities for meaningful participation in specific events where UNDP could support engagement with the global development discourse on reducing the carbon emissions from the building sector. The project will furthermore provide opportunities for regional cooperation with countries that are implementing initiatives on buildings energy management in geopolitical, social and environmental contexts relevant to the proposed project in Azerbaijan.

Gender equality and Women's Empowerment

The gender analysis and gender action plan is presented as annex 10 of this project document. They will be monitored during project implementation by collecting gender specific data on the stakeholders addressed and involved into project activities as well as on the impact of those activities. Gender specific indicators have also been included into the project results framework.

For component 1, project activities will be designed in such a manner that gender specific issues can be taken into account in the policy and regulatory amendments, when applicable. The draft legal and regulatory texts prepared with project support will also be reviewed by gender specialists to pinpoint any parts that may be counterproductive to the gender equality agenda or what could be added or amended to better support it. A more comprehensive gender impact analysis can be done on those legal and regulatory drafts that are anticipated to have significant impacts from the gender equality point of view.

In Component 2, the Energy Management Information System (EMIS) and energy audits will enable the collection of gender disaggregated data at the required level of detail, which is expected to provide the necessary data for policy makers to identify possible constrains as well as opportunities to address the needs of different genders in relation to available energy services. As regards the planned training and other capacity building activities under component 2, the project will ensure that equal training opportunities are provided for all genders, they are equally represented and supported to attend training and also specifically encouraged to do that. As an example, the project can arrange child care services during the training sessions, when and as needed. Awareness raising activities will engage associations dealing with gender specific issues to support incorporation and mainstreaming of gender considerations in awareness raising and information materials by taking into account, for instance, eventual different energy consumption patterns and needs of different genders and gender differentiated priorities in any energy management related activities otherwise.

As concerns the actual EE retrofits to be supported under component 2, buildings managed by non-governmental organizations providing complementary social support and protection for families, women and children are sought to be included and prioritized for project support to strengthen the project' social benefits, including gender aspects. This will be facilitated by enhancing the thermal comfort of the buildings hosting such services, lowering their annual energy costs and thereby also improving their financial situation, on the basis of which these centers operate.

For component 3, the project will work with MIDA aiming at "greening" the social housing in MIDA constructed public facilities, including the introduction of gender disaggregated indicators to ensure that equal opportunities are in place for different genders and that this is properly reflected also in the State Construction Code of Azerbaijan Republic, on which MIDA activities are based. Equal gender related opportunities for the participation into the Green housing design contests for net-zero or close to net-zero carbon design of a selected MIDA construction site or building(s) will also be specifically encouraged and supported and followed up during more detailed building design by integrated building design principles, including gender aspects.

In component 4, the gender specific aspects will be taken into account in designing the structure and content of project's knowledge management and networking platform by including a specific section dealing with gender issues in building sector and energy efficiency. The project monitoring and evaluation activities will also need to take gender related issues into account on the basis of gender specific indicators included into the project results framework and specific chapters on gender equality required in the PIRs and evaluation reports.

Based on the fundamental principles of promoting equality and combating discrimination, participation in the proposed project activities shall be guaranteed regardless of sex, racial or ethnic origin, religion or belief, age or sexual orientation. All contractors shall be requested to provide non-discriminate participation of men and women during the implementation phase of respective tasks. The gender specific dimensions of the project can show up, for instance, when counting the number of participants benefitting from the training of new energy managers.

Innovativeness

The proposed project has a strong innovative dimension by the first-time effort in Azerbaijan to introduce an on-line intelligent energy management information system (EMIS) at the municipal level. As regards building energy efficiency in general, the concept of net-zero or close to net-zero carbon buildings has not yet been effectively introduced or tested in Azerbaijan nor is the idea of integrated buildings design, where architects and building engineers responsible for different sub-components of building design can effectively work together from the very beginning to maximize the opportunities for improved energy efficiency and increased use of renewable energy resources, while still maintaining the construction costs at an acceptable level. Similarly, the project aims at shifting the discussion from initial construction costs to buildings' lifetime cost, as well as the national economic costs of wasted energy in the case of domestically subsidized energy prices. All these aspects still present in Azerbaijan rather new ways of approaching and promoting more efficient use of country's energy resources rather than just seeing improved energy efficiency as an additional cost burden in the construction sector.

From the technical point of view, the project and its joint activities both with MIDA and the local state and municipal authorities provide an excellent platform for testing and demonstrating new innovative energy efficiency and renewable energy technologies in the selected buildings such as new building automatization for controlling and optimizing building's indoor temperature, humidity and air quality, net metering in the case of buildings own energy production by solar energy or heat pumps, new technologies for improving heat recovery from buildings waste heat resources such as exhaust ventilation air, new materials and shadowing installations to prevent excess heat accumulation into the buildings during the summer time, thereby reducing the cooling needs etc. All these present still quite new and innovative technologies and approaches in Azerbaijan, thereby preparing ground for their broader acceptance and adoption both by the building owners and suppliers of buildings' energy technologies and services as well as preparing ground for the adoption of new policy requirements, should the testing of new technologies and approaches demonstrate that they can be used to further advance the energy efficiency agenda in Azerbaijan in a technically and economically feasible way. Furthermore, the project provides a platform for developing and advancing new business models such as using energy supply contracts for managing public buildings' heating, cooling and other energy needs, should this facilitate buildings' energy management and further improvement of their energy performance in a most cost-effective and environmentally friendly way.

Sustainability

For project sustainability it is essential that the key stakeholders are convinced by both the long and shorter term "win-win-win" opportunities of the suggested measures and activities, including the environmental benefits by reducing energy consumption and related greenhouse gas emissions as well the direct and indirect national economic benefits by directly reducing the public budget spendings on energy used by public buildings, increasing the amount of local energy resources available for export at international market prices, and creating new job and business opportunities in advancing new resource efficient construction activities.

The improvement of the regulatory framework under component 1 will enhance the sustainability of project results by making, for instance, Energy Management mandatory for all significant energy consumers and subsectors targeted by the project, thereby creating also a sustainable demand and new work opportunities for the trained energy managers and energy auditors.

As regards the question on who will pay for the operation and maintenance costs of the buildings that will be selected for project support, it depends on the type of building. For state owned buildings or those owned by the local municipal authorities, it is Government or the local municipal authority, who will continue to pay for the O&M costs of the buildings owned by them. For residential buildings constructed by MIDA, further O&M costs of the buildings are typically paid by the building residents themselves.

As it concerns the sustainability of EMIS and the Central EMIS Support Unit hosted by the Ministry of Energy, this is sought to be ensured by including into the relevant legal and regulatory acts an obligation for mandatory energy management and monitoring of buildings' energy performance for all public, commercial and residential buildings exceeding a certain size. The first steps towards this direction have already been taken by the new Law on Energy Efficiency, but further work in this area is still required and is envisaged to be also supported by the proposed project. Essential for the sustainability of the project results is also the continuing updating and maintenance of the EMIS hard- and software as well as continuation of the EMIS help desk after the project end to support entities and their energy managers submitting data to EMIS with any technical problems they may be facing.

Finally, it is essential that as a cross-cutting element for all the project training and public outreach activities, including outputs 2.2.1, 3.1.1, 3.2.3 and Outcome 4.1 as a whole, the benefits of energy conservation can be demonstrated by a cost—benefit analysis comparing different energy consumption patterns.

Potential for scaling-up

The total floor area of residential buildings in Azerbaijan is currently about 200 million m^2 [4] and the total floor area of public buildings can be estimated at about 30 million m^2 i.e. significantly more than the 60,000 m^2 targeted by the investment component of this project for EE retrofits. Similarly, the new construction of MIDA for social housing over the next 10 years is expected to reach at least 120 thousand square meters, so the potential for replication and scaling up of the EE and RE measures tested and demonstrated in the pilot buildings to be supported by this project is also significant. The close monitoring and sharing of the results of the investment projects implemented in the frame of the proposed project will build a basis for further replication and scaling up the use of those low-carbon technologies.

As regards EMIS, once the project has successfully demonstrated that energy management information systems and related buildings' improved energy management can lead to energy savings up to 10% or more at minimal cost, it is highly likely that it would look increasingly attractive both to the Government of Azerbaijan and the local municipalities to support the replication and scaling up of EMIS for the entire country. The target of the project is already to introduce EMIS in 30 major cities in Azerbaijan (such as Ganja, Sumgayit, Mingechevir, Sheki, Guba, Ismayilli and Gabala) together with signing an Energy Charter, which will also provide a basis for further replication and scaling up of the project results.

[4] See https://www.stat.gov.az/source/healthcare/az/003_2.xls

V. PROJECT RESULTS FRAMEWORK

This project will contribute to the following Sustainable Development Goal (s): *#5* Gender equality, #7 Affordable and clean energy, #11 Sustainable cities and communities, #13 Climate Action				
This project will contribute to the following country outcome (UNDAF/CPD, RPD, GPD): Outcome 3.1: By 2020, sustainable development policies and legislation are in place, are better implemented and coordinated in compliance with multilateral environmental agreements, recognize social and health linkages, and address issues of environment and natural resource management, energy efficiency and renewable energy, climate change, and resilience to hazards and disasters.				
	Objective and Outcome Indicators **(no more than a total of 20 indicators)**	**Baseline**	**Mid-term Target**	**End of Project Target**
Project Objective: To promote energy efficiency in buildings, which includes implementing an intelligent Energy Management Information System (EMIS) and greening MIDA Social Housing Programme	**Mandatory** Indicator 1: # direct project beneficiaries disaggregated by gender (individual people)	Males: 0 Females: 0	Males: 700 Females: 700	Males: 5 000 Females: 5 000
	Mandatory GEF Core Indicators:			
	Indicator 2: Direct and indirect lifetime GHG emissions avoided (metric tons of CO2e)	Direct: 0 Indirect: 0	Direct: 0 Indirect: 0	Direct: 200 000 tons of CO_{2eq} Indirect: 1 170 000 tons of CO_{2eq}
	Indicator 3: Energy saved (TJ)	0	0 TJ	1 800 TJ
	Indicator 4: Increase in installed renewable energy capacity (MW)	0	0	1 MW
Project component 1	Enabling policy framework for increased energy efficiency in buildings			
Outcome 1.1: Required legal and other policy interventions in place for effective implementation of energy efficiency in buildings	*Indicator 5: Status of the legal and regulatory documents listed in chapter IV of the project document (under Outputs 1.1.1 – 1.1.2)*	None	Drafts of required primary and secondary legislation (or their amendments) completed for items listed in chapter IV of the project document (Outputs 1.1.1 – 1.1.2)	Required primary and secondary legislation (or their amendments) adopted for items listed in chapter IV of the project document (Outputs 1.1.1 – 1.1.2)
Outputs to achieve Outcome 1	Output 1.1.1: New secondary legislation, including technical standards and guidelines, to support the implementation of the Law on the Efficient Use of Energy Resources and the NEEAP developed and adopted, as listed in chapter IV of the project document, including provisions for recommended adoption of EMIS with uniform standards for public buildings. Output 1.1.2: A new Law on Energy Efficiency in Buildings and related secondary legislation drafted and, as applicable, adopted			
Project component 2	Improved monitoring of buildings' energy performance by Energy Management Information Systems (EMIS) established at the municipal level and leveraged financing for municipal EE investments			

Outcome 2.1: Central EMIS Support Unit established and securing funding for its continuing operation after the project, thereby providing a basis for broader sustainable adoption of EMIS.	*Indicator 6: Status of the Central EMIS Support Unit*	NA	Central EMIS Support Unit established with trained staff	Central EMIS Support Unit in operation with secured funding to sustain its operation also after the project
Outputs to achieve Outcome 2.1	Output 2.1.1: Feasibility study for the introduction of EMIS in Azerbaijan completed Output 2.1.2: Central EMIS Support Unit established with required ICT facilities and staff (including a help desk), and securing funding for its continuing operation also after the project. Output 2.1.3: Completed set-up of EMIS, incl. its installation and translation into Azeri language, required arrangements for data transfer and a database, institutional arrangements and agreements completed for monitoring the energy performance of all applicable public buildings in Baku City with an initial focus on Government owned buildings, including the schools and kindergartens administered by the Ministry of Education, but with a possibility expand and replicate the set-up also in other municipalities.			
Outcome 2.2: Enhanced capacities for energy efficiency in buildings and EMIS implementation	*Indicator 7: Number of municipalities and buildings using and regularly delivering data to EMIS*	Municipalities: 0 Buildings: 0	Municipalities: 5 Buildings: 100	Municipalities: 30 Buildings: 300
	Indicator 8: Number of trained professionals on using EMIS (disaggregated by gender)	Males: 0 Females: 0	Males: 100 Females: 100	Males: 200 Females: 200
Outputs to achieve Outcome 2.2	Output 2.2.1: Training delivered and skills on EMIS and EE strengthened for at least 400 people of different professional groups Output 2.2.2: Municipal Energy Efficiency Charter signed by at least 30 municipalities, including municipalities Baku rayons Output 2.2.3: EMIS and Energy Efficiency Support Units established in at least 30 municipalities, including municipalities Baku rayons Output 2.2.4: Public buildings of participating municipalities equipped for delivering data to EMIS, including at least 200 buildings with a floor area of at least 1 million m^2.			
Outcome 2.3: Investment mobilized using data from EMIS	*Indicator 9: Number of buildings and the amount of investments used for implementing energy saving measures by using data from and monitored by EMIS*	Number of buildings: 0 Amount of investments: 0	Number of buildings: 3 Amount of investments: US$ 1,000,000	Number of buildings: 30 Amount of investments: US$ 10,000,000
Outputs to achieve Outcome 2.3	Output 2.3.1: Completed energy audits by using agreed methodology (see output 1.1.1) with related recommendations for EE measures for at least 30 public buildings using data from EMIS Output 2.3.2: Finalized technical design of EE retrofit measures to be implemented in at least 30 buildings with a target to reduce their energy consumption and/or related GHG emissions by at least 35%. Output 2.3.3: Energy saving projects implemented with monitored and reported results in at least 30 buildings with the total floor area of at least 60 000 m2 with a target to reduce their energy consumption and/or related GHG emissions by at least 35%.			
Project component 3	New energy efficiency targets, norms and standards embedded into the National Social Housing Strategy			

Outcome 3.1: Enhanced capacity of professionals engaged in designing and implementing social housing projects on integrated low carbon building design principles and on opportunities to reduce the carbon footprint of social housing, while still maintaining the costs at an acceptable level	*Indicator 10: Number of trained professionals working on the design, implementation or financing of social housing projects (disaggregated by gender)*	Males: 0 Females: 0	Males: 100 Females: 100	Males: 200 Females: 200
Outputs to achieve Outcome 3.1	Output 3.1.1: Training delivered and skills strengthened of key professional groups engaged in MIDA construction activities on net-zero or close to net-zero carbon building design and on integrated building design principles in general taking also into account gender related aspects Output 3.1.2: Green housing contests for a net-zero or close to net-zero carbon design of selected MIDA construction site or building(s) by applying integrated building design principles			
Outcome 3.2. Demonstration of best practices for energy efficient design and construction of social housing with lessons learnt and related recommendations for further work embedded into National Housing Strategy and/or State Construction Code of Azerbaijan Republic, on which MIDA activities are based, including gender related aspects.	*Indicator 11: The amount of saved energy and CO_2 emissions reduced from the implemented demonstration projects compared to the baseline*	*0 tons of CO2e* *0 TJ*	*0 tons of CO2e* *0 TJ*	*26 500 tons of CO2e* *290 TJ*
	Indicator 12: Status of the State Construction Code of Azerbaijan Republic, on which MIDA activities are based and/or National Social Housing Strategy to include new EE targets or norms	Current	Draft amended State Construction Code of Azerbaijan Republic, on which MIDA activities are based and/or National Social Housing Strategy finalized with new EE targets or norms.	Draft amended State Construction Code of Azerbaijan Republic, on which MIDA activities are based and/or National Social Housing Strategy finalized with new EE targets or norms.
Outputs to achieve Outcome 3.2	Output 3.2.1: Detailed design of at least two residential buildings and all service buildings of selected MIDA site to test and demonstrate new energy efficiency and renewable energy measures going beyond the standard construction norms in force. Output 3.2.2: Construction of buildings with complementary EE and RE measures completed, including required metering and monitoring equipment to be installed both to the new "low-carbon" residential and service buildings as well as to otherwise similar buildings constructed on the basis of the standard construction norms in force. Output 3.2.3 A report on the monitored and verified results of the demo projects comparing them to the monitored energy performance of otherwise similar "standard baseline buildings", while also including lessons learnt and recommendations for further work, including suggested changes, as applicable, to construction norms and regulations. Output 3.2.4 Review of the State Construction Code of Azerbaijan Republic, on which MIDA activities are based and applicable national social housing strategies with related recommendations for amendments, as needed taking into account both social and environmental aspects and how the joint effort of combatting climate change can or should be taken into account in social housing construction			
Project component 4	**Knowledge management**			
Outcome 4.1: Enhanced awareness and knowledge about the project results and lessons learnt with	*Indicator 13:* Number of people disaggregated by gender reached by project's knowledge management and information dissemination	Males: 0	Males: 500	Males: 1000

compiled KM materials and recommendations for scaling up	activities	Females: 0	Females: 500	Females: 1000
Outputs to achieve Outcome 4.1	Output 4.1.1: A comprehensive on-line website and regularly updated open data, knowledge management and networking platform set up and functional Output 4.1.2 A professional video documenting project results and presenting project's pilot net-zero and close to net-zero carbon buildings. Output 4.1.3: Two international public outreach, knowledge management workshops, including a final project workshop presenting the project results, lessons learnt and recommendations for upscaling			
Project component 5	**Monitoring and evaluation**			
	Output 5.1.1 Inception workshop Output 5.1.2 Annual project monitoring reports (SESP, Gender, PIR) Output 5.1.3 Project mid-term evaluation Output 5.1.4: An end of the project "lessons learnt" report, including monitored results of supported EE investments and recommendations for upscaling Output 5.1.5 Project terminal evaluation			

VI. MONITORING AND EVALUATION (M&E) PLAN

Project-level monitoring and evaluation will be undertaken in compliance with UNDP requirements as outlined in the UNDP POPP and UNDP Evaluation Policy. The UNDP Country Office is responsible for ensuring full compliance with all UNDP project monitoring, quality assurance, risk management, and evaluation requirements.

Additional mandatory GEF-specific M&E requirements will be undertaken in accordance with the GEF Monitoring Policy and the GEF Evaluation Policy and other relevant GEF policies[5]. The costed M&E plan included below, and the Monitoring plan in Annex, will guide the GEF-specific M&E activities to be undertaken by this project.

In addition to these mandatory UNDP and GEF M&E requirements, other M&E activities deemed necessary to support project-level adaptive management will be agreed during the Project Inception Workshop and will be detailed in the Inception Report.

Minimum project monitoring and reporting requirements as required by the GEF:

Inception Workshop and Report: A project inception workshop will be held within 2 months from the First disbursement date, with the aim to:

a. Familiarize key stakeholders with the detailed project strategy and discuss any changes that may have taken place in the overall context since the project idea was initially conceptualized that may influence its strategy and implementation.
b. Discuss the roles and responsibilities of the project team, including reporting lines, stakeholder engagement strategies and conflict resolution mechanisms.
c. Review the results framework and monitoring plan.
d. Discuss reporting, monitoring and evaluation roles and responsibilities and finalize the M&E budget; identify national/regional institutes to be involved in project-level M&E; discuss the role of the GEF OFP and other stakeholders in project-level M&E.
e. Update and review responsibilities for monitoring project strategies, including the risk log; SESP report, Social and Environmental Management Framework (where relevant) and other safeguard requirements; project grievance mechanisms; gender strategy; knowledge management strategy, and other relevant management strategies.
f. Review financial reporting procedures and budget monitoring and other mandatory requirements and agree on the arrangements for the annual audit.
g. Plan and schedule Project Board meetings and finalize the first-year annual work plan. Finalize the TOR of the Project Board.
h. Formally launch the Project.

GEF Project Implementation Report (PIR):

The annual GEF PIR covering the reporting period July (previous year) to June (current year) will be completed for each year of project implementation. UNDP will undertake quality assurance of the PIR before submission to the GEF. The PIR submitted to the GEF will be shared with the Project Board. UNDP will conduct a quality review of the PIR, and this quality review and feedback will be used to inform the preparation of the subsequent annual PIR.

GEF and/or LDCF/SCCF Core Indicators:

The GEF and/or LDCF/SCCF Core indicators included as Annex will be used to monitor global environmental benefits and will be updated for reporting to the GEF prior to MTR and TE. Note that the project team is responsible for updating the indicator status. The updated monitoring data should be shared with MTR/TE consultants prior to required evaluation missions, so these can be used for subsequent ground truthing. The methodologies to be used in data collection have been defined by the GEF and are available on the GEF website.

[5] See https://www.thegef.org/gef/policies_guidelines

Independent Mid-term Review (MTR):

The MTR should be completed no later than 36 months after CEO Endorsement.

The terms of reference, the review process and the final MTR report will follow the standard UNDP templates and UNDP guidance for GEF-financed projects available on the UNDP Evaluation Resource Center (ERC).

The evaluation will be 'independent, impartial and rigorous'. The evaluators that UNDP will hire to undertake the assignment will be independent from organizations that were involved in designing, executing or advising on the project to be evaluated. Equally, the evaluators should not be in a position where there may be the possibility of future contracts regarding the project under review.

The GEF Operational Focal Point and other stakeholders will be actively involved and consulted during the evaluation process. Additional quality assurance support is available from the BPPS/NCE-VF Directorate.

The final MTR report and MTR TOR will be publicly available in English and will be posted on the UNDP ERC by **September 15, 2025**. A management response to MTR recommendations will be posted in the ERC within six weeks of the MTR report's completion.

Terminal Evaluation (TE):

An independent terminal evaluation (TE) will take place upon completion of all major project outputs and activities. The terms of reference, the evaluation process and the final TE report will follow the standard templates and guidance for GEF-financed projects available on the UNDP Evaluation Resource Center. TE should be completed 3 months before the estimated operational closure date, set from the signature of the ProDoc and according to the duration of the project. Provisions should be taken to complete the TE in due time to avoid delay in project closure. Therefore, TE must start no later than 6 months to the expected date of completion of the TE (or 9 months prior to the estimated operational closure date).

The evaluation will be 'independent, impartial and rigorous'. The evaluators that UNDP will hire to undertake the assignment will be independent from organizations that were involved in designing, executing or advising on the project to be evaluated. Equally, the evaluators should not be in a position where there may be the possibility of future contracts regarding the project being evaluated.

The GEF Operational Focal Point and other stakeholders will be actively involved and consulted during the terminal evaluation process. Additional quality assurance support is available from the BPPS/NCE-VF Directorate.

The final TE report and TE TOR will be publicly available in English and posted on the UNDP ERC by **June 15, 2027**. A management response to the TE recommendations will be posted to the ERC within six weeks of the TE report's completion.

Final Report:

The project's terminal GEF PIR along with the terminal evaluation (TE) report and corresponding management response will serve as the final project report package. The final project report package shall be discussed with the Project Board during an end-of-project review meeting to discuss lesson learned and opportunities for scaling up.

Agreement on intellectual property rights and use of logo on the project's deliverables and disclosure of information**:** To accord proper acknowledgement to the GEF for providing grant funding, the GEF logo will appear together with the UNDP logo on all promotional materials, other written materials like publications developed by the project, and project hardware. Any citation on publications regarding projects funded by the GEF will also accord proper acknowledgement to the GEF. Information will be disclosed in accordance with relevant policies notably the UNDP Disclosure Policy[6] and the GEF policy on public involvement[7].

[6] See http://www.undp.org/content/undp/en/home/operations/transparency/information_disclosurepolicy/

[7] See https://www.thegef.org/gef/policies_guidelines

Monitoring Plan: The project results, corresponding indicators and mid-term and end-of-project targets in the project results framework will be monitored by the Project Management Unit annually, and will be reported in the GEF PIR every year, and will be evaluated periodically during project implementation. If baseline data for some of the results indicators is not yet available, it will be collected during the first year of project implementation. Project risks, as outlined in the risk register, will be monitored quarterly.

Results Monitoring	Indicators	Targets	Description of indicators and targets	Data source/Collection Methods[8]	Frequency	Responsible for data collection	Means of verification	Risks/Assumptions (Risk to reaching the set targets)
Project objective from the results framework	Indicator 1: Number of direct project beneficiaries disaggregated by gender (individual people)	Midterm: Males: 700 Females: 700 Final: Males: 5000 Females: 5000	Among the beneficiaries were included the people using the buildings and benefitting from better thermal comfort as well as the people benefitting from project KM, training and new work opportunities.	User statistics of the buildings and number of people employed by project related activities. Collecting buildings' user statistics is an ongoing baseline activity, while information on trained and employed people will be collected by project M&E activities	Annually for the PIR	For building user data building owners and entities responsible for their operation and management. For the data on the number people employed by the project related activities, the project management	Annual statistics reports compiled for the targeted buildings Consultant reports	Risk # 1: The Government does not have the financial resources to support the proposed EE retrofits or their effective replication. Risk# 2: Lack of political will to effectively support further development and implementation of the EMS and EMIS in Azerbaijan.
	Indicator 2: Direct and indirect lifetime GHG emissions avoided (metric tons of CO2e)	Midterm: Direct: 0 Indirect: 0 Final: Direct: 200 000 Indirect: 1 170 000	Direct GHG emission reduction resulting from retrofitted buildings using project financing (incl. CEB), indirect by replication after the project.	Investment project monitoring by EMIS	Annually for the PIR	MME and the entity within the MME managing EMIS and the energy managers of the retrofitted buildings	EMIS reports and annual PIRs	See above

[8] Data collection methods should outline specific tools used to collect data and additional information as necessary to support monitoring. The PIR cannot be used as a source of verification.

Results Monitoring	Indicators	Targets	Description of indicators and targets	Data source/Collection Methods	Frequency	Responsible for data collection	Means of verification	Risks/Assumptions (Risk to reaching the set targets)
	Indicator 3: Energy saved (MJ)	Midterm: 0 TJ Final: 1 800 TJ	Calculated energy savings resulting from retrofitted buildings using project financing (incl. CEB),	Investment project monitoring by EMIS	Annually for the PIR	MME and the entity within the MME managing EMIS and the energy managers of the retrofitted buildings	EMIS reports	See above
	Indicator 4: Increase in installed renewable energy capacity (MW)	Midterm: 0 MW Final: 1 MW	Reported installation of renewable energy sources (such as solar) into retrofitted buildings	Investment project monitoring by EMIS	Annually for the PIR	MME and the entity within the MME managing EMIS and the energy managers of the retrofitted buildings	EMIS reports	See above
Project Outcome 1.1	Indicator 5: Status of the rulebooks listed in chapter IV of the Prodoc (under Outputs 1.1.1 – 1.1.2)	Midterm: Drafts of required primary and secondary legislation (or their amendments) completed for items listed in chapter IV of the project document (Outputs 1.1.1 – 1.1.2) Final: Required primary and secondary legislation (or their amendments) adopted for items listed in chapter IV of the project document (Outputs	Status of the rulebooks as listed under output 1.1 in chapter IV of the Prodoc	Official journal publishing the adopted rulebooks	Annually for the PIR	Project management	Official journals	Lack of political will to effectively support further development and implementation of the EMS and EMIS in Azerbaijan.

Results Monitoring	Indicators	Targets	Description of indicators and targets	Data source/Collection Methods	Frequency	Responsible for data collection	Means of verification	Risks/Assumptions (Risk to reaching the set targets)
		1.1.1 – 1.1.2)						
Project Outcome 2.1	Indicator 6: Status of the Central EMIS Support Unit	Midterm: Central EMIS Support Unit established with trained staff Final: Central EMIS Support Unit in operation with secured funding to sustain its operation also after the project	Self-explanatory as it concerns the nature of the indicator. The targets were defined based on what was considered as realistic given the project timeframe and resources available	EMIS	Annually for the PIR	Project management	EMIS reports	Lack of political will to effectively support further development and implementation of the EMS and EMIS in Azerbaijan.
Project Outcome 2.2	Indicator 7: Number of municipalities and buildings using and regularly delivering data to EMIS	Midterm: Municipalities: 5 Buildings: 100 Final: Municipalities: 30 Buildings: 200	Self-explanatory as it concerns the nature of the indicator. The targets were defined based on the signed CEB loan	Investment project monitoring	Annually for the PIR	MME and the entity within the MME managing EMIS and the energy managers of the retrofitted buildings	Progress reports of the CEB loan implementation	The Government does not have the financial resources to support the proposed EE retrofits or their effective replication.
	Indicator 8: Number of trained professionals on using EMIS (disaggregated by gender)	Midterm: Males: 100 Females: 100 Final: Males: 200 Females: 200	Self-explanatory as it concerns the nature of the indicator. The targets were defined based on the signed CEB loan	Investment project monitoring	Annually for the PIR	MME and the entity within the MME responsible for managing the CEB loan	Progress reports of the CEB loan implementation	The Government does not have the financial resources to support the proposed EE retrofits or their effective replication.

Results Monitoring	Indicators	Targets	Description of indicators and targets	Data source/Collection Methods	Frequency	Responsible for data collection	Means of verification	Risks/Assumptions (Risk to reaching the set targets)
Project Outcome 2.3	Indicator 9: Number of buildings and the amount of investments used for implementing energy saving measures by using data from and monitored by EMIS	Midterm: No. of buildings: 3 Investments: $1,000,000 Final: No. of buildings: 30 Investments: $10,000,000	As per the standard UNDP M&E requirements of the project The on-line KM platform as described by the project outputs	Annual PIRs	Annually	Project management	Annual PIRs	NA
Project Outcome 3.1	Indicator 10: Number of trained professionals working on the design, implementation or financing of social housing projects (disaggregated by gender)	Midterm: Males: 100 Females: 100 Final: Males: 200 Females: 200	The number consists of the people visiting the project website and participating the project workshops and training events.	Built-in automatic website and social media monitoring tools. List of participants of the project workshops and training events	Annually for the PIR	Project website and social media managers Project management	Built-in automatic website and social media monitoring tools. List of participants of the project workshops and training events	COVID-19 or similar pandemic preventing the organization of physical events
Project Outcome 3.2	Indicator 11: The amount of saved energy and CO_2	Midterm: Saved energy: 0 TJ Reduced GHG						

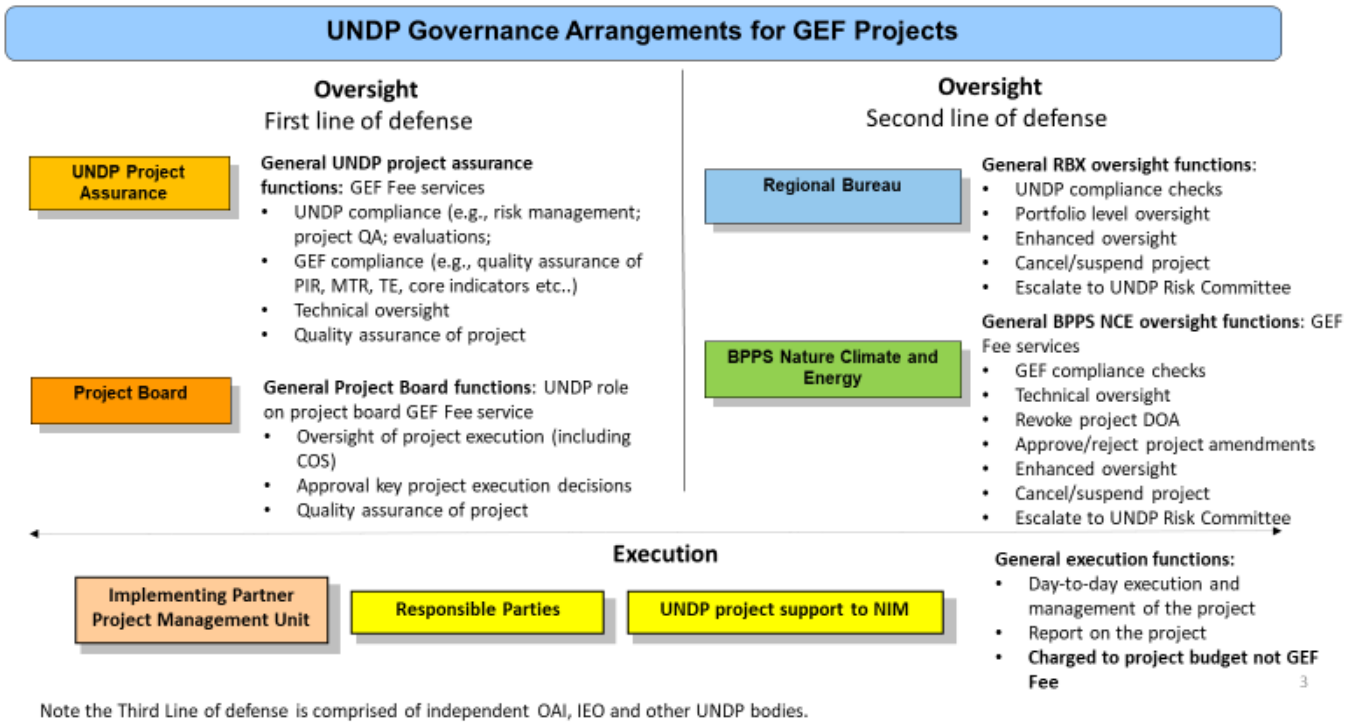
Results Monitoring	Indicators	Targets	Description of indicators and targets	Data source/Collection Methods	Frequency	Responsible for data collection	Means of verification	Risks/Assumptions (Risk to reaching the set targets)
	emissions reduced from the implemented demonstration projects compared to the baseline	emissions: 0 tCO_{2e} Final: Saved energy: 290 TJ Reduced GHG emissions: 26 500 tCO_{2e}						
	Indicator 12: Status of the State Construction Code of Azerbaijan Republic, on which MIDA activities are based and/or National Social Housing Strategy to include new EE targets or norms	Midterm: NA Final: Draft amended State Construction Code of Azerbaijan Republic, on which MIDA activities are based and/or National Social Housing Strategy finalized with new EE targets or norms						
Project Outcome 4.1	Indicator 13: Number of people disaggregated by gender reached by	Midterm: Males: Females: Final:						

Results Monitoring	Indicators	Targets	Description of indicators and targets	Data source/Collection Methods	Frequency	Responsible for data collection	Means of verification	Risks/Assumptions (Risk to reaching the set targets)
	project's knowledge management and information dissemination activities	Males: Females:						

Monitoring and Evaluation Plan and Budget: This M&E plan and budget provides a breakdown of costs for M&E activities to be led by the Project Management Unit during project implementation. These costs are included in the M&E Component of the Results Framework and TBWP. For ease of reporting M&E costs, please include all costs reported in the M&E plan under the one technical component. The oversight and participation of the UNDP Country Office/Regional technical advisors/HQ Units are not included as these are covered by the GEF Fee.		
GEF M&E requirements	**Indicative costs (US$)**	**Time frame**
Inception Workshop	5,000	Within 60 days of CEO endorsement of this project.
Inception Report	None	Within 90 days of CEO endorsement of this project.
M&E of GEF core indicators and project results framework	30,000	Annually and at mid-point and closure.
GEF Project Implementation Report (PIR)	None	Annually typically between June-August (preparation of PIRs

Monitoring and Evaluation Plan and Budget: This M&E plan and budget provides a breakdown of costs for M&E activities to be led by the Project Management Unit during project implementation. These costs are included in the M&E Component of the Results Framework and TBWP. For ease of reporting M&E costs, please include all costs reported in the M&E plan under the one technical component. The oversight and participation of the UNDP Country Office/Regional technical advisors/HQ Units are not included as these are covered by the GEF Fee.		
GEF M&E requirements	**Indicative costs (US$)**	**Time frame**
		included in project management costs)
Monitoring of Gender Action Plan (GAP) and SESP	GAP: 15,000 SESP: 15,000	On-going.
Supervision missions	None	Annually
Independent Mid-term Review (MTR)	41,500	09/2025
Independent Terminal Evaluation (TE)	41,500	06/2027
TOTAL indicative COST	**148,000**	

VII. GOVERNANCE AND MANAGEMENT ARRANGEMENTS



Section 1: General roles and responsibilities in the projects' governance mechanism

Implementing Partner: The Implementing Partner for this project is **the Ministry of Ecology and Natural Resources**.

The Implementing Partner is the entity to which the UNDP Administrator has entrusted the implementation of UNDP assistance specified in this signed project document along with the assumption of full responsibility and accountability for the effective use of UNDP resources and the delivery of outputs, as set forth in this document.

The Implementing Partner is responsible for executing this project. Specific tasks include:

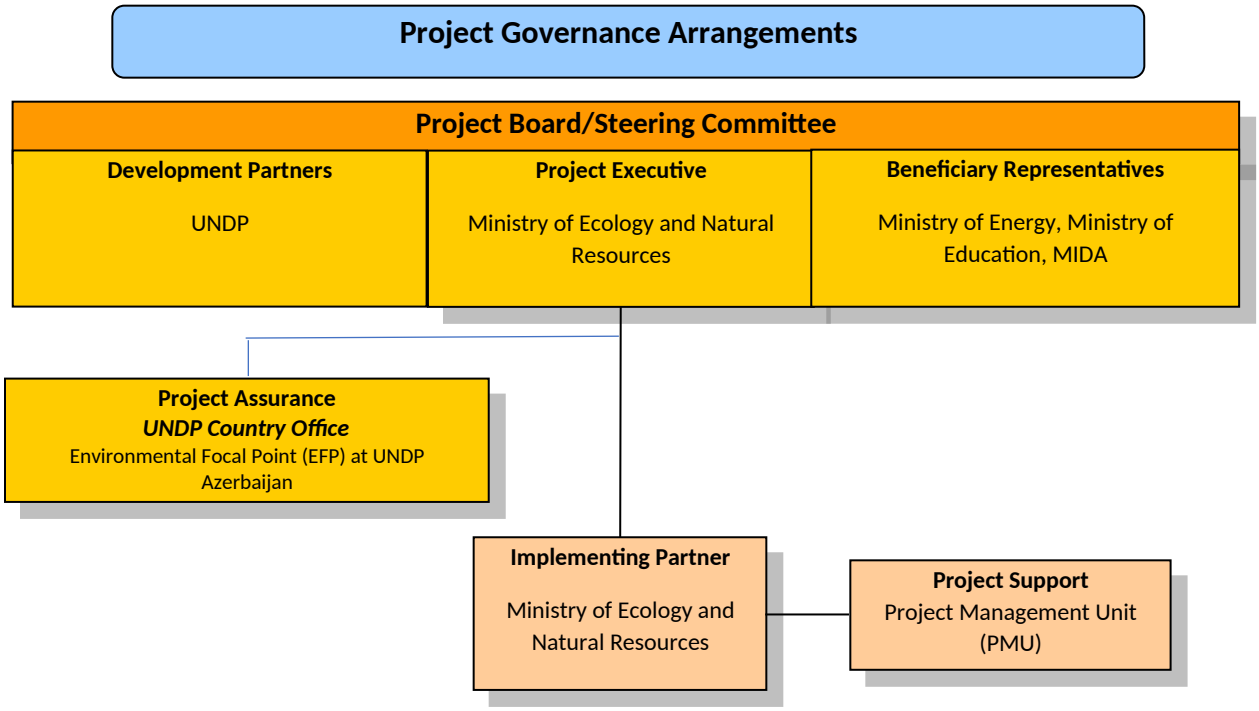
- Project planning, coordination, management, monitoring, evaluation and reporting. This includes providing all required information and data necessary for timely, comprehensive and evidence-based project reporting, including results and financial data, as necessary. The Implementing Partner will strive to ensure project-level M&E is undertaken by national institutes and is aligned with national systems so that the data used and generated by the project supports national systems.
- Overseeing the management of project risks as included in this project document and new risks that may emerge during project implementation.
- Procurement of goods and services, including human resources.
- Financial management, including overseeing financial expenditures against project budgets.
- Approving and signing the multiyear workplan.
- Approving and signing the combined delivery report at the end of the year; and,
- Signing the financial report or the funding authorization and certificate of expenditures.

Project stakeholders and target groups: The required key project partnerships have been described and elaborated in Tables 2 and 3 in the chapter IV. "Results and Partnerships".

UNDP: UNDP is accountable to the GEF for the implementation of this project. This includes overseeing project execution undertaken by the Implementing Partner to ensure that the project is being carried out in accordance with UNDP and GEF policies and procedures and the standards and provisions outlined in the Delegation of Authority (DOA) letter for this project. **The UNDP GEF Executive Coordinator, in consultation with UNDP Bureaus and the Implementing Partner, retains the right to revoke the project DOA,**

suspend or cancel this GEF project. UNDP is responsible for the Project Assurance function in the project governance structure and presents to the Project Board and attends Project Board meetings as a non-voting member.

Section 2: Project governance structure



The UNDP Resident Representative assumes full responsibility and accountability for oversight and quality assurance of this Project and ensures its timely implementation in compliance with the GEF-specific requirements and UNDP's Programme and Operations Policies and Procedures (POPP), its Financial Regulations and Rules and Internal Control Framework. A representative of the UNDP Country Office will assume the assurance role and will present assurance findings to the Project Board, and therefore attends Project Board meetings as a non-voting member.

Section 3: Segregation of duties and firewalls vis-à-vis UNDP representation on the project board:

As noted in the Minimum Fiduciary Standards for GEF Partner Agencies, in cases where a GEF Partner Agency (i.e. UNDP) carries out both implementation oversight and execution of a project, the GEF Partner Agency (i.e. UNDP) must separate its project implementation oversight and execution duties, and describe in the relevant project document a: 1) Satisfactory institutional arrangement for the separation of implementation oversight and executing functions in different departments of the GEF Partner Agency; and 2) Clear lines of responsibility, reporting and accountability within the GEF Partner Agency between the project implementation oversight and execution functions.

In this case, UNDP is only performing an implementation oversight role in the project vis-à-vis our role in the project board and in the project assurance function and therefore a full separation of project implementation oversight and execution duties has been assured.

Section 4: Roles and Responsiblities of the Project Organization Structure:

a) Project Board: All UNDP projects must be governed by a multi-stakeholder board or committee established to review performance based on monitoring and evaluation, and implementation issues to ensure quality delivery of results. The Project Board (also called the Project Steering Committee) is the most senior, dedicated oversight body for a project.

The two main (mandatory) roles of the project board are as follows:

1) **High-level oversight of the execution of the project by the Implementing Partner** (as explained in the "Provide Oversight" section of the POPP). This is the primary function of the project board and includes annual (and as-needed) assessments of

any major risks to the project, and decisions/agreements on any management actions or remedial measures to address them effectively. The Project Board reviews evidence of project performance based on monitoring, evaluation and reporting, including progress reports, evaluations, risk logs and the combined delivery report. The Project Board is responsible for taking corrective action as needed to ensure the project achieves the desired results.

2) **Approval of strategic project execution decisions of the Implementing Partner** with a view to assess and manage risks, monitor and ensure the overall achievement of projected results and impacts and ensure long term sustainability of project execution decisions of the Implementing Partner (as explained in the "Manage Change" section of the POPP).

Requirements to serve on the Project Board:

- ✓ Agree to the Terms of Reference of the Board and the rules on protocols, quorum and minuting.
- ✓ Meet annually; at least once.
- ✓ Disclose any conflict of interest in performing the functions of a Project Board member and take all measures to avoid any real or perceived conflicts of interest. This disclosure must be documented and kept on record by UNDP.
- ✓ Discharge the functions of the Project Board in accordance with UNDP policies and procedures.
- ✓ Ensure highest levels of transparency and ensure Project Board meeting minutes are recorded and shared with project stakeholders.

Responsibilities of the Project Board:

- ✓ Consensus decision making:
  - The project board provides overall guidance and direction to the project, ensuring it remains within any specified constraints, and providing overall oversight of the project implementation.
  - Review project performance based on monitoring, evaluation and reporting, including progress reports, risk logs and the combined delivery report;
  - The project board is responsible for making management decisions by consensus.
  - In order to ensure UNDP's ultimate accountability, Project Board decisions should be made in accordance with standards that shall ensure management for development results, best value money, fairness, integrity, transparency and effective international competition.
  - In case consensus cannot be reached within the Board, the UNDP representative on the board will mediate to find consensus and, if this cannot be found, will take the final decision to ensure project implementation is not unduly delayed.

- ✓ Oversee project execution:
  - Agree on project manager's tolerances as required, within the parameters outlined in the project document, and provide direction and advice for exceptional situations when the project manager's tolerances are exceeded.
  - Appraise annual work plans prepared by the Implementing Partner for the Project; review combined delivery reports prior to certification by the implementing partner.
  - Address any high-level project issues as raised by the project manager and project assurance;
  - Advise on major and minor amendments to the project within the parameters set by UNDP and the donor and refer such proposed major and minor amendments to the UNDP BPPS Nature, Climate and Energy Executive Coordinator (and the GEF, as required by GEF policies);
  - Provide high-level direction and recommendations to the project management unit to ensure that the agreed deliverables are produced satisfactorily and according to plans.
  - Track and monitor co-financed activities and realisation of co-financing amounts of this project.
  - Approve the Inception Report, GEF annual project implementation reports, mid-term review and terminal evaluation reports.
  - Ensure commitment of human resources to support project implementation, arbitrating any issues within the project.

- ✓ Risk Management:
  - Provide guidance on evolving or materialized project risks and agree on possible mitigation and management actions to address specific risks.
  - Review and update the project risk register and associated management plans based on the information prepared by the Implementing Partner. This includes risks related that can be directly managed by this project, as well as

contextual risks that may affect project delivery or continued UNDP compliance and reputation but are outside of the control of the project. For example, social and environmental risks associated with co-financed activities or activities taking place in the project's area of influence that have implications for the project.
    - Address project-level grievances.

- ✓ Coordination:
    - Ensure coordination between various donor and government-funded projects and programmes.
    - Ensure coordination with various government agencies and their participation in project activities.

Composition of the Project Board: The composition of the Project Board must include individuals assigned to the following three roles:

1. **Project Executive:** This is an individual who represents ownership of the project and chairs (or co-chairs) the Project Board. The Executive usually is the senior national counterpart for nationally implemented projects (typically from the same entity as the Implementing Partner), and it must be UNDP for projects that are direct implementation (DIM). In exceptional cases, two individuals from different entities can co-share this role and/or co-chair the Project Board. If the project executive co-chairs the project board with representatives of another category, it typically does so with a development partner representative. The Project Executive is: A senior representative of the Ministry of Ecology and Natural Resources.
2. **Beneficiary Representative(s):** Individuals or groups representing the interests of those groups of stakeholders who will ultimately benefit from the project. Their primary function within the board is to ensure the realization of project results from the perspective of project beneficiaries. Often representatives from civil society, industry associations, or other government entities benefiting from the project can fulfil this role. There can be multiple beneficiary representatives in a Project Board. The Beneficiary representatives are: Senior representatives of the Ministry of Energy, Ministry of Education and MIDA.
3. **Development Partner(s):** Individuals or groups representing the interests of the parties concerned that provide funding, strategic guidance and/or technical expertise to the project. The Development Partner(s) is: UNDP Resident Representative in Azerbaijan

b) **Project Assurance:** Project assurance is the responsibility of each project board member; however, UNDP has a distinct assurance role for all UNDP projects in carrying out objective and independent project oversight and monitoring functions. UNDP performs quality assurance and supports the Project Board (and Project Management Unit) by carrying out objective and independent project oversight and monitoring functions, including compliance with the risk management and social and environmental standards of UNDP. The Project Board cannot delegate any of its quality assurance responsibilities to the Project Manager. Project assurance is totally independent of project execution.

A designated representative of UNDP playing the project assurance role is expected to attend all board meetings and support board processes as a non-voting representative. It should be noted that while in certain cases UNDP's project assurance role across the project may encompass activities happening at several levels (e.g. global, regional), at least one UNDP representative playing that function must, as part of their duties, specifically attend board meeting and provide board members with the required documentation required to perform their duties. The UNDP Country Office representatives playing the main project assurance function are the Senior Programme Analyst and the Monitoring and Evaluation Officer.

c) **Project Management – Execution of the Project:** The Project Manager (PM) (also called project coordinator) is the senior most representative of the Project Management Unit (PMU) and is responsible for the overall day-to-day management of the project on behalf of the Implementing Partner, including the mobilization of all project inputs, supervision over project staff, responsible parties, consultants and sub-contractors. The project manager typically presents key deliverables and documents to the board for their review and approval, including progress reports, annual work plans, adjustments to tolerance levels and risk registers.

A designated representative of the PMU is expected to attend all board meetings and support board processes as a non-voting representative.

The primary PMU representative attending board meetings is the Project Manager

VIII. FINANCIAL PLANNING AND MANAGEMENT

The total cost of the project is USD 38,421,005. This is financed through a GEF grant of USD 4,521,005 administered by UNDP, USD 120,000 in cash and USD 400,000 in-kind co-financing to be administered by UNDP and additional support of USD 33,380,000. UNDP, as the GEF Implementing Agency, is responsible for the oversight of the GEF resources and the cash co-financing transferred to UNDP bank account only.

As regards the GEF resources used for investments, Project investment plans will be prepared plans for the demonstration projects to be implemented under outcomes 2.3 and 3.2. Amongst other objectives, this will to ensure that the GEF resources invested will match the energy saving and GHG reduction targets set for those projects. For further details about these targets, a reference is made to Project Results Framework and the GHG Reduction Assesment (Annex 10).

Co-financing: The actual realization of project co-financing amounts will be monitored by the UNDP Country Office and the PMU on an annual basis in the GEF PIF and will be reported to the GEF during the mid-term review and terminal evaluation process as follows:

Co-financing source	Co-financing type	Co-financing amount (US$)
The Ministry of Ecology and Natural Resources (MoENR)	Public Investment	680,000
	In-kind	500,000
Ministry of Energy (MoEn)	Public Investment	400,000
	In-kind	400,000
Ministry of Education (MoEd)	Public Investment	10,800,000
	In-kind	500,000
State Housing Development Agency of the Government of Azerbaijan (MIDA)	Public Investment	20,000,000
	In-kind	100,000
UNDP	Grant	120,000
	In-kind	400,000
TOTAL		**33,900,000**

Budget Revision and Tolerance: As per UNDP POPP, the project board may agree with the project manager on a tolerance level for each detailed plan under the overall multi-year workplan. The agreed tolerance should be written in the project document or approved project board meeting minutes. It should normally not exceed 10 percent of the agreed annual budget at the activity level, but within the overall approved multi-year workplan at the activity level. Within the agreed tolerances, the project manager can operate without intervention from the project board. Restrictions apply as follows:

Should the following deviations occur, the Project Manager/IP through UNDP Country Office will seek the approval of the BPPS/NCE-VF team to ensure accurate reporting to the GEF. It is **strongly encouraged** to maintain the expenditures within the approved budget at the budgetary account and at the component level:

a) Budget reallocations must prove that the suggested changes in the budget will not lead to material changes in the results to be achieved by the project. A strong justification is required and will be approved on an exceptional basis. Budget re-allocations among the components (including PMC) of the approved Total Budget and Work Plans (TBWP) that represent a value greater than 10% of the total GEF grant.
b) Introduction of new outputs/activities (i.e. budget items) that were not part of the agreed project document and TBWP that represent a value greater than 5% of the total GEF grant. The new budget items must be eligible as per the GEF and UNDP policies.
c) Project management cost (PMC): budget under PMC component is capped and cannot be increased.

Any over expenditure incurred beyond the available GEF grant amount must be absorbed by non-GEF resources (e.g. UNDP TRAC or cash co-financing).

Project extensions: The UNDP Resident Representative and the UNDP-GEF Executive Coordinator must approve all project extension requests. Note that all extensions incur costs and the GEF project budget cannot be increased. A single extension may be granted on an exceptional basis and subject to the conditions and maximum durations set out in the UNDP POPP; the project management costs during the extension period must remain within the originally approved amount, and any increase in PMC costs will be covered by non-GEF resources; the additional UNDP oversight costs during the extension period must be covered by non-GEF resources, in accordance with UNDP's guidance set out in UNDP POPP.

Audit: The project will be audited as per UNDP Financial Regulations and Rules and applicable audit policies. Audit cycle and process must be discussed during the Inception workshop.

Project Closure: Project closure will be conducted as per UNDP requirements outlined in the UNDP POPP. All costs incurred to close the project must be included in the project closure budget and reported as final project commitments presented to the Project Board during the final project review. The only costs a project may incur following the final project review are those included in the project closure budget.

Operational completion: The project will be operationally completed when the last UNDP-financed inputs have been provided and the related activities have been completed. This includes the final clearance of the Terminal Evaluation Report (that will be available in English) and the corresponding management response, and the end-of-project review Project Board meeting. **Operational closure must happen at the end date calculated by the approved duration after the Project Document signature or at the revised operational closure date as approved in the project extension. Any expected activity after the operational date requires project extension approval.** The Implementing Partner through a Project Board decision will notify the UNDP Country Office when operational closure has been completed. At this time, the project should have completed the transfer or disposal of any equipment that is still the property of UNDP.

Transfer or disposal of assets: In consultation with the Implementing Partner and other parties of the project, UNDP is responsible for deciding on the transfer or other disposal of assets. Transfer or disposal of assets is recommended to be reviewed and endorsed by the project board following UNDP rules and regulations. Assets may be transferred to the government for project activities managed by a national institution at any time during the life of a project (it is strongly encouraged to be done before the operational closure date). In all cases of transfer, a transfer document must be prepared and kept on file[9]. The transfer should be done before Project Management Unit complete their assignments.

Financial completion (closure): The project will be financially closed when the following conditions have been met: a) the project is operationally completed or has been cancelled; b) the Implementing Partner has reported all financial transactions to UNDP; c) UNDP has closed the accounts for the project; d) UNDP and the Implementing Partner have certified a final Combined Delivery Report (which serves as final budget revision).

The project will be financially completed **within 6 months of operational closure or after the date of cancellation**. If Operational Closure is delayed for any justified and approved reason, the Country Office should do all efforts to Financially Close the project within 9 months after TE is completed. Between operational and financial closure, the implementing partner will identify and settle all financial obligations and prepare a final expenditure report. The UNDP Country Office will send the final signed closure documents including confirmation of final cumulative expenditure and unspent balance to the BPPS/NCE-VF Unit for confirmation before the project will be financially closed in Atlas by the UNDP Country Office.

Refund to GEF: Should a refund of unspent funds to the GEF be necessary, this will be managed directly by the BPPS/NCE-VF Directorate in New York. No action is required by the UNDP Country Office on the actual refund from UNDP project to the GEF Trustee.

[9] See https://popp.undp.org/_layouts/15/WopiFrame.aspx?sourcedoc=/UNDP_POPP_DOCUMENT_LIBRARY/Public/PPM_Project%20Management_Closing.docx&action=default.

IX. TOTAL BUDGET AND WORK PLAN

Atlas Award ID:			00128673					Atlas Primary Output Project ID:		00122606			
Atlas Proposal or Award Title			Baku EE/Green Social Housing										
Atlas Business Unit			AZE10										
Atlas Primary Output Project Title			Scaling up investment in energy efficiency in buildings through enhanced energy management information system (EMIS) and green social housing										
UNDP-GEF PIMS No.			6479										
Implementing Partner			Ministry of Ecology and Natural Resources (MoENR)										
Atlas Activity (GEF Component)	**Atlas Implementing Agent**	**Atlas Fund ID**	**Donor Name**	**Atlas Budgetary Account Code**	**ATLAS Budget Account Description**	**Amount Year 2022 (USD)**	**Amount Year 2023 (USD)**	**Amount Year 2024 (USD)**	**Amount Year 2025 (USD)**	**Amount Year 2026 (USD)**	**Amount Year 2027 (USD)**	**Total (USD)**	**See Budget Note:**
Component 1: Enabling policy framework for increased energy efficiency in buildings	**MoENR**	**62000**	**GEF**	71200	International consultants	2 500	22 500	20 000	15 000	10 000	5 000	***75 000***	1
				71300	Local consultants	0	10 000	10 000	10 000	0	0	***30 000***	2
				71600	Travel	500	1 000	500	1 000	700	0	***3 700***	3
				72100	Contractual services - companies	0	25 000	25 000	20 000	10 000	0	***80 000***	4
				75700	Training workshops & meetings	1 000	3 000	3 000	2 500	1 000	800	***11 300***	5
				TOTAL COMPONENT 1		**4 000**	**61 500**	**58 500**	**48 500**	**21 700**	**5 800**	**200 000**	
Component 2: Improved monitoring of buildings' energy performance by Energy Management Information Systems (EMIS)	**MoENR**	**62000**	**GEF**	71200	International consultants	2 500	45 000	45 000	35 000	10 000	5 000	***142 500***	6
				71300	Local consultants	0	70 000	60 000	60 000	60 000	50 000	***300 000***	7
				71400	Contractual services - individual	6 000	23 000	23 000	23 000	23 000	17 000	***115 000***	8
				71600	Travel	1 000	3 000	3 000	1 000	1 000	1 000	***10 000***	3
				72100	Contractual services - companies	0	75 000	75 000	75 000	60 000	35 000	***320 000***	9
				72200	Equipment and Furniture	0	0	60 000	310 000	650 000	130 000	***1 150 000***	10
				72800	IT equipment		20 000	150 000	130 000	0	0	***300 000***	11
				75700	Training workshops & meetings	1 500	5 000	2 500	2 500	1 000	0	***12 500***	5
				TOTAL COMPONENT 2		**11 000**	**241 000**	**418 500**	**636 500**	**805 000**	**238 000**	**2 350 000**	
Component 3: New energy efficiency targets, norms and standards embedded into the National	**MoENR**	**62000**	**GEF**	71200	International consultants	2 500	35 000	30 000	30 000	20 000	10 000	***127 500***	12
				71300	Local consultants	0	7 500	7 000	5 000	1 500	1 500	***22 500***	13
				71400	Contractual services - individual	6 000	23 000	23 000	23 000	23 000	17 000	***115 000***	14
				71455	Contractual Services – Individual (Innovation Awards)	0	0	35 000	0	0	0	***35 000***	15

Social Housing Strategy				71600	Travel	500	1 000	1 000	1 000	3 000	1 000	***7 500***	3
				72100	Contractual services - companies	0		20 000	20 000	15 000	10 000	***65 000***	16
				72200	Equipment and Furniture	0	0	50 800	500 000	350 000	99 200	***1 000 000***	17
				75700	Meetings & training workshops	1 000	1 500	2 000	2 000	3 000	3 000	***12 500***	5
				TOTAL COMPONENT 3		**10 000**	**68 000**	**168 800**	**581 000**	**415 500**	**141 700**	**1 385 000**	
Component 4: Knowledge management	**MoENR**	**62000**	**GEF**	71200	International consultants	3 000	6 000	6 000	6 000	6 000	3 000	***30 000***	18
				71400	Contractual services - individual	3 500	13 340	13 340	13 340	13 340	9 840	***66 700***	19
				71600	Travel	500	1 000	1 000	1 000	1 000	500	***5 000***	3
				72100	Contractual services - companies	3 500	10 000	10 000	9 000	5 000	2 500	***40 000***	20
				74200	Audio visual and printing prod.	0	5 000	10 000	10 000	10 000	6 020	***41 020***	21
				75700	Meetings & training workshops	0	0	20 000	0	0	20 000	***40 000***	22
				TOTAL COMPONENT 4		**10 500**	**35 340**	**60 340**	**39 340**	**35 340**	**41 860**	**222 720**	
Monitoring and evaluation (M&E)	**MoENR**	**62000**	**GEF**	71200	International consultants	0	0		30 000	0	30 000	***60 000***	23
				71300	Local consultants	3 000	6 000	6 000	14 000	6 000	10 000	***45 000***	24
				71600	Travel	500	1 000	1 500	1 000	2 000	2 000	***8 000***	3
				72100	Contractual services - companies	0	5 000	5 000	10 000	5 000	5 000	***30 000***	25
				75700	Meetings & training workshops	5 000	0	0	0	0	0	***5 000***	26
				MONITORING AND EVALUATION		**8 500**	**12 000**	**12 500**	**55 000**	**13 000**	**47 000**	**148 000**	
Project management (PMC)	**MoENR**	**62000**	**GEF**	71400	Contractual services - Indiv.	10 000	37 440	37 440	37 440	37 440	27 440	***187 200***	27
				71600	Travel	500	600	600	600	600	600	***3 500***	28
				72400	Comm. & AV Equipment	250	500	500	500	500	250	***2 500***	29
				72500	Supplies	800	700	700	700	700	400	***4 000***	30
				72800	Information technology equipment	2 585	500	0		0	0	***3 085***	31
				74100	Professional services	0	3 000	3 000	3 000	3 000	3 000	***15 000***	32
				Subtotal GEF		**14 135**	**42 740**	**42 240**	**42 240**	**42 240**	**31 690**	**215 285**	
	UNDP	**4000**	**UNDP**	71400	Contractual services - Indiv.	6 000	23 712	23 712	23 712	23 712	17 712	***118 560***	33
				71600	Travel	200	250	250	250	250	240	***1 440***	34
				Subtotal UNDP		**6 200**	**23 962**	**23 962**	**23 962**	**23 962**	**17 952**	**120 000**	

				TOTAL PROJECT MANAGEMENT	20 335	66 702	66 202	66 202	66 202	49 642	335 285	
	MoENR	62000	GEF	Subtotal GEF	58 135	460 580	760 880	1 402 580	1 332 780	506 050	4 521 005	
	UNDP	4000	UNDP	Subtotal UNDP	6 200	23 962	23 962	23 962	23 962	17 952	120 000	
				PROJECT TOTAL	64 335	484 542	784 842	1 426 542	1 356 742	524 002	4 641 005	

Budget note number	Budget Notes
1	Part-time resident international project advisor's contribution for component 1 with the estimated average costs of $3,000 per week for 25 weeks in total
2	Legal and other local expert support for Outputs 1.1.1 and 1.1.2 with the estimated average costs of $750 per week for 40 weeks in total
3	International and local expert travel
4	Local or international company contract(s) for completing draft regulations and laws for Outputs 1.1.1-1.1.2
5	Organisational costs for co-ordination, KM and training workshops contributing to different outputs of components 1, 2 and 3
6	Part-time resident international project advisor's contribution for component 2 with the estimated average costs of $3,000 per week for 47,5 weeks
7	Project cost-sharing for staffing of the EMIS help-desk (incl. student trainees) with the estimated average costs of $150 per week for 500 weeks in total (Output 2.1.2), including students
	Local training experts with the estimated average costs of $750 per week for 20 weeks in total (Output 2.2.1)
	Initial cost-sharing for hiring EMs for up to 30 municipalities (one EM possibly covering several smaller municipalities) with the estimated average costs of $200 per week for 1,000 weeks in total (Output 2.2.3)
	Initial data compilation for EMIS for at least 200 buildings with the estimated average local consultancy costs of $200 per week for 50 weeks in total (Output 2.2.4)
8	Technical task manager of component 2 with the estimated average costs of $460 per week for 250 weeks in total
9	Local or international company contract(s) for completing the feasibility study and adapting the EMIS software (incl. the database) for the use in Azerbaijan, incl. required annual upgrades and maintenance with estimated initial cost of $40,000 for the first year and $15,000 per year for four years after that (Outputs 2.1.1, 2.1.3 and 2.1.4)
	Local or international company contract(s) for completing energy audits and related recommendations for EE retrofits of at least 30 buildings (Output 2.3.1). Estimated average costs $4,000 per building or $120,000 in total
	Local or international company contract(s) for the final technical design of the proposed EE retrofits in at least 30 buildings and supervision of their implementation with average cost-sharing by the project at the amount of about $3,000-$3,500 per building or $100,000 in total (Output 2.3.2)
10	Based on the measures suggested by energy audits, supporting building EE retrofits of at least 30 buildings with the total floor area 60,000 m2 with the average cost-sharing contribution of USD 18,5 per m2, including selected renewable energy investments such as roof-top PV systems with approximate costs of USD 1,150 per kWp for 35 kWp in total (Output 2.3.3)
11	ICT and other technical equipment for the establishment of up to 30 local EE Support Units in selected municipalities with a budget allocation of up to $5,000 each and 300 units of smart meters of about $500 each for monitoring and feeding to EMIS information about the energy performance of the buildings owned by the municipalities (Outputs 2.2.3 and 2.2,4)
12	Part-time resident international project advisor's contribution for component 3 and an international green/energy efficient building design trainer with the estimated

	average costs of $3,000 per week for 32,5 weeks and $3,750 for 8 weeks, respectively
13	Local training experts with the estimated average costs of $750 per week for 20 weeks (Output 3.1.1)
	Green architectural design contest development with the estimated average costs of $750 per week for 10 weeks (Output 3.1.2)
14	Technical task manager of component 3 with the estimated average costs of $460 per week for 250 weeks in total
15	Innovation awards for the contests of the green net-zero or close to net-zero carbon social housing design (Output 3.1.2)
16	Local or international company contract(s) for supporting the final design of MIDA demo buildings by building on the results of the green building design contest ($50,000, Output 3.2.1)
	Local or international company contract(s) for monitoring and verifying the energy and other performance of the demo buildings constructed ($15,000, Output 3.2.3)
17	By building on the measures and pilot project ideas generated by the green housing contests for a net-zero or close to net-zero carbon building design, cost-sharing the investments of the first pilot buildings with up to USD 15 per ton of CO2eq of the estimated GHG reduction of the suggested measures compared to similar baseline construction (Output 3.2.2)
18	Part-time resident international project advisor's contribution for component 4 with the estimated average costs of $3,000 per week for 10 weeks
19	Costs of the task manager for component 4 acting also as the project public outreach and communication officer
20	Local or international company contract(s) for initial development and annual upgrading and maintenance of the project online KM platform with estimated initial cost of $20,000 for the first year and $5,000 per year for four years after that (Outputs 4.1.1)
21	Production of outreach material for disseminating the project results, including a a professional video documenting project results and presenting project's pilot net-zero and close to net-zero carbon buildings as well as other related PR materials
22	Two international KM and public outreach workshops, incl. the final project workshop, with the estimated organizational costs of USD 20,000 each
23	Project mid-term and final evaluators with the average costs of $3,750 per week for 8 weeks each (16 weeks in total)
24	Annual GAP and SESP monitoring with the estimated average costs of $750 per week for 40 weeks
	Local experts for mid-term and final evaluation with the estimated costs of $750 per week for 10 weeks each (20 weeks in total)
25	Local or international company contract(s) for monitoring and verifying the projects results vis a vis the GEF core and other indicators and targets in the project results framework with related recommendations for improvements
26	Inception workshop
27	GEF cost sharing of the salary costs of project manager and project assistant for 208 weeks out of 260 weeks with the estimated gross rate of $600 for project manager and $300 for project assistant
28	Project management related travel
29	Communication costs of and equipment for the PMU staff and office, as needed
30	Office supplies estimated from $400 to $800 per year
31	ICT equipment and furniture for the PMU staff and office, as needed
32	Annual financial audits estimated at $3000 per year

33	UNDP cost sharing of the salary costs of project manager and project assistant for 52 weeks out of 260 weeks with the estimated gross rate of $600 for project manager and $300 for project assistant and of the procurement expert with the estimated gross rate of $460 for 156 weeks.
34	UNDP cost sharing of project management related travel

X. LEGAL CONTEXT

This project document shall be the instrument referred to as such in Article 1 of the Standard Basic Assistance Agreement between the Government of (country) and UNDP, signed on January 6th, 2001. All references in the SBAA to "Executing Agency" shall be deemed to refer to "Implementing Partner."

This project will be implemented by the Ministry of Ecology and Natural Resources ("Implementing Partner") in accordance with its financial regulations, rules, practices and procedures only to the extent that they do not contravene the principles of the Financial Regulations and Rules of UNDP. Where the financial governance of an Implementing Partner does not provide the required guidance to ensure best value for money, fairness, integrity, transparency, and effective international competition, the financial governance of UNDP shall apply.

The designations employed and the presentation of material on this map do not imply the expression of any opinion whatsoever on the part of the Secretariat of the United Nations or UNDP concerning the legal status of any country, territory, city or area or its authorities, or concerning the delimitation of its frontiers or boundaries.

XI. RISK MANAGEMENT

1. Consistent with the Article III of the SBAA *[or the Supplemental Provisions to the Project Document]*, the responsibility for the safety and security of the Implementing Partner and its personnel and property, and of UNDP's property in the Implementing Partner's custody, rests with the Implementing Partner. To this end, the Implementing Partner shall:
   a) put in place an appropriate security plan and maintain the security plan, taking into account the security situation in the country where the project is being carried;
   b) assume all risks and liabilities related to the Implementing Partner's security, and the full implementation of the security plan.

2. UNDP reserves the right to verify whether such a plan is in place, and to suggest modifications to the plan when necessary. Failure to maintain and implement an appropriate security plan as required hereunder shall be deemed a breach of the Implementing Partner's obligations under this Project Document.

3. The Implementing Partner agrees to undertake all reasonable efforts to ensure that no UNDP funds received pursuant to the Project Document are used to provide support to individuals or entities associated with terrorism and that the recipients of any amounts provided by UNDP hereunder do not appear on the list maintained by the Security Council Committee established pursuant to resolution 1267 (1999). The list can be accessed via http://www.un.org/sc/committees/1267/aq_sanctions_list.shtml.

4. The Implementing Partner acknowledges and agrees that UNDP will not tolerate sexual harassment and sexual exploitation and abuse of anyone by the Implementing Partner, and each of its responsible parties, their respective sub-recipients and other entities involved in Project implementation, either as contractors or subcontractors and their personnel, and any individuals performing services for them under the Project Document.

   (a) In the implementation of the activities under this Project Document, the Implementing Partner, and each of its sub-parties referred to above, shall comply with the standards of conduct set forth in the Secretary General's Bulletin ST/SGB/2003/13 of 9 October 2003, concerning "Special measures for protection from sexual exploitation and sexual abuse" ("SEA").

   (b) Moreover, and without limitation to the application of other regulations, rules, policies and procedures bearing upon the performance of the activities under this Project Document, in the implementation of activities, the Implementing Partner, and each of its sub-parties referred to above, shall not engage in any form of sexual harassment ("SH"). SH is defined as any unwelcome conduct of a sexual nature that might reasonably be expected or be perceived to cause offense or humiliation, when such conduct interferes with work, is made a condition of employment or creates an intimidating, hostile or offensive work environment.

5. a) In the performance of the activities under this Project Document, the Implementing Partner shall (with respect to its own activities), and shall require from its sub-parties referred to in paragraph 4 (with respect to their activities) that they, have minimum standards and procedures in place, or a plan to develop and/or improve such standards and procedures in order to be able to take effective preventive and investigative action. These should include: policies on sexual harassment and sexual exploitation and abuse; policies on whistleblowing/protection against retaliation; and complaints, disciplinary and investigative mechanisms. In line with this, the Implementing Partner will and will require that such sub-parties will take all appropriate measures to:

      i. Prevent its employees, agents or any other persons engaged to perform any services under this Project Document, from engaging in SH or SEA;

      ii. Offer employees and associated personnel training on prevention and response to SH and SEA, where the Implementing Partner and its sub-parties referred to in paragraph 4 have not put in place its own training regarding the prevention of SH and SEA, the Implementing Partner and its sub-parties may use the training material available at UNDP;

iii. Report and monitor allegations of SH and SEA of which the Implementing Partner and its sub-parties referred to in paragraph 4 have been informed or have otherwise become aware, and status thereof;

iv. Refer victims/survivors of SH and SEA to safe and confidential victim assistance; and

v. Promptly and confidentially record and investigate any allegations credible enough to warrant an investigation of SH or SEA. The Implementing Partner shall advise UNDP of any such allegations received and investigations being conducted by itself or any of its sub-parties referred to in paragraph 4 with respect to their activities under the Project Document, and shall keep UNDP informed during the investigation by it or any of such sub-parties, to the extent that such notification (i) does not jeopardize the conduct of the investigation, including but not limited to the safety or security of persons, and/or (ii) is not in contravention of any laws applicable to it. Following the investigation, the Implementing Partner shall advise UNDP of any actions taken by it or any of the other entities further to the investigation.

b) The Implementing Partner shall establish that it has complied with the foregoing, to the satisfaction of UNDP, when requested by UNDP or any party acting on its behalf to provide such confirmation. Failure of the Implementing Partner, and each of its sub-parties referred to in paragraph 4, to comply of the foregoing, as determined by UNDP, shall be considered grounds for suspension or termination of the Project.

6. Social and environmental sustainability will be enhanced through application of the UNDP Social and Environmental Standards (http://www.undp.org/ses) and related Accountability Mechanism (http://www.undp.org/secu-srm).

7. The Implementing Partner shall: (a) conduct project and programme-related activities in a manner consistent with the UNDP Social and Environmental Standards, (b) implement any management or mitigation plan prepared for the project or programme to comply with such standards, and (c) engage in a constructive and timely manner to address any concerns and complaints raised through the Accountability Mechanism. UNDP will seek to ensure that communities and other project stakeholders are informed of and have access to the Accountability Mechanism.

8. All signatories to the Project Document shall cooperate in good faith with any exercise to evaluate any programme or project-related commitments or compliance with the UNDP Social and Environmental Standards. This includes providing access to project sites, relevant personnel, information, and documentation.

9. The Implementing Partner will take appropriate steps to prevent misuse of funds, fraud or corruption, by its officials, consultants, responsible parties, subcontractors and sub-recipients in implementing the project or using UNDP funds. The Implementing Partner will ensure that its financial management, anti-corruption and anti-fraud policies are in place and enforced for all funding received from or through UNDP.

10. The requirements of the following documents, then in force at the time of signature of the Project Document, apply to the Implementing Partner: (a) UNDP Policy on Fraud and other Corrupt Practices and (b) UNDP Office of Audit and Investigations Investigation Guidelines. The Implementing Partner agrees to the requirements of the above documents, which are an integral part of this Project Document and are available online at www.undp.org.

11. In the event that an investigation is required, UNDP has the obligation to conduct investigations relating to any aspect of UNDP projects and programmes in accordance with UNDP's regulations, rules, policies and procedures. The Implementing Partner shall provide its full cooperation, including making available personnel, relevant documentation, and granting access to the Implementing Partner's (and its consultants', responsible parties', subcontractors' and sub-recipients') premises, for such purposes at reasonable times and on reasonable conditions as may be required for the purpose of an investigation. Should there be a limitation in meeting this obligation, UNDP shall consult with the Implementing Partner to find a solution.

12. The signatories to this Project Document will promptly inform one another in case of any incidence of inappropriate use of funds, or credible allegation of fraud or corruption with due confidentiality.

Where the Implementing Partner becomes aware that a UNDP project or activity, in whole or in part, is the focus of investigation for alleged fraud/corruption, the Implementing Partner will inform the UNDP Resident Representative/Head of Office, who will

promptly inform UNDP's Office of Audit and Investigations (OAI). The Implementing Partner shall provide regular updates to the head of UNDP in the country and OAI of the status of, and actions relating to, such investigation.

13. UNDP shall be entitled to a refund from the Implementing Partner of any funds provided that have been used inappropriately, including through fraud or corruption, or otherwise paid other than in accordance with the terms and conditions of the Project Document. Such amount may be deducted by UNDP from any payment due to the Implementing Partner under this or any other agreement. Recovery of such amount by UNDP shall not diminish or curtail the Implementing Partner's obligations under this Project Document.

    Where such funds have not been refunded to UNDP, the Implementing Partner agrees that donors to UNDP (including the Government) whose funding is the source, in whole or in part, of the funds for the activities under this Project Document, may seek recourse to the Implementing Partner for the recovery of any funds determined by UNDP to have been used inappropriately, including through fraud or corruption, or otherwise paid other than in accordance with the terms and conditions of the Project Document.

    Note: The term "Project Document" as used in this clause shall be deemed to include any relevant subsidiary agreement further to the Project Document, including those with responsible parties, subcontractors and sub-recipients.

14. Each contract issued by the Implementing Partner in connection with this Project Document shall include a provision representing that no fees, gratuities, rebates, gifts, commissions or other payments, other than those shown in the proposal, have been given, received, or promised in connection with the selection process or in contract execution, and that the recipient of funds from the Implementing Partner shall cooperate with any and all investigations and post-payment audits.

15. Should UNDP refer to the relevant national authorities for appropriate legal action any alleged wrongdoing relating to the project, the Government will ensure that the relevant national authorities shall actively investigate the same and take appropriate legal action against all individuals found to have participated in the wrongdoing, recover and return any recovered funds to UNDP.

16. The Implementing Partner shall ensure that all of its obligations set forth under this section entitled "Risk Management" are passed on to each responsible party, subcontractor and sub-recipient and that all the clauses under this section entitled "Risk Management Standard Clauses" are included, *mutatis mutandis*, in all sub-contracts or sub-agreements entered into further to this Project Document.

XII. MANDATORY ANNEXES

1. GEF Budget Template (available from BPPS NCE-VF)
2. Project Map and geospatial coordinates of the project area
3. Multiyear Workplan
4. UNDP Social and Environmental Screening Procedure (SESP)
5. UNDP Atlas Risk Register
6. Overview of technical consultancies/subcontracts
7. Stakeholder Engagement Plan
8. Gender Analysis and Gender Action Plan
9. Initial Procurement Plan – for first year of implementation especially
10. GHG Reduction Assessment
11. Additional agreements: Co-financing Letters
12. GEF Core indicators
13. GEF Taxonomy
14. Partners Capacity Assessment Tool and HACT assessment
15. UNDP Audit Check list to be used for projects when submitted to the GEF for CEO endorsement/approval
16. UNDP Project Quality Assurance Report (to be completed in UNDP online corporate planning system)
17. Local Project Appraisal Committee Meeting (LPAC) Minutes

Annex 1: GEF Budget Template

Provided as separate file.

Annex 2: Project map and Geospatial Coordinates of project sites



Annex 3: Multi Year Work Plan

Outcomes	Outputs	2022	2023				2024				2025				2026				2027		
		Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3
Outcome 1.1: Required legal and other policy interventions in place for effective implementation of energy efficiency in buildings	Output 1.1.1: New secondary legislation, including technical standards and guidelines, to support the implementation of the Law on the Efficient Use of Energy Resources and the NEEAP developed and adopted, as listed in chapter IV of the project document, including provisions for recommended adoption of EMIS with uniform standards for public buildings.																				
	Output 1.1.2: A new Law on Energy Efficiency in Buildings and related secondary legislation drafted and, as applicable, adopted																				
Outcome 2.1 Central EMIS Support Unit established and securing funding for its continuing operation after the project, thereby providing a basis for broader sustainable adoption of EMIS	Output 2.1.1: Feasibility study for the introduction of EMIS in Azerbaijan completed																				
	Output 2.1.2: Central EMIS Support Unit established with required ICT facilities and staff (including a help desk), and securing funding for its continuing operation also after the project																				
	Output 2.1.3: Completed set-up of EMIS, incl. its installation and translation into Azeri language, required arrangements for data transfer and a database, institutional arrangements and agreements completed for monitoring the energy performance of																				

	all applicable public buildings in Baku City with an initial focus on Government owned buildings, including the schools and kindergartens administered by the Ministry of Education, but with a possibility expand and replicate the set-up also in other municipalities.																				
Outcome 2.2: Enhanced capacities for energy efficiency in buildings and EMIS implementation	Output 2.2.1: Training delivered and skills on EMIS and EE strengthened for at least 400 people of different professional groups																				
	Output 2.2.2: Municipal Energy Efficiency Charter signed by at least 30 municipalities, including municipalities Baku rayons																				
	Output 2.2.3: EMIS and Energy Efficiency Support Units established in at least 30 municipalities, including municipalities Baku rayons																				
	Output 2.2.4: Public buildings of participating municipalities equipped for delivering data to EMIS, including at least 200 buildings with a floor area of at least 1 million m^2.																				
Outcome 2.3: Investment mobilized using data from EMIS	Output 2.3.1: Completed energy audits by using agreed methodology (see output 1.1.1) with related recommendations for EE measures for at least 30 public buildings using data from EMIS																				
	Output 2.3.2: Finalized technical design of EE retrofit measures to be implemented in at least 30 buildings with a target to reduce their energy consumption and/or related GHG emissions by at least 35%.																				
	Output 2.3.3: Energy saving projects implemented with monitored and																				

	reported results in at least 30 buildings with the total floor area of at least 60 000 m2 with a target to reduce their energy consumption and/or related GHG emissions by at least 35%																					
Outcome 3.1: Enhanced capacity of professionals engaged in designing and implementing social housing projects on integrated low carbon building design principles and on opportunities to reduce the carbon footprint of social housing, while still maintaining the costs at an acceptable level	Output 3.1.1: Training delivered and skills strengthened of key professional groups engaged in MIDA construction activities on net-zero or close to net-zero carbon building design and on integrated building design principles in general taking also into account gender related aspects																					
	Output 3.1.2: Green housing contests for a net-zero or close to net-zero carbon design of selected MIDA construction site or building(s) by applying integrated building design principles																					
Outcome 3.2: Demonstration of best practices for energy efficient design and construction of social housing with lessons learnt and related recommendations for further work embedded into National Housing Strategy and/or MIDA Charter, including gender	Output 3.2.1 Detailed design of at least two residential buildings and all service buildings of selected MIDA site to test and demonstrate new energy efficiency and renewable energy measures going beyond the standard construction norms in force.																					
	Output 3.2.2: Construction of buildings with complementary EE and RE measures completed, including required metering and monitoring equipment to be installed both to the new "low-carbon" residential and service buildings as well as to otherwise similar buildings constructed on the basis of the standard construction norms in force. Project																					

related aspects.	inception report and workshop.																				
	Output 3.2.3: A report on the monitored and verified results of the demo projects comparing them to the monitored energy performance of otherwise similar "standard baseline buildings", while also including lessons learnt and recommendations for further work, including suggested changes, as applicable, to construction norms and regulations.																				
	Output 3.2.4 Review of the MIDA charter and applicable national social housing strategies with related recommendations for amendments, as needed taking into account both social and environmental aspects and how the joint effort of combatting climate change can or should be taken into account in social housing construction																				
Outcome 4.1: Enhanced awareness and knowledge about the project results and lessons learnt with compiled KM materials and recommendations for scaling up	Output 4.1.1: A comprehensive on-line website and regularly updated open data, knowledge management and networking platform set up and functional																				
	Output 4.1.2: A professional video documenting project results and presenting project's pilot net-zero and close to net-zero carbon buildings.																				
	Output 4.1.3: Two international public outreach, knowledge management workshops, including a final project workshop presenting the project results, lessons learnt and recommendations for upscaling																				
5. Monitoring and	Output 5.1.1: Inception workshop																				

Evaluation	Output 5.1.2: Annual project monitoring reports (SESP, Gender, PIR)																					
	Output 5.1.3: Project mid-term evaluation																					
	Output 5.1.4: An end of the project "lessons learnt" report, including monitored results of supported EE investments and recommendations for upscaling																					
	Output 5.1.5: Project terminal evaluation																					

Annex 4: UNDP Social and Environmental Screening Procedure (SESP)

Provided as separate file.

Annex 5: UNDP Risk Register

#	Description	Risk Category	Impact & Probability	Risk Treatment / Management Measures	Risk Owner
1	Lack of political will to support further development of an enabling policy framework to effectively advance energy efficiency in buildings, including their obligatory energy performance monitoring and management, EE retrofits of old buildings and updated EE norms for new buildings, including social buildings constructed by MIDA.	Political	The development and/or adoption of the suggested primary and secondary legislation under component 1 may be significantly delayed or stopped entirely similar to the adoption of EMIS into Government owned B-2 category buildings L = 2 I = 4 Risk level: Moderate	Implementing the project in close consultation with the key stakeholders and beneficiaries, including the members of the State Commission on Climate Change and its Working Group on CC Mitigation, by simultaneously raising their awareness on the importance and also national benefits of advancing the EE agenda in Azerbaijan.	Project implementing partner, Project Board and project management
2	The project co-financing commitments do not materialize.	Financial	There is no adequate financing for the suggested EE retrofits and the planned MIDA pilot and demonstration projects. L = 1 I = 5 Risk level: Moderate	This risk is mitigated by the signed co-financing letters and continued consultations and engagement of project's key co-financing partners, while also continuing to raise the awareness of their management on the benefits the planned project activities to their organizations. In the case of MIDA, the funding is already approved. Also using the State Commission on Climate Change as a vehicle for advancing the EE agenda in the key project partner organizations including related financial commitments.	Project implementing and co-financing partners, Project Board and project management
3	Due to technical problems with the planned EE retrofit investments and technologies used, the trust of the key stakeholders on the proposed measures is lost.	Other (technology risk)	The confidence of the key project stakeholders and partners on the proposed EE and RE measures is lost resulting in that they will not be replicated or scaled up. L = 2 I = 3 Risk level: Moderate	Adequate due diligence and, when applicable, pre-testing of the proposed EE and RE solutions. The risk that EMIS software gets outdated can be mitigated by constantly updating it.	Project management
4	The proposed measures and retrofit projects may generate waste that is harmful to the environment and human health, if not	Environmental	The implemented measures will result in non-acceptable local environmental problems L = 2	Having as an obligatory component for all proposals an environmental impact assessment addressing also the waste issue.	Project management

	properly managed and disposed.		I = 3 Risk level: Moderate		
5	The changing climate and extreme weather conditions eventually appearing more frequently and more intensively may pose specific risks to those building retrofit measures that are exposed to such weather.	Environmental	The implemented measures will not produce the desire benefits or will result in adverse effects to the lifetime of the building L = 2 I = 3 Risk level: Moderate	Taking the changing climate and the risk for more frequent and intensive extreme weather conditions into account in the calculations, in defining the technical specifications for the equipment and in ensuring their proper installation.	Project management
6	Inadequate local capacity to effectively implement the project	Operational	The targeted project results will not be achieved L = 3 I = 5 Risk level: High	Adequate focus on capacity building, coaching and adaptive management supported by the project's long term part time resident international advisor spending at least 50% of the days assigned for him/her in Azerbaijan, and who needs to be recruited at the outset of project operations and work in close co-operation with the project management team throughout the project implementation. Monitoring and, as needed, reassessing and adjusting project management arrangements during project implementation. UNDP RTA shall also be engaged as a member of the selection committee for the key project staff and subcontractors and as it concerns, in particular, the selection of the project manager and the part time resident international advisor.	Project Board and UNDP by their oversight functions and responsibilities
7	Continuing COVID-19 pandemic will prevent some project activities from being implemented	Social	The targeted project results will not be achieved and the stakeholders cannot be engaged at the level required. L = 2 I = 4 Risk level: Moderate	Planning and developing alternative ways or introducing required precautionary measures for allowing the implementation of critical project activities despite of COVID-19 restrictions. For instance, all required project meetings, workshops and training events can also be organized online.	Project management
8	Project implementation may not adequately take into account the gender related aspects.		Equal opportunities for women to participate in and benefit from the project is not provided by the project L = 2 I = 4 Risk level: Moderate	This risk will be managed by monitoring the implementation of the gender action plan prepared for and included as an Annex to the project document and also recruiting a gender expert to do that and advance the gender agenda in the project related fields in general.	Project management

Annex 6: Overview of Project Staff and Technical Consultancies

Consultant	Time Input	Tasks, Inputs and Outputs
For Project Management		
Local / National contracting		
Project Manager Rate: $600/week	Full time 260 weeks over 5 years	The Project Manager (PM), together with the International Project Advisor will be responsible for the overall management of the project, including the mobilization of all project inputs, supervision over project staff, consultants and sub-contractors. <u>Duties and Responsibilities</u> • Manage the overall conduct of the project. • Plan the activities of the project and monitor progress against the approved workplan. • Execute activities by managing personnel, goods and services, training and low-value grants, including drafting terms of reference and work specifications, and overseeing all contractors' work. • Monitor events as determined in the project monitoring plan, and update the plan as required. • Provide support for completion of assessments required by UNDP, spot checks and audits. • Manage requests for the provision of UNDP financial resources through funding advances, direct payments or reimbursement using the FACE form. • Monitor financial resources and accounting to ensure the accuracy and reliability of financial reports. • Monitor progress, watch for plan deviations and make course corrections when needed within project board-agreed tolerances to achieve results. • Ensure that changes are controlled and problems addressed. • Perform regular progress reporting to the project board as agreed with the board, including measures to address challenges and opportunities. • Prepare and submit financial reports to UNDP on a quarterly basis. • Manage and monitor the project risks – including social and environmental risks - initially identified and submit new risks to the Project Board for consideration and decision on possible actions if required; update the status of these risks by maintaining the project risks log; • Capture lessons learned during project implementation. • Prepare revisions to the multi-year workplan, as needed, as well as annual and quarterly plans if required. • Prepare the inception report no later than one month after the inception workshop. • Ensure that the indicators included in the project results framework are monitored annually in advance of the GEF PIR submission deadline so that progress can be reported in the GEF PIR. • Prepare the GEF PIR; • Assess major and minor amendments to the project within the parameters set by UNDP-GEF; • Monitor implementation plans including the gender action plan, stakeholder engagement plan, and any environmental and social management plans; • Monitor and track progress against the GEF Core indicators. • Support the Mid-term review and Terminal Evaluation process.
Project Assistant (incl. account management) Rate: $300/week	Full time 260 weeks over 5 years	<u>Duties and Responsibilities</u> Under the guidance and supervision of the Project Manager, the Project Assistant will carry out the following tasks: • Assist the Project Manager in day-to-day management and oversight of project activities; • Assist in matters related to M&E and knowledge resources management; • Assist in the preparation of progress reports;

Consultant	Time Input	Tasks, Inputs and Outputs
		• Ensure all project documentation (progress reports, consulting and other technical reports, minutes of meetings, etc.) are properly maintained in hard and electronic copies in an efficient and readily accessible filing system, for when required by PB, TAC, UNDP, project consultants and other PMU staff; • Provide PMU-related administrative and logistical assistance. • Keep records of project funds and expenditures, and ensure all project-related financial documentation are well maintained and readily available when required by the Project Manager; • Review project expenditures and ensure that project funds are used in compliance with the Project Document and Government financial rules and procedures; • Validate and certify FACE forms before submission to UNDP; • Provide necessary financial information as and when required for project management decisions; • Provide necessary financial information during project audit(s); • Review annual budgets and project expenditure reports, and notify the Project Manager if there are any discrepancies or issues; • Consolidate financial progress reports submitted by the responsible parties for implementation of project activities; • Liaise and follow up with the responsible parties for implementation of project activities in matters related to project funds and financial progress reports.
Project Procurement Expert Rate: $460/week	Part time 156 weeks over 5 years	Duties and Responsibilities • Support the project implementation in recruiting and contracting project staff and other required human resources and services and in procuring required equipment • Drafting tendering documents for the mentioned purposes • Organizing the solicitation process otherwise in conformity with the applicable laws, regulations and financial management guidelines
For Technical Assistance		
Shared between components 1 - 4		
Local / National contracting		
International / Regional and global contracting		
Part time resident international project advisor Rate: $3000/week	115 weeks over 5 years shared between components 1-4	Duties and Responsibilities: Support project management in project progress monitoring, annual planning and related adaptive management for meeting the targets sets in the project results framework and ensuring that they comply with the agreed benchmarks, international best practices and lessons learnt. The expected level of involvement will be about 25 weeks per year primarily located in Azerbaijan, which may gradually decrease towards the end of project implementation depending on how the project proceeds. The specific responsibilities include, among others, to: • support the project management team in more detailed planning and organization of the

Consultant	Time Input	Tasks, Inputs and Outputs
		project implementation at the inception phase, including support to the project manager in the preparation of the project inception report and the annual output specific work plans as well as drafting of Terms of Reference for the national and, as needed, additional international experts and subcontractors • supporting the project manager in arranging co-operation with the already identified key stakeholders and, as applicable, establishing new national and/or international partnerships to support the project goals and objectives; • supporting adaptive management by regularly reviewing on a monthly basis the progress of the project and its different subcomponents and making suggestions for eventual changes and/or complementary activities; • supporting the energy efficiency, energy audit and GHG calculation methodology development or adoption from another country to facilitate the use of a transparent methodology for the mentioned use in accordance with the state of art EU standards and methodologies • Provide detailed guidance of how to transfer and implement EMIS to Azerbaijan • reviewing and commenting suggested methodologies for assessing energy saving and the GHG reduction impact of the project; • supporting the project manager in supervising the work of the contracted individual experts and companies, including review of the energy audits and the EE retrofit investment proposals prepared with project support as well as the design of the MIDA pilot buildings • support the local project team in monitoring and evaluating the performance and the outcome of the pilot EE retrofit projects and the MIDA pilot buildings
Component 1:		
Local / National contracting		
Legal and technical experts Rate: $750/week	Short term daily based contracts totalling 40 weeks over the duration of the project	Drafting of the Law on Energy Efficiency in Buildings and related secondary legislation (Output 1.1.2) and new secondary legislation, including technical standards and guidelines, to support the implementation of the Law on the Efficient Use of Energy Resources and the NEEAP (Output 1.1.1)
National or international subcontracts		
Completing draft regulations and laws for Outputs 1.1.1 - 1.1.2		
Component 2:		
Local / National contracting		
Technical Task Manager for Component 2 Rate: $460/week	Full time 250 weeks over 5 years	<u>Duties and Responsibilities</u> • Supporting the project manager in the overall project co-ordination and supervision and having the responsibility of technical supervision of implementing component 2 by ensuring that its planned outputs and targets are achieved in accordance with the agreed work plan and project results framework • Ensuring the engagement of and co-ordination with all stakeholders listed in the stakeholder engagement plan for reaching the outputs and targets of component 2 • Managing and monitoring the project risks as it relates to the implementation of component

Consultant	Time Input	Tasks, Inputs and Outputs
		2 of the project and documenting lessons learned. • Managing EMIS and contributing to its mainatenance and further development Ensuring that adequate good quality metered data will be available for project monitoring purposes as it concerns the achieved energy savings from the energy effiency retrofit projects supported by the project and that any related calculations on resulting GHG reduction re done by internationally recognized state of the art methodologies
Staffing of the EMIS help desk Rate: $150/week	500 weeks over 5 years jointy for 2-5 persons.	EMIS help desk supporting the municalities and their faciliry and energy managers to take EMIS into use (Output 2.1.2)
Local training experts Rate: $750/week	20 weeks	In co-operation with the international project advisor and other international experts, getting trained and delivering training to the targeted stakeholders (Outout 2.2.1)
Local energy managers Rate: $200/week	1000 weeks jointly by several EMs	• Introducing and managing EMIS in their local municipality • Monitoring the energy performance of the buildings managed by the local state of municipal authorities and making suggestions for improvements • Developing local energy efficiency plans and supporting their adoption and implementation
Local data collection experts Rate: $200/week	50 weeks jointly	Supporting the initial data compilation from EMIS for at least 200 buildings (Output 2.2.4)
National or international subcontracts		
• completing the feasibility for and adapting the EMIS software (incl. the database) for the use in Azerbaijan, incl. Its required annual upgrades and maintenance (Outputs 2.1.1, 2.1.3 and 2.1.4) • completing energy audits and related recommendations for EE retrofits of at least 30 buildings (Output 2.3.1) • final technical design of the proposed EE retrofits in at least 30 buildings and supervision of their implementation (Output 2.3.2)		
Component 3:		
Local / National contracting		
Technical Task Manager for Component 3 Rate: $460/week	Full time 250 weeks over 5 years	<u>Duties and Responsibilities</u> • Supporting the project manager in the overall project co-ordination and supervision and having the responsibility of technical supervision of implementing component 3 by ensuring that its planned outputs and targets are achieved in accordance with the agreed work plan and project results framework • Ensuring the engagement of and co-ordination with all stakeholders listed in the stakeholder engagement plan for reaching the outputs and targets of component 3 • Managing and monitoring the project risks as it relates to the implementation of component 3 of the project and documenting lessons learned. • Ensuring that adequate good quality metered data will be available for project monitoring purposes as it concerns the achieved energy savings from the MIDA pilot projects supported by the project and that any related calculations on resulting GHG reduction re done by

Consultant	Time Input	Tasks, Inputs and Outputs
		internationally recognized state of the art methodologies
Local training experts Rate: $750/week	20 weeks	In co-operation with the international project advisor and other international experts, getting trained and delivering training to the targeted stakeholders (Outout 3.1.1)
Green architectural design contest development Rate: $750/week	10 weeks	Supporting the PMU in the development of the green architectural design contest with related structure, guidance documents, evaluation criteria and outreach material (Output 3.1.2)
International / Regional and global contracting		
International green/energy efficient building design trainer Rate: $3750/week	8 weeks	<u>Duties and Responsibilities:</u> • In co-operation with the PMU, international project advisor and local experts, developing and delivering training for key professional groups engaged in MIDA construction activities on net-zero or close to net-zero carbon building design and on integrated building design principles in general taking also into account gender related aspects (Output 3.1.1) • Supporting the PMU in the development of the green architectural design contest with related structure, guidance documents, evaluation criteria and outreach material and participating in the evaluation of the proposals received (Output 3.1.2) • Advising detailed design of at least two residential buildings and all service buildings of selected MIDA site to test and demonstrate new energy efficiency and renewable energy measures going beyond the standard construction norms in force (Output 3.2.1)
National or international subcontracts		
• supporting the final design of MIDA demo buildings by building on the results of the green building design contest (Output 3.2.1) • monitoring and verifying the energy and other performance of the demo buildings constructed (Output 3.2.3)		
Component 4:		
Local / National contracting		
Task manager for component 4 acting also as the project public outreach and communication officer Rate: $460/week	Part time 145 weeks over 5 years	• Supporting the project manager in the overall project co-ordination and supervision and having the responsibility of technical supervision and support of implementing activities under component 3 by ensuring that the mentioned outputs are implemented in accordance with the work plan and achieved in schedule meeting the targets set in the project results framework • Managing and regularly updating the project website and other KM platforms
National or international subcontracts		
Initial development and annual upgrading and maintenance of the project online KM platform (Output 4.1.1)		
Monitoring and Evaluation		
Local / National contracting		

Consultant	Time Input	Tasks, Inputs and Outputs
Local evaluation expert Rate: $750/week	10 weeks	Mid-term review
	10 weeks	Terminal evaluation
SESP monitoring expert Rate: $750/week	20 weeks	Monitoring of the progress in implementation of all SESP related issues of the project ensuring that targets are fully met and the reporting requirements are fulfilled; Review the SESP annually, and update and revise corresponding management plans as necessary; Further oversee, develop or coordinate the implementation of SESP related aspects of the project
Gender expert Rate: $750/week	20 weeks	Monitoring of the progress in implementation of the project Gender Action Plan ensuring that targets are fully met and the reporting requirements are fulfilled; Review the Gender Action Plan annually, and update and revise corresponding management plans as necessary; Further oversee, develop or coordinate the implementation of gender specific aspects of the project
International / Regional and global contracting		
International evaluation expert Rate: $3750/week	8 weeks	Mid-term review
	8 weeks	Terminal evaluation
National or international subcontracts		
Monitoring GEF of core indicators and project results framework, including monitoring and verification of achieved energy savings and GHG emission reduction by the supported demo projects		

Annex 7: Stakeholder Engagement Plan

Public engagement during project development

The key stakeholders listed in table 3 below have been consulted and their comments taken into account in project development. Due to the restrictions caused by the global COVID-19 pandemic, no on-site project preparation workshops could be organized, but the stakeholders could be engaged by using different on-line collaboration platforms and video-conferencing facilities beside a few on-site meetings by adopting the required precautionary measures.

The stakeholders, their relevant interests, and why they are included

The key stakeholders, their envisaged roles and reasons for their inclusion are summarized in table 3 below.

Table 3 Key partnerships of the project

Name of the entity	Envisaged role and potential areas for co-operation during project implementation	Timing of engagement
Central government administration and related organisations and companies		
State Commission on Climate Change	Given its composition and mandate (see table 2 in page 17 for further details), the State Commission on Climate Change and its CC Mitigation Working Group will be logical forum to discuss and advocate for any high level policy issues that the project is seeking to advance.	As needed.
Ministry of Ecology and Natural Resources (MoENR)	The project implementing partner, including coordination of the work with other government institutions involved in the project, including the Ministry of Energy, Ministry of Education and the State Housing Development Agency of the Government of Azerbaijan (MIDA). Also, the MoENR will have a key role in engaging and communicating with other project stakeholders listed below, including non-governmental organizations and the private sector.	From the beginning of the project
Ministry of Energy (MoEn)	A key project co-financing and implementation partner for components 1 and 2	From the beginning of the project
Ministry of Education (MoEd)	A key project co-financing and implementation partner for component 2	From the beginning of the project
State Housing Development Agency of the Government of Azerbaijan (MIDA)	A key project co-financing and implementation partner for component 3	From the beginning of the project
State Committee on Urban Planning and Architecture (SCUPA)	The State Committee on Urban Planning and Architecture (SCUPA) is an executive body responsible for unified government policy and regulation in urban planning, zoning, architecture, and related design, including supervision of the compliance of construction activities with laws and regulations in force. In the NEEAP, the SCUPA has been assigned with a responsibility to work together with the Ministry of Energy, Ministry of Economy and other line ministries on the 1) Development and adoption of primary and additional legislative acts on energy efficiency, including technical regulations and normative documents on standardization; 2) Removal of barriers and facilitation of energy performance contracting and ESCO market for public buildings and street lighting; 3) National renovation programme for private (commercial, office and residential) and public buildings; 4) Energy performance certification of buildings 5) Construction of highly efficient new buildings; and 6) Exchange of information and best practices on energy efficiency measures in public sector. As such, for any activities related to the topics listed above, the project should engage and explore the co-operation opportunities with SCUPA.	From the beginning of the project

Azerbaijan Standardization Institute	Azerbaijan Standardization Institute (AZSTAND) is the national standardization body of Azerbaijan with a responsibility to publish state standards, specifications, field standards, national classifications and standards catalogues. In the NEEAP, AZSTAND has been assigned as a co-operating partner, among others, for activities dealing with energy performance certification of buildings and construction of highly efficient new buildings.	From the beginning of the project
State Agency for Alternative and Renewable Energy Sources (SAARES)	The State Agency for Alternative and Renewable Energy Sources (SAARES) is the central executive body carrying out state policy in the alternative and renewable energy in Azerbaijan. While its activities have been largely focusing on advancing larger scale electricity generation by renewable energy sources in Azerbaijan, it has also been working on the development of proposals for expanding the use of building integrated alternative and renewable energy sources as well as on improving the buildings' energy efficiency in general. As such, SAARES would be a logical project partner to co-operate with any of the topics listed above.	From the beginning of the project
Azerishig OJSC	Azerishig OJSC is responsible for the electricity distribution and supply functions in Azerbaijan except for the Nakhchivan Autonomous Republic. As a main entity responsible for electricity metering and billing, it is an obvious co-operating partner for further exploring ways to transfer building specific electricity consumption and billing data directly to EMIS and for increasing the use of smart meters both for allowing easy automatic data transfer and for facilitating effective load management as well as net metering in the case of building integrated decentralized power production, for instance, by solar energy. Envisaged project partners responsible for issuing technical conditions for design and sharing other metering and billing information	During EMIS development
Azerigaz PU	Until 2009, "Azerigaz" OJSC was a separate state-owned company, but in 2009 it was reorganized and put under the control of SOCAR. In that process, it was also renamed to Azerigaz Production Unit (PU). Azerigaz PU is currently responsible for the transmission, storage, distribution and supply of natural gas, whereas SOCAR is responsible for natural gas exports. Similar to Azerishig, Azerigaz is an obvious co-operating partner for further exploring ways to automatically transfer building specific natural gas consumption and billing data directly EMIS.	During EMIS development
Azerbaijan Energy Regulatory Agency (AERA)	Azerbaijan Energy Regulatory Agency (AERA) was established in 2017 as a subordinate to the Ministry of Energy to become the responsible authority for the calculation and approval of energy tariffs after these functions of the former Tariff Council will be transferred to it. The draft Law on this matter has been prepared with support of the EBRD and was submitted to the Cabinet of Ministries for inter-ministerial consultations in July 2019, but the final decision on the matter and related transfer of responsibilities to AERA is still pending. Once/if completed, AERA will be a logical project partner for any tariff related issues and has also been mentioned in the NEEAP as the responsible party for developing new tariff methodologies. By the project "Support to the newly established Azerbaijan Energy Regulatory Agency", EBRD can continue to provide technical assistance to AERA.	At the point with a need to discuss any tariff related issues.
Local (city) administration and PUCs		
Baku Executive Authority (BEA)	An important stakeholder to engage and co-operate with especially for component 2	From the beginning of the project
Executive authorities of other cities	Similar to Baku Executive Authority, the role of executive authorities of other cities will be equally important for adopting EMIS, for establishing local EE centers and for gradually starting to improve the energy efficiency of the public buildings located in other municipalities.	During the EMIS feasibility study and after the initial introduction of EMIS in Baku area
Energy and Construction related NGOs and professional associations		
NGOs active in environment and	The members of building sector related professional associations are sought to be engaged in the awareness raising and training activities organized by the project and after that for advancing the	From the beginning

energy fields, women associations, labor union, builders' association, energy service providers, energy auditors associations, sustainable development related organizations; architects union; academia and relevant media et	energy efficiency agenda in their respective fields by also taking into account social and gender related aspects. Buildings managed by NGOs providing complementary social support and protection for families, women and children are also be sought to be included among the buildings to be retrofitted with project support, thereby enhancing buildings' thermal comfort, reducing their annual energy costs and by that reducing also the related financial burdens of the NGOs operating in those buildings.	of the project
Universities and other scientific, research and educational entities		
Local academic institutions	Envisaged project partners for training and hosting scientific knowledge and expertise for advancing new energy efficient low carbon technical solutions in the construction sector.	From the beginning of the project
International organizations and financing entities		
EU	The EU has been in recent supporting the development of an enabling policy framework for advancing energy efficiency in Azerbaijan, including the drafting of the Law on Efficient Use of Energy Resources and the National Energy Efficiency Action Plan (NEEAP). As such, it will be a logical partner for continuing to explore the co-operation opportunities as it concerns the activities under component 1 in particular.	As applicable.
EBRD	EBRD has been supporting the establishment of Azerbaijan Energy Regulatory Agency, and as such can be considered as a possible implementation partner for any tariff related issues	As applicable.
UNDP	Responsible for the oversight of project implementation and providing also co-financing for the project	From the beginning of the project
Individuals and private sector		
Architects and building engineers Appointed and future energy managers Energy auditors and those wishing to obtain a license	To be engaged as: i. stakeholders, experts and representatives of their professional field to the working groups or task forces to finalize the required secondary legislation for the implementation of the new Law on Efficient Use of Energy Resources ii. professionals to be trained for EMIS, energy audits, energy management as well as design and monitoring of energy efficiency retrofits iii. contributors and/or contractors for feeding information to and managing EMIS, conducting energy audits and designing energy efficiency retrofits	Across the project duration depending on the schedule of activities and expected type of participation (see Annex 4 – Multi Year Work Plan)
IT specialists	Upgrading, inventing and developing new features for EMIS for improving its usability	

The private sector will have a key role in implementing the project – primarily as a service provider for developing new features and functionalities for EMIS data management as well as for different elements of the actual building renovation, including energy audits, technical and financial feasibility analysis, actual construction work and monitoring of the results of the work done. Besides, the private sector (e.g. private banks) will have a role in providing project financing, managing the credit lines of international multilateral financing institutions and offering new type of financing instruments and modalities such as ESCO financing.

<u>The steps and actions to achieve meaningful consultation and inclusive participation, including information dissemination</u>

During project implementation, the participation will be facilitated by multiple means starting with the project inception workshop. Depending on the situation with the COVID-19 at that time in Azerbaijan, the inception workshop can be organized either as an on-site or on-line event.

An on-line knowledge management platform (basically a website complemented by different social media channels) will be established among the first project activities in order to share up to date information of the project as well as to educate key project stakeholders and the general public on the key topics the project is dealing with, including a forum, in which these topics can be discussed and through which specific questions to the project management or other project participants on those topics can be made.

Other means for engaging stakeholders and facilitating public participation will be the workshops and training activities organized during the projects as its final report and terminal evaluation, which will also be published online.

Roles and responsibilities for implementation of the Plan

The project Implementing Partner and the project management assigned by it has the overall responsibility for implementing the Stakeholder Engagement Plan with UNDP providing oversight. The project management may also assign certain tasks for implementing the plan for other parties, subject to a written agreement. The ultimate responsibility for ensuring the implementation of the plan at the adequate level also in this case, however, remains with the project Implementing Partner.

The timing of the engagement throughout the project cycle

See table 3

The budget for stakeholder engagement throughout the project cycle and, where applicable, for related capacity-building to support this engagement

There is not specific budget titled stakeholder engagement , but there are specific budget lines for engaging local experts, training and public outreach workshops, establishing and managing project website, which all part of or contribute to local stakeholder engagement. While the total budget for project's technical assistance activities excluding project management will be about USD 2 million, it is difficult to define what particular share out of this is assigned for stakeholder engagement in particular since it will be a core element of all project's technical assistance activities in one form or another.

Key indicators of stakeholder engagement during project implementation, and steps that will be taken to monitor and report on progress and issues that arise

In the project's M&E framework, there are gender specific indicators measuring, for instance, the number of participants in project's training activities, recording the visitors at the project website well as indicators for checking and monitoring that project activities contributing in one way or another to stakeholder engagement such as workshops, project monitoring and evaluation reports have been completed on time and published online.

No Free, Prior and Informed Consent (FPIC) by indigenous people is required for project activities.

Annex 8: Gender Analysis and Gender Action Plan

Provided as separate file.

Annex 9: Initial Procurement Plan

Draft of Initial Procurement Plan

This initial draft procurement plan will cover the first 12-month period of project implementation.

It will be reviewed and, as needed, updated during the project inception phase, and the reviewed and updated version will be attached to the project inception report.

The National Implementing Partner shall update the procurement plan throughout the duration of the project at least annually by including contracts previously awarded. All procurement plans, their updates or modifications shall be published on the website of the National Implementing Partner/Executing Agency.

General Information

Project Title: Scaling up investment in energy efficiency in buildings through enhanced energy management information system (EMIS) and green social housing	
Country: Azerbaijan	Executing Agency: Ministry of Ecology and Natural Resources
Grant Amount (USD): 4,521,005	PIMS ID: 6479
Date of First Procurement Plan: Quarter 1/Year 1	Date of this Procurement Plan: Quarter 1/Year 1

A. Process Thresholds, Review and Procurement Plan

Given the full national implementation of the project, all procurements will be conducted in accordance with the Law of the Republic of Azerbaijan "On Public Procurement" applied to all bodies, organizations and companies with a state share of more than 30%. In case of more than 5000 AZN purchases, Companies with more than 30% of state-owned shares must purchase all goods, services and works in accordance with the provisions of this Law. All bodies, organizations, and companies with more than 30% state ownership are called as “procuring entity”

1. Project Procurement Thresholds

Procuring entities must submit their purchase plans for the next year to the relevant government agency for approval by October 15 of each year and make purchases in accordance with that plan during the next year. The procurement plan must be posted on the procurement portal prepared by the state and all tender announcements must be reflected there. The procuring entity has the right to make changes to the procurement plan once a month.

The following procurement thresholds, in line with the Law of the Republic of Azerbaijan "On Public Procurement" shall apply to the procurement of goods and works, consulting services, and Human resources (project staff).

Procurement method	Contract value	Type of requirement	Method of Solicitation	Type of Competition
Direct contracting without any competitive process	Below 5000 AZN (US $2 941.17)	Goods, works, and services	There is no requirement to comply with the provisions of the procurement law. the procuring entity may enter into a contract with any effective legal or natural person and purchase goods, works and services.	Any resident or non-resident individuals or legal entities
Request for quotations	Below 50 000 AZN (US $29 411,76)	Goods, works, and services	At least three invitations must be sent to the relevant companies, in addition, an announcement must be published on a single Internet portal of public procurement. The quotation request announcement must be active for at least 10 banking days and at least 3 bidders are required for the procedure to take place; otherwise, the envelopes are returned to the bidders without opening and the procedure is deemed not to have taken place.	Any resident or non-resident individuals or legal entities
Electronic open tender procedure	Between 50 000-5 100 000 AZN Between ($29 411,76 - 3 000 000 USD)	Goods, services, works	Public call advertised on Public Procurement Portal. At least 3 bidders are required for the procedure to take place; otherwise, the envelopes are returned to the bidders without opening and the procedure is deemed not to have taken place. The electronic open tender announcement must be active for at least 20 banking days.	Any resident or non-resident individuals or legal entities, however, only small, micro and medium business entities. Note: the aim is to promote small businesses
Open tender procedure	From 5 100 000 AZN to no limit From 3 000 000 USD to no limit	Goods, services, works	Public call advertised on Public Procurement Portal. At least 3 bidders are required for the procedure to take place; otherwise, the envelopes are returned to the bidders without opening and the procedure is deemed not to have taken place. The open tender announcement must be active for at least 30 banking days.	Any resident or non-resident individuals or legal entities
Tender with limited participation	No limit	Goods, services, works	The tender with limited participation is used in the following cases: - If the goods (works and services) are	Only to a limited number of

and closed tender.			provided for the needs of defense and national security, the procuring entity applies a closed tender. Note: Procurement of clothing, food, items, inventory, medical equipment, medical supplies, official/company vehicles, repair and construction work for these needs are conducted by an open tender. - if there is not a proportionality between the time and expenses required for consideration and evaluation of numerous bids and the cost of goods (works and services) to be procured. - when conforming goods (works and services) due to their extreme complexity or special characteristics are available to potential suppliers (contractors) only in limited quantities; Note: The closed tender announcement must be active for at least 30 banking days.	potential shippers (contractors)
Conditions for the use of a request for quotations	No limit	Goods, services, works	If an urgent demand arises for procurement of goods (works and services) and application of open tender procedure or other methods of procurement aren't considered as practically reasonable where that demand isn't an outcome of failure in regard to intentional prolongation of procurement process by the procuring entity and the prediction of such a situation is impossible. The request for quotations announcement must be active for at least 10banking days.	Any resident or non-resident individuals or legal entities
Three-stage tender	No limit	Innovative solutions based on research and development services	1st phase, a public call for qualification advertised on the Public Procurement Portal, 2nd phase, dialogue with qualified bidders 3rd phase, negotiations with the best offeror until the solution is determined	Any resident or non-resident individuals or legal entities
Using the method of procurement	No limit	Goods, services, works	Direct negotiations with the single offeror since no competitive market exists or in cases	Any resident or non-resident

from a single source			of emergency	individuals or legal entities

2. Information about entry into force and link for public procurement law, its amendments and the Constitution

1) Date of entry into force of the law - Baku, December 27, 2001 [10]
2) The Amendments to the law[11]
3) According to the Article 151 of the Constitution of the Republic of Azerbaijan, "If a conflict arises between normative legal acts of the legislative system of the Republic of Azerbaijan (with the exception of the Constitution of the Republic of Azerbaijan and acts adopted by referendum) and inter-state treaties to which the Republic of Azerbaijan is a party, the international treaties shall apply[12].

3. Estimated Contracts for Goods and Works

The following table lists goods and works contracts, for which procurement activity is expected to commence within the first 12 months of project implementation.

General Description	Estimated Number of Contracts	Est. total value of contracts (USD)	Procurement Method	Start of procurement process (quarter/year)	Type of Competition
Output 1.1.1 BL 72100 New secondary legislation to support the implementation of the Law on the Efficient Use of Energy Resources and the NEEAP developed and adopted	1	40 000	RFQ modality	Q4/2022	International
Output 2.1.1 BL 72100 Feasibility study for the introduction of EMIS in Azerbaijan	1	40 000	RFQ modality	Q4/2022	International
Output 2.1.2 BL 72800 Central EMIS Support Unit established with required ICT	1	10 000	RFQ modality	Q4/2022	National

[10] https://admin.etender.gov.az/email/7-Law_revised
[11] https://nk.gov.az/az/archive/search/?q=Sat%C4%B1nalma
[12] http://ask.org.az/wp-content/uploads/2019/10/Konstitusiya_ENG.pdf

General Description	Estimated Number of Contracts	Est. total value of contracts (USD)	Procurement Method	Start of procurement process (quarter/year)	Type of Competition
facilities					
Output 4.1.1 BL 72100 A comprehensive on-line website and regularly updated open data, knowledge management and networking platform set up and functional	1	20 000	RFQ modality	Q4/2022	National
Output 5.1.1 BL 75700 Inception workshop organized	1	5 000	Micro-purchasing modality	Q4/2022	National
Total		**115 000**			

4. Estimated Contracts for Services

i) Estimated Service Contracts

The following table lists service contracts for which procurement activity is expected to commence within the first 12 months.

General Description	Estimated Number of Contracts	Est. Total value of Contracts (USD)	Procurement Method	Start of procurement process (quarter/year)	Type of Competition
Project management BL 71400	3	61 200	Hiring through N-PSA	Q4/22	National
Components 2-4 BL 71400 Task managers	3	59 300	Hiring through N-PSA	Q4/22	National
Total		**120 500**			

ii) Estimated Individual Consultancy Contracts

The following table lists Individual Consultancy contracts for which procurement activity is either ongoing or expected to commence within the first 12 months.

General Description	Estimated Number of Contracts	Est. Total value of Contracts (USD)	Procurement Method	Start of procurement process (quarter/year)	Type of Competition
Components 1-4 Part-time resident international project advisor	1	66 000	Consultant Contract	Q4/22	International
Output 1.1.1 New secondary legislation to support the implementation of the Law on the Efficient Use of Energy Resources and the NEEAP developed and adopted	2	15 000	Consultant Contract	Q4/22	National
Output 3.1.1 Training delivered and skills strengthened of key professional groups engaged in MIDA construction activities on net-zero or close to net-zero carbon building design	1	30 000	Consultant Contract	Q4/22	International
Outcome 3.1.2 Green housing contests for a net-zero or close to net-zero carbon design of selected MIDA construction site or building(s) by applying integrated building design principles organized	1	7 500	Consultant Contract	Q4/22	National
Total		**118 500**			

Annex 10: GHG Reduction Assessment

In November 2014, the GEF Secretariat, in cooperation with STAP, started a review process aimed at further refining its GHG accounting methodologies, and exploring opportunities to harmonize them with those developed by relevant partners. The results of this exercise: "Guidelines for Greenhouse Gas Emissions Accounting and Reporting for GEF Projects" were presented to the GEF Council in 48th meeting in June 2015. The GHG analysis conducted for the project takes into account these updated guidelines and recommendations as elaborated in further detail below.

While definition of the GEF on direct GHG emission reductions has remained unchanged as "emission reductions, which attributable to the investments made during the project's supervised implementation period and totaled over the respective lifetime of the investments", for "indirect emission" reductions the new guidelines recommend the use of "consequential emissions" instead, defined as "those projected emissions that could result from a broader adoption of the outcomes of a GEF project plus longer-term emission reductions from behavioral change."

For energy efficiency projects, the GEF adopted in 2013 the methodology "Calculating Greenhouse Gas Benefits of the Global Environment Facility Energy Efficiency Projects (Version 1.0). As defined in the methodology, the direct GHG emission reductions "are those achieved by project investments such as technology demonstrations and discrete investments leveraged during the project's supervised implementation period". In contrast, GHG emission reductions achieved, for example, as a result of market facilitation and development through project-supported policy and institutional frameworks, capacity building, information gathering, and replication effects of demonstration activities, are considered indirect GHG emission reductions (or as later defined consequential emissions). The methodology defines 4 different modules for determining GHG emission reductions, from which the module "demonstration and diffusion" applies for this project.

In the demonstration and diffusion module, the key variables to be included into the calculation, include:

- Energy savings per user-specified unit for each fuel
- Lifetime of investment (years);
- Baseline assumption (% of activities implemented absent GEF intervention);
- Number of replications post-project as spillover (necessary for the indirect bottom-up estimate);
- Number of units to be installed in each year of the project.

These variables have been applied for the GHG accounting of the project, as follows:

An Energy Management Information System (EMIS) will be introduced to at least 200 buildings with a total floor area of at least 1 million square meters to facilitate better monitoring of buildings' energy performance and thus, by trained energy managers, their energy management. This is expected to result, in average, at least 5% reduction of buildings' energy consumption by simple operational and behavioral changes, reducing leakages and introducing other no or low costs energy efficiency improvements.

For more comprehensive building EE retrofits, which will be supported under component 2 of the project, the estimated direct GHG reduction impact has been calculated by drawing from the results and experiences of the previous NAMA project as well as by making initial estimates for those public buildings that have been identified as potential candidates for the targeted EE investments. These include municipal or stated owned administrative and office buildings, buildings of cultural heritage as well as service buildings such as schools, kindergartens hospitals and health care centers. Furthermore, buildings managed by non-governmental organizations providing complementary social support and protection for families, women and children will be prioritized to enhance the thermal comfort of the buildings hosting such services, lowering their annual energy costs and thereby also improving their financial situation, on the basis of which these centers operate.

The target is to facilitate the EE refurbishment of at least 30 buildings belonging to the categories listed above with the total floor area of approximately 60 000 m^2 and the average improvement of their energy performance by at least 35% from their estimated average baseline energy consumption of 250 kWh per m^2. In addition, grid-connected roof-top PV systems and/or solar thermal applications will be tested in at least one big public building. Subject to more detailed feasibility studies, the such building integrated decentralized renewable energy systems could be installed and taken into use also in other buildings.

As it concerns the EE investments supported under component 3 of the project, the idea is to select at least two residential buildings of different type from the new development project of MIDA in the Hovsan area, where the results of the green architectural contest for energy efficient low-carbon social housing construction (Output 3.1.2) can be implemented and monitored and the results compared with otherwise similar "baseline" buildings constructed based on the current standard construction norms and practices. Furthermore, all service buildings to be constructed as a part the new MIDA development project in Hovsan, including a school,

kindergarten, health center and shopping center will be designed by paying specific attention to their improved energy efficiency as well as opportunities to use on-site renewable energy production such as roof-top PV and/or solar thermal systems.

The baseline energy consumption of the buildings constructed by MIDA has been assessed at about 300 kWh per m^2 in average, calculated based on the observed electricity and gas consumption of some typical apartments and the technical devices used for meeting buildings' heating and sanitary hot water needs. The MIDA constructed apartments are not currently equipped with any cooling devices, but due to global warming, the demand for them is likely to increase in the future thereby further emphasizing the importance of related EE measures.

The project's direct GHG emission reduction impact and the assumption behind have been elaborated in further detail in table 13-1 below.

Table 13-1 Direct GHG reduction impact of the project by supported energy efficiency investments

Supported EE measures	**Total floor area of targeted buildings**	**Average baseline energy consumption**	**Targeted savings**	**Share of electricity in savings**	**Direct GHG reduction impact over 25 years**
	m^2	**kWh/m^2**	**%**	**%**	**tons of CO_{2eq}**
Introduction of EMIS and Energy Management in public buildings	1 000 000	250	5%	40%	123 230
EE retrofit of public buildings	60 000	250	35%	40%	51 757
Pilot projects for new energy efficient and low carbon design of MIDA social housing	10 577	300	20%	17%	4 264
New energy efficient and low carbon design of service buildings in the MIDA constructed residential sites	26 162	300	20%	30%	12 645
Subtotal	***1 096 739***				***191 896***
Supported building integrated RE measures	**Installed capacity**	**Annual production**		**Share of electricity**	**Direct GHG reduction impact over 25 years**
	kWp/kWth	**kWh/year**		**%**	**tons of CO_{2eq}**
Roof-top PV systems	300	390 000		100 %	5 877
Solar water heating	700	700 000		0 %	4 470
Subtotal					**10 346**
TOTAL					**202 242**

While the final measures to be implemented will be subject to more detailed building specific energy audits, feasibility studies and related financial analysis, they are envisaged to consist of both supply and demand side measures. At the supply side they can include, for instance, more efficient heating and cooling equipment or building integrated renewable energy sources such as roof-top solar thermal systems and/ or PV installations combined with highly efficient modern heat pump applications using ground heat, exhaust ventilation air or waste water as a heat source, while at the demand side the measures can include the improvement of thermal resistance and air tightness of the building envelope (walls, windows, roof etc.), use of passive solar energy or different shadowing elements during the summer time to reduce the cooling needs, more efficient LED-based lighting equipment as well as more advanced automatic monitoring and control of buildings' heating, cooling and lighting needs in general by applying modern ICT technology.

The emission factors used for estimating the project's GHG reduction impact **have been calculated based on the available IEA statistics** by taking into account the share of different energy sources used for electricity and heat production in Azerbaijan as well as the related transmission and distribution losses **resulting an average GHG emission factor of 0,603 tons of CO_{2eq} per kWh for electricity and 0,255 tons of CO_{2eq} per kWh for heat.**

As regards the consequential (aka indirect) GHG reduction impact of the project, by contributing to the continuing process of introducing EMIS with an objective to have at least 10,000 buildings with the total floor area of at least 10,000,000 m^2 included into EMIS accompanied by their better energy management in general as well as continuing the energy efficiency retrofits of selected public buildings with the annual rate of at least 50,000 m^2 per year, the consequential project impact with the causality factor 0.6 has been estimated at about 1 million tons of CO_{2eq}.

Similarly, the construction of social housing by MIDA will continue also after the project and if more energy efficient and other low-carbon construction practices suggested and tested by the project can be incorporated into those new development projects in full, the project consequential impact in that respect will be significant. By assuming that within the next 10 years after the end of the project at least two social housing development projects of the size similar to Hovsan 2 will be completed bv fully incorporating the suggested EE and RE measures into their design, the corresponding consequential GHG emissions reduction impact would be equal to about 0,17 million tons of CO_{2eq}.

For further details about the project's consequential GHG reduction impact, a reference is made to table 13-2 below.

Table 13-2 Summary of the project consequential (aka indirect) GHG reduction impact.

Supported EE and RE measures (Indirect)	**Total floor area of targeted buildings**	**Average baseline energy consumption**	**Targeted savings**	**Share of electricity in savings**	**GEF causality factor**	**Consequential GHG reduction impact over 25 yrs**
	m^2	**kWh/m^2**	**%**	**%**		**tons of CO_{2eq}**
Introduction of EMIS and Energy Management	10 000 000	250	5 %	40 %	0,6	739 380
EE retrofit of public buildings	500 000	250	35 %	40 %	0,6	258 784
New energy efficient and low carbon design of new social housing fully adopted for two new MIDA social housing development projects of a size similar to Hovsan-2	643 608	300	20 %	17 %	0,6	155 694
New energy efficient and low carbon design of the service buildings fully adopted for two new MIDA social housing development projects of a size similar to Hovsan-2	52 324	300	0	0	0,6	15 174
TOTAL	**11 143 608**					**1 169 031**

Annex 11: Additional agreements: Co-financing Letters

Provided as separate file.

Annex 12: GEF Core indicators

Core Indicator 6	**Greenhouse gas emission mitigated**					***(Metric tons of CO_2e)***
			Expected metric tons of CO_2e (6.1+6.2)			
			PIF stage	Endorsement	MTR	TE
		Expected CO2e (direct)	*183 617*	*200 000*		
		Expected CO2e (indirect)	*500 000*	*1 170 000*		
Indicator 6.1	Carbon sequestered or emissions avoided in the AFOLU sector					
			Expected metric tons of CO_2e			
			PIF stage	Endorsement	MTR	TE
		Expected CO2e (direct)				
		Expected CO2e (indirect)				
		Anticipated start year of accounting				
		Duration of accounting				
Indicator 6.2	Emissions avoided Outside AFOLU					
			Expected metric tons of CO_2e			
			Expected		Achieved	
			PIF stage	Endorsement	MTR	TE
		Expected CO2e (direct)	*183 617*	*200 000*		
		Expected CO2e (indirect)	*500 000*	*1 170 000*		
		Anticipated start year of accounting		*2023*		
		Duration of accounting		*2026*		
Indicator 6.3	Energy saved					
			MJ			
			Expected		Achieved	
			PIF stage	Endorsement	MTR	TE
			6 012 136	*1 890 000 000*		
Indicator 6.4	Increase in installed renewable energy capacity per technology					
		Technology	Capacity (MW)			
			Expected		Achieved	
			PIF stage	Endorsement	MTR	TE
		Solar Photovoltaic	*0*	*0,3*		
		Solar Thermal	*0*	*0,7*		

Core Indicator 11	**Number of direct beneficiaries disaggregated by gender as co-benefit of GEF investment**					***(Number)***
			Number			
			Expected		Achieved	
			PIF stage	Endorsement	MTR	TE
		Female	*1 000 000*	*5 000*		
		Male	*1 000 000*	*5 000*		
		Total	*2 000 000*	*10 000*		

Annex 13: GEF 7 Taxonomy

Level 1	Level 2	Level 3	Level 4
☐ **Influencing models**			
	☒ **Transform policy and regulatory environments**		
	☒ **Strengthen institutional capacity and decision-making**		
	☒ **Convene multi-stakeholder alliances**		
	☒ **Demonstrate innovative approaches**		
	☐ **Deploy innovative financial instruments**		
☐ **Stakeholders**			
	☐ **Indigenous Peoples**		
	☒ **Private Sector**		
		☒ Capital providers	
		☒ Financial intermediaries and market facilitators	
		☒ Large corporations	
		☒ SMEs	
		☒ Individuals/Entrepreneurs	
		☐ Non-Grant Pilot	
		☐ Project Reflow	
	☒ **Beneficiaries**		
	☒ **Local Communities**		
	☒ **Civil Society**		
		☒ Community Based Organization	
		☒ Non-Governmental Organization	
		☒ Academia	
		☒ Trade Unions and Workers Unions	
	☒ **Type of Engagement**		
		☒ Information Dissemination	
		☒ Partnership	
		☒ Consultation	
		☒ Participation	
	☒ **Communications**		
		☒ Awareness Raising	
		☒ Education	
		☒ Public Campaigns	
		☒ Behavior Change	
☒ **Capacity, Knowledge and Research**			
	☐ **Enabling Activities**		
	☒ **Capacity Development**		
	☒ **Knowledge Generation and Exchange**		
	☒ **Targeted Research**		
	☒ **Learning**		
		☐ Theory of Change	
		☒ Adaptive Management	
		☒ Indicators to Measure Change	

	☒ **Innovation**		
	☒ **Knowledge and Learning**		
		☒ Knowledge Management	
		☒ Innovation	
		☒ Capacity Development	
		☒ Learning	
	☒ **Stakeholder Engagement Plan**		
☒ **Gender Equality**			
	☒ **Gender Mainstreaming**		
		☒ Beneficiaries	
		☒ Women groups	
		☒ Sex-disaggregated indicators	
		☒ Gender-sensitive indicators	
	☒ **Gender results areas**		
		☐ Access and control over natural resources	
		☒ Participation and leadership	
		☒ Access to benefits and services	
		☒ Capacity development	
		☒ Awareness raising	
		☒ Knowledge generation	
☒ **Focal Areas/Theme**			
	☐ **Integrated Programs**		
		☐ Commodity Supply Chains ([13]Good Growth Partnership)	
			☐ Sustainable Commodities Production
			☐ Deforestation-free Sourcing
			☐ Financial Screening Tools
			☐ High Conservation Value Forests
			☐ High Carbon Stocks Forests
			☐ Soybean Supply Chain
			☐ Oil Palm Supply Chain
			☐ Beef Supply Chain
			☐ Smallholder Farmers
			☐ Adaptive Management
		☐ Food Security in Sub-Sahara Africa	
			☐ Resilience (climate and shocks)
			☐ Sustainable Production Systems
			☐ Agroecosystems
			☐ Land and Soil Health
			☐ Diversified Farming
			☐ Integrated Land and Water Management
			☐ Smallholder Farming
			☐ Small and Medium Enterprises
			☐ Crop Genetic Diversity
			☐ Food Value Chains
			☐ Gender Dimensions
			☐ Multi-stakeholder Platforms

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		☐Food Systems, Land Use and Restoration	
			☐Sustainable Food Systems
			☐Landscape Restoration
			☐Sustainable Commodity Production
			☐Comprehensive Land Use Planning
			☐Integrated Landscapes
			☐Food Value Chains
			☐Deforestation-free Sourcing
			☐Smallholder Farmers
		☐Sustainable Cities	
			☐Integrated urban planning
			☐Urban sustainability framework
			☐Transport and Mobility
			☐Buildings
			☐Municipal waste management
			☐Green space
			☐Urban Biodiversity
			☐Urban Food Systems
			☐Energy efficiency
			☐Municipal Financing
			☐Global Platform for Sustainable Cities
			☐Urban Resilience
	☐**Biodiversity**		
		☐Protected Areas and Landscapes	
			☐Terrestrial Protected Areas
			☐Coastal and Marine Protected Areas
			☐Productive Landscapes
			☐Productive Seascapes
			☐Community Based Natural Resource Management
		☐Mainstreaming	
			☐Extractive Industries (oil, gas, mining)
			☐Forestry (Including HCVF and REDD+)
			☐Tourism
			☐Agriculture & agrobiodiversity
			☐Fisheries
			☐Infrastructure
			☐Certification (National Standards)
			☐Certification (International Standards)
		☐Species	
			☐Illegal Wildlife Trade
			☐Threatened Species
			☐Wildlife for Sustainable Development
			☐Crop Wild Relatives
			☐Plant Genetic Resources
			☐Animal Genetic Resources
			☐Livestock Wild Relatives
			☐Invasive Alien Species (IAS)

		☐Biomes	
			☐Mangroves
			☐Coral Reefs
			☐Sea Grasses
			☐Wetlands
			☐Rivers
			☐Lakes
			☐Tropical Rain Forests
			☐Tropical Dry Forests
			☐Temperate Forests
			☐Grasslands
			☐Paramo
			☐Desert
		☐Financial and Accounting	
			☐Payment for Ecosystem Services
			☐Natural Capital Assessment and Accounting
			☐Conservation Trust Funds
			☐Conservation Finance
		☐Supplementary Protocol to the CBD	
			☐Biosafety
			☐Access to Genetic Resources Benefit Sharing
	☐**Forests**		
		☐Forest and Landscape Restoration	
			☐REDD/REDD+
		☐Forest	
			☐Amazon
			☐Congo
			☐Drylands
	☐**Land Degradation**		
		☐Sustainable Land Management	
			☐Restoration and Rehabilitation of Degraded Lands
			☐Ecosystem Approach
			☐Integrated and Cross-sectoral approach
			☐Community-Based NRM
			☐Sustainable Livelihoods
			☐Income Generating Activities
			☐Sustainable Agriculture
			☐Sustainable Pasture Management
			☐Sustainable Forest/Woodland Management
			☐Improved Soil and Water Management Techniques
			☐Sustainable Fire Management
			☐Drought Mitigation/Early Warning
		☐Land Degradation Neutrality	
			☐Land Productivity
			☐Land Cover and Land cover change
			☐Carbon stocks above or below ground
		☐Food Security	

	☐ **International Waters**		
		☐ Ship	
		☐ Coastal	
		☐ Freshwater	
			☐ Aquifer
			☐ River Basin
			☐ Lake Basin
		☐ Learning	
		☐ Fisheries	
		☐ Persistent toxic substances	
		☐ SIDS : Small Island Dev States	
		☐ Targeted Research	
		☐ Pollution	
			☐ Persistent toxic substances
			☐ Plastics
			☐ Nutrient pollution from all sectors except wastewater
			☐ Nutrient pollution from Wastewater
		☐ Transboundary Diagnostic Analysis and Strategic Action Plan preparation	
		☐ Strategic Action Plan Implementation	
		☐ Areas Beyond National Jurisdiction	
		☐ Large Marine Ecosystems	
		☐ Private Sector	
		☐ Aquaculture	
		☐ Marine Protected Area	
		☐ Biomes	
			☐ Mangrove
			☐ Coral Reefs
			☐ Seagrasses
			☐ Polar Ecosystems
			☐ Constructed Wetlands
	☐ **Chemicals and Waste**		
		☐ Mercury	
		☐ Artisanal and Scale Gold Mining	
		☐ Coal Fired Power Plants	
		☐ Coal Fired Industrial Boilers	
		☐ Cement	
		☐ Non-Ferrous Metals Production	
		☐ Ozone	
		☐ Persistent Organic Pollutants	
		☐ Unintentional Persistent Organic Pollutants	
		☐ Sound Management of chemicals and Waste	
		☐ Waste Management	
			☐ Hazardous Waste Management
			☐ Industrial Waste
			☐ e-Waste
		☐ Emissions	
		☐ Disposal	
		☐ New Persistent Organic Pollutants	
		☐ Polychlorinated Biphenyls	
		☐ Plastics	

		☐ Eco-Efficiency	
		☐ Pesticides	
		☐ DDT - Vector Management	
		☐ DDT - Other	
		☐ Industrial Emissions	
		☐ Open Burning	
		☐ Best Available Technology / Best Environmental Practices	
		☐ Green Chemistry	
	☐ **Climate Change**		
		☐ **Climate Change Adaptation**	
			☐ Climate Finance
			☐ Least Developed Countries
			☐ Small Island Developing States
			☐ Disaster Risk Management
			☐ Sea-level rise
			☐ Climate Resilience
			☐ Climate information
			☐ Ecosystem-based Adaptation
			☐ Adaptation Tech Transfer
			☐ National Adaptation Programme of Action
			☐ National Adaptation Plan
			☐ Mainstreaming Adaptation
			☐ Private Sector
			☐ Innovation
			☐ Complementarity
			☐ Community-based Adaptation
			☐ Livelihoods
		☐ **Climate Change Mitigation**	
			☐ Agriculture, Forestry, and other Land Use
			☒ Energy Efficiency
			☐ Sustainable Urban Systems and Transport
			☒ Technology Transfer
			☒ Renewable Energy
			☒ Financing
			☐ Enabling Activities
		☐ **Technology Transfer**	
			☐ Poznan Strategic Programme on Technology Transfer
			☐ Climate Technology Centre & Network (CTCN)
			☐ Endogenous technology
			☐ Technology Needs Assessment
			☐ Adaptation Tech Transfer
		☐ **United Nations Framework on Climate Change**	
			☐ Nationally Determined Contribution

Annex 14: Partners Capacity Assessment Tools and HACT Micro-Assessments for the Ministry of Ecology and Natural Resources

Provided as a separate file.

Annex 15: UNDP Audit Check list to be used for projects when submitted to the GEF for CEO endorsement/approval

Provided as a separate file.

Annex 16: UNDP Project Quality Assurance Report

Provided as a separate file.

Annex 17: Local Project Appraisal Committee Meeting (LPAC) Minutes

Provided as a separate file.